

Econ 240 The Nature of Capitalism

Numbered Transcript

ECON 240 • Dr. Yaron Brook

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Lecture 1: The Case for Capitalism

At a glance — Brook makes the case for capitalism and defines what it is.

- 1.1 All right. So many of you probably know, or some of you know this, that I live in Puerto Rico, and we are here taping this in Miami. So, one of the things that occurred to me yesterday as I was flying over here, and one of the things that I don't think is appreciated in the world in which we live, is how amazing our lives really are. How amazing the world in which we live really is. Here I am, I don't know, 30,000 feet. I'm watching videos on my iPad, movies. I have a selection available to me because I have Wi-Fi on the plane that includes millions of movies, millions of movies I can access, or at least thousands. Maybe I'm exaggerating. I have the ability to communicate with people all over the world through email and text, right there on the plane, 30,000 feet up in the air.
- 1.2 Now, some of you who are young, who are watching, take that for granted. But not that long ago, really not that long ago, that was impossible to do. Not that long ago, it was impossible to be 30,000 feet up in the air, never mind be on Wi-Fi watching movies. But the reality was that, yesterday, when I flew, I wasn't watching movies. I was actually preparing for today. I had my laptop there. Well, not exactly that one, but a laptop, right? And I was working away. Again, how cool is that? I remember, I'm old enough to remember, pieces of paper flying all over the place as you're trying to write down a lecture, cross stuff out, re-edit it, change stuff, sticky notes everywhere. Now I can use a word processor. Again, most of you take that for granted, and it's obvious, and it's clear, but this is new. This is different. This is amazing.
- 1.3 We get here to Miami. Again, travel is nothing. I do it sometimes every week. And again, travel. Think about your ancestors who came to America and who had to travel by boat weeks, months, and then by horse, weeks, months, to get to wherever they were going. We take all this for granted, the transportation, the Internet, the communication ability. Often in my lectures, and we'll use this quite a bit today and tomorrow, this iPhone. This technology is stunning, what you can do with this, and how much easier, how much better it makes our life, the fact that we have this. Again, we take it for granted. We ignore it.
- 1.4 Just 250 years ago, most of us would not be alive because the population of the Earth was dramatically smaller. Dramatically smaller. Most of us would have been subsistence farmers. We would've probably never left our village or our little community. If we did, it was like to emigrate away and never see our relatives again. Across oceans, across prairies, thousands of miles. But the transportation, the sophisticated transportation of the time, was a sailboat or a buggy with a horse. Just 250 years ago, when I was born and then when I died, my expectation was I'd have about the same stuff as I had during my entire life. Nothing changed. Nothing much changed.

- 1.5 Indeed, if you look at human history, if you look at human history going back 100,000 years, a million years, however far back we can go, and we're still Homo sapiens, we're still human beings, human life has basically been the same. For a while, we were hunter-gatherers, really poor. Then we discovered agriculture. Maybe we stepped up a little bit and moved into towns or communities, but 90-plus percent of people still lived outside and still practiced agriculture. Human income, human wealth never changed. Almost no growth for tens of thousands of years. No economic growth, no changes, no new technology.
- 1.6 Again, slight changes, slight little blips. I'm sure, when the bow and arrow was invented, that was really cool. It was the iPhone of the time. People were stunned. We probably burnt the guy who invented it at the stake. There was this little movement up, but they were once every few thousand years, maybe once every few hundred years, maybe later on. But almost nothing changed for thousands and thousands of years. Maybe during Greece and Rome, things got a little better, but then they declined again. Quality of life, standard of living.
- 1.7 Life expectancy. Life expectancy? How long did you expect to live? I'm looking around this room. Most of you, most of you, in any other era, are already dead. A few of you, the younger ones here, are middle-aged. I mean, the life expectancy throughout much of human history was in the 29, 32, 35. Most kids never made it out of childhood. Fifty percent of children died before the age of 10. I mean, that's just not that long ago. And that continued. If you look at 250 years ago, that's the condition, completely susceptible to diseases, plagues, epidemics.
- 1.8 And yet here we are, in a beautiful studio, sitting comfortably, most of us beyond that age of where we would have died in any other period, sitting comfortably, wearing clothes that just not that long ago would have cost a fortune and now are trivial costs. We're in a studio with cameras, with lights. Potentially, we could be streaming this globally. We're not, but we could be. How did this happen? And it happened very quickly. Deirdre McCloskey calls this "The Great Enrichment." Over the last 250 years, we have become super rich. Pretty much everybody has become super rich. Not everybody, but a vast majority of today. Certainly in America, certainly in what we consider today the West, we're all unbelievably rich, including the poorest among us, relative to any other period in human history.
- 1.9 We went from a period of stagnation for thousands of years to a period where suddenly wealth and income just shot through the roof. I mean, income goes up 300 times between, over the last 250 years. 300 times. I mean, that's just a stunning number. But that's not capturing the true difference. Because we have, even the poorest among us, has something that the richest person 250 years didn't have. Not just one thing, many things. I don't know, running water. How much do we pay for that running water? Pretty much almost nothing. We have electricity. So basic things that

make a huge difference in our lives that we pay very little for and are all being created over the last 200, 250 years.

- 1.10 What happened? How did we get this massive, great enrichment? How did we get this inflection point where things just got better exponentially and we got so much richer, so quickly? Well, what happened is capitalism. What happened is freedom. What happened is a complete change in our political structures, but also in our mindsets, in the way human beings approach the world. As a consequence of that change, we got super rich. What's fascinating to me, and one of the things we're going to examine during the next eight hours, is what happened, why it happened, but also why does nobody seem to like what happened?
- 1.11 We live in a world today that, in spite of how rich we are, everybody seems depressed. Everybody's complaining constantly about something. "Life sucks" is the motto of our time, in spite of it never have been better. We're living in the best, from a material perspective, the best period in all of human history. By a long shot, it's not even close. If you mention capitalism, which I am going to say caused all this, the good stuff, people look at you funny. Capitalism is mostly hated, resented, put down, critiqued. Nobody thinks in terms of, yeah, all this is a product of that. So why? Why is it so hated?
- 1.12 It's hated, but there's a love-hate relationship, right? Because at the same time it's hated, there's also people, everybody wants to say they're for it, even as they want to destroy it, or even as they're fundamentally against it. Elizabeth Warren, for example, who's clearly not for capitalism—I mean, she wants heavy state involvement in regulations and controls of much of the economy—she will say she's trying to save capitalism from itself because everybody wants some association with it, but they don't want too close of an association. Something about it they really don't like. We'll talk about why that is, why capitalism has such a contested legacy, why there's so much disagreement about it. There's so many objections to it. We'll talk about those objections.
- 1.13 So, objections, misunderstandings, those are the things we're going to cover. If you think in the next few hours, we're going to do, what is it? What is capitalism? We're going to cover its history, the history of those 250 years and the resulting, or at least we're not going to cover the whole 250. We're going to cover highlights across that time. We're going to talk about how it works, the economic functioning of capitalism. What makes it so successful, why is it that it it succeeds the way it does? What are the mechanisms by which it functions? We're going to talk about the objections to it. Then we're going to end with the philosophical foundations. What are the philosophical moral, ethical foundations of this system? Throughout, we're going to talk about the disagreements and the objections and misunderstandings regarding it.
- 1.14 If you had to put a date, like a year, when this great enrichment starts, when in a sense, capitalism starts, what would that year be? What would be a good date to start this, when this thing just takes off? Now, any date we pick is going to be somewhat

arbitrary. There's no one date. There's a lot of things going on and things start before and accelerate after. But it's nice to have a date that marks the beginning of something, even though it's not, nothing absolute about it. Anybody have an idea of a date that we could pick to start this great acceleration?

- 1.15** I think people—I get answers when I ask that question in audiences. I get answers all the way from, I don't know, 1700, and 1820, or 1880, all across the gamut, all in that range of somewhere between 1700 and 1900 is usually what is answered. But I have one date in mind that I think is particularly important and particularly significant. That date is 1776. I'm sure that's not a shock to you guys, but it's an important date. It's an important date actually for three reasons. You probably know one, but there are actually three.
- 1.16** The first is that it is the year in which the steam engine, which was invented way before, like 50 years earlier, 40, 50 years earlier, this is the first time it's been commercialized. Before it was used, the steam engine was used to pump water out of mines. That was it, pretty much. But then in 1776, they take a new design of the steam engine and start using it in factories. Big deal. Beginning of an industrial revolution, in a sense.
- 1.17** 1776 is also the date a very important book is published. Adam Smith's *The Wealth of Nations*, the first book to really articulate the case for markets, the case for an economics of capitalism. Nobody uses that term in 1776. But it's an argument for how and why markets work, leaving people free, leaving people alone, leaving people to determine their own economic lives actually works. It emphasizes the importance of trade, the benefits of trade internationally. Personally, it emphasizes the importance of the division of labor. And we will talk more about the division of labor and trade later in the class. But it is an articulation of the case for this new economic system that is starting to emerge around Adam Smith, and he, as an observer and as a theoretician, is articulating the case for it and arguing for its benefits and arguing we need more, not less of this, whatever it is that's coming.
- 1.18** And of course, the third thing that happens in 1776 is the founding of the United States of America, and as I'll articulate as we go along, I think this is really crucial. America is the only country in human history, the first and only, basically to be founded on the principles that basically lie at the root of capitalism, at the principles that are capitalistic principles. Because capitalism emerges not out of some plan, it emerges out of certain philosophical ideas, certain views about man and about his relationship to nature and the world. It develops organically out of those views.
- 1.19** America is the country that is established based on those views, and therefore, capitalism emerges organically in America in a way that it just doesn't anywhere else in the world. And it is successful in a way that is not as successful anywhere else in the world. It is practiced more consistently in America, certainly in parts of the 19th century, more consistently in America than in any other place in the world. And we'll

get to that, and we'll get to the contradictions that are associated with parts of America that didn't practice it. Slavery, for example. We'll talk about that.

- 1.20** So 1776, something happens. Sometime in that period, economic growth starts increasing. Wealth and income start going up. And this continues, really, at an accelerated rate in the United States, and I'd say the West, all the way up to the beginning of World War I, 1914. 1914 is a break for a number of reasons. In Europe, war breaks out. In the United States, I think the United States shifts to a different era. We'll talk about that in the next class. But we have here about 150 years of just sustained, impressive, and unprecedented economic success and economic growth. We'll talk a lot more about the details of what is going on there.
- 1.21** That same economic growth, that same phenomenon happens about 150, 160, 170 years later in Asia, in Japan, in the Asian Tigers, even to some extent in China. We'll talk about why that is. What is it about Asia? So this is not a phenomenon of Europe. This is not a phenomenon of the West. What is going on here? What is this phenomenon? We'll talk about that also in the third class. We'll talk about Asia and what happened in Asia and how this all came about in Asia.
- 1.22** So why? Well, I mean, you could ask the question of why did America get created in 1776? I think it's the same why as, why did capitalism start then? Why didn't it start in 1500? Why didn't it start in 1000? Why didn't it just start with the Roman Empire? Why? Why didn't it happen in China? For a long period of human history, for a long period of human history, China was significantly more advanced than the West was. And West, I'm going to talk about here the West, talk about Western Europe, and then once the United States has created, the United States. Today, I would even include many of the Eastern Asian countries as part of the West. Japan, South Korea, Taiwan, are Western countries in many respects. But it's particularly early on, it's a geography, it's Western Europe.
- 1.23** Why didn't this start up in China? Why didn't it start anywhere else? What is this phenomenon? What made it unique and where did it come from? Here we're going to do a little bit of intellectual history. We're going to go back a little bit into history to try to understand the evolution in the West of ideas and to what extent this evolution didn't happen elsewhere. Why didn't it happen in terms of, again, ideas, nothing else? If you think about the West and ideas, much of the origin of our philosophical ideas, ideas about the world, ideas about man, ideas about how we as human beings are and how we interact with nature, come from Greece. Greek philosophers discovered philosophy.
- 1.24** They discovered asking big questions and answering those questions in a variety of different ways and engaging in debates and arguments and trying to figure out the answers to, what is the world like? What is out there? And what are we like as human beings? What characterizes us as human beings? Greece is the origin of these kind of questions and the articulation of them and the debate around them and the

disagreements. You have lots of schools of philosophy who don't agree with one another around these ideas.

- 1.25** And one of the things that comes out of Greece is the idea, articulated maybe best by Aristotle, the idea we as human beings have a particular way in which we understand the world out there. A particular way in which we as human beings survive in the world out there. And that is, we use our minds. We use reason. We observe reality with our senses, and then we use reason to understand the world out there. We integrate it, we create abstractions, we create concepts. We can then move higher and higher up the abstraction level. But it is reason that guides man in terms of understanding the world.
- 1.26** We don't have instincts the way animals do. If you look around this room or any room for that matter, we're a pretty pathetic animal. We're slow. We're weak. We don't have claws. We don't have fangs. I mean, you try running down a bison and biting into it. But you can pretty much get a bison burger anywhere. You try confronting a saber-toothed tiger. You're not going to win. The last saber-toothed tiger I saw was in a museum, and here we are sitting comfortably. We survived. They died. How did that happen? We used our minds. We figured out strategies. We built weapons. We communicated with one another. We hunted. But hunting is not an instinct. Agriculture is not an instinct. Every one of those things have to be discovered, figured out by using human reason. We had to use our minds.
- 1.27** So, coming out of Greece, science becomes a big deal. People are investigating and examining the world and figuring it out. Now, for a variety of reasons, which we're not going to get into in this class, but for a variety of reasons, that inquiry, that science, basically goes away in the West, at least for about a thousand years. Something happens, something happens in the 15th and 16th century. There's a reawakening. What do we call this era of reawakening, rediscovering of those Greek ideas? It's called the Renaissance. During the Renaissance, people start rediscovering the ideas of the Greeks. They start reading Greek philosophy, and they start looking out there again.
- 1.28** For a thousand years, there were no astronomical observations done in the West. Literally none, zero, nada. From sometime during the Roman Empire to the beginning of the Renaissance, nothing. Then suddenly, there's an explosion. People rediscover this faculty, this faculty of reason. And they start applying it to science and they apply it to art. They rediscovered Greek art and you get Michelangelo and Leonardo and you get Raphael and you get all these beautiful sculptures and paintings, because they're rediscovering technique. They're rediscovering our relationship with nature and a sense of how do we understand it and how do we manipulate it to serve our needs?
- 1.29** You get a beginning of the explosion of knowledge. But really, it's around the early part or the late part of the 17th century, 1600s and 1700s, that people really, philosophers and thinkers, really start taking these ideas and applying it to the world around them. They say to themselves, "I can use reason to discover truth." Newton gives us laws of motion. Laws of motion that pretty much anybody can understand. This is not hard

stuff. Anybody with a mind can understand this. And suddenly, truth becomes accessible to the individual. I can discover truth. I can use my mind to understand the world as it functions out there.

1.30 Now, remember, this is after a period of time where we're taught for a very long time that truth comes from where? From ancient books, from revelation, from experts, from philosopher-kings, from the king, from the council, from the tribal leader, the witch doctor, from somebody. But not accessible to the common individual. You, as an individual, don't have access to that. Suddenly, in the 16th and 17th century— sorry, 17th and 18th century—suddenly individuals discover their own capacity to reason, to think, to discover truth, to use their minds in pursuit of what? This is the second revolution that happens during that time.

1.31 First, there's a rediscovery, rediscovery of reason, not just for science, but everyday living. But in the 17th and 18th century, what can people do with this knowledge? Well, not much. In the 17th century, we didn't have much freedom to make decisions for ourselves. Most people were subsistence farmers. They basically worked all day. No real time for reading. Most of them didn't know how to. Indeed, once the sun set, there was no lighting. They lived pretty simple, very, very simple, hard, short lives. They didn't get to make choices like, I don't know, what career to follow. You were a subsistence farmer, you were going to be a subsistence farmer.

1.32 Now, if you were one of the sons, daughters never inherited anything, but if you were one of the sons, you couldn't inherit the land because the older son got it and you went into town. Mostly you were a vagrant. Maybe you could pick up a profession, join a guild. Then once you joined a guild, what did your kids do? Your sons, again, they did the same thing you did. They had to join a guild. So whatever you were, if you were a blacksmith, your son was a blacksmith, your grandson was a blacksmith, their children were blacksmiths—that's what you were. There were no choices here. It wasn't like Career Planning Day. Counselors for careers didn't exist. You did what your dad did.

1.33 One of the interesting funny stories around this is Leonardo da Vinci. You all know Leonardo da Vinci, right? I mean, Leonardo da Vinci did everything. He was an artist, he was an engineer, he was an advisor to royalty. He did military plans. I mean, he managed to cover—he was a real what we call a renaissance man, right? You do lots of different things, and he was brilliant in everything that he did. He was a scientist. He was a mathematician. He discovered things in math that, only 100 years later, other people discovered, which he wrote in his notebooks and never published, so they didn't benefit from their knowledge.

1.34 How come he got to do all that stuff? His father belonged to a guild. Why didn't Leonardo da Vinci join the guild of his father? Why was he allowed to basically have this wide-ranging career? The reason is that he was an illegitimate son, so he couldn't join the guild. We all benefitted from the fact, we are all beneficiaries of the fact, because we've all enjoyed Leonardo's product of the fact that he was an illegitimate child. If

he'd been a legitimate child, he might have been a lawyer. I think his father was a lawyer, and that was it.

- 1.35** What didn't we have in that period of time? What we didn't have is any kind of freedom. I mean, even marriages were typically arranged. The idea of falling in love and romantic love and choosing your soulmate, that's a modern idea. Eighteenth century, very few people had that. We had very few choices in life, very little freedom in life. Our lives were dictated by the authorities, whether it was religious authorities, political authorities, tribal authorities, family authorities. Everything was dictated.
- 1.36** But there's an awakening during this time. Suddenly people are saying, "Wait a minute. I can think for myself. I have this capacity to reason. I can understand Newton's physics," those who studied it. "Why can't I choose who to marry? Why can't I choose what profession to have? Why can't I" —here's a real revolutionary thought—"choose my political leaders?" This is literally happening in the 17th and 18th century. People are becoming more literate, they're reading more, they're engaging with the world more, and they start demanding choices. They start demanding freedom. What is freedom about? Choices. The ability to choose, the ability to set your own course in your life. Something that did not exist before. And philosophically, was not something anybody believed in because you had to just follow instructions. You were nothing.
- 1.37** "But I'm not. I have a mind," said the people. And this is really the political, intellectual, philosophical revolution that is the Enlightenment. The Enlightenment revolutionizes human life. It opens it up. It really, for the first time in human history, creates this concept of freedom. Remember, I assume we've all seen Braveheart, the movie. Everybody's seen Braveheart. Braveheart is about the Scots rebelling against the English. And there's a scene in the movie in which the Scots are just about to enter this massive battle against the British. The British rule over them. There's a British king ruling over Scotland, and they're upset, and they are rushing into battle, and they're yelling, "Freedom."
- 1.38** I can't remember what century that's set in, maybe 13th, 14th century, something like that. What freedom are they talking about? The freedom of the Enlightenment, making choices for yourself as an individual? Having no coercion, no force placed on you so you can make choices, no authority telling you know what to do? No. That's not the freedom they're talking about. What they're talking about is, "We want to be ruled by a Scottish king, not an English king." I think we would say, who cares? We don't want kings, period. That's not freedom. You're still being ruled. You just happen to be ruled by a relative instead of by a non-relative. What difference does it make? That's tribalism. It's not individual freedom, as I think the Enlightenment taught us, that we are capable of, more than capable of. We should demand.
- 1.39** So this idea of individuals having the capacity to take care of themselves, think for themselves, discover truth for themselves, make mistakes, but discover the mistake and how to fix it through the use of their own mind, leads to this idea that the

individual, each one of us, is valuable. Each one of us is an end in himself. We're not some cog in some tribal machine. We're not just a cog in a big plan of some king. We are an end in ourselves. Our lives is an end in itself. That idea is new. Individualism as an ideology, the value of the individual.

- 1.40** And this leads to the idea which is at the core of capitalism, at the core of what capitalism actually means. It leads the idea of individual rights that John Locke articulates at the very end of the 17th century and then is developed and flourishes and comes to political realization in the establishment of America in 1776. And what is the idea of individual rights? What are rights? Rights are freedom of action. Rights is a recognition that individuals, in order to survive, in order to thrive, in order to live well, need to be able to act in the world guided by their reason, free of coercion, free of force, free of an authority imposing its will on you. You should be able to use your mind to make decisions for yourself to guide your own life.
- 1.41** And that the role of government, as the founders conceived it, is to protect that freedom. It's to leave you free and to protect you from your neighbor who might try to steal your stuff, take your life. So it's there to protect, to uphold your freedom. So individual rights are the concept, the most important political concept. But really, it's also an ethical concept because it's tied to, you have a right to live your life based on your guidance, your judgment, which is really about more than just politics. It's about your life. It's about how to live your life that should be based on your judgment, which is an ethical concept. So this is the great achievement of the Enlightenment, the concept of individual rights.
- 1.42** And this is the concept to finally follow this, take and build, create an entire political system around us, which is just stunning, amazing. We have a Declaration of Independence, which I believe, I think if judged objectively, is the greatest political document ever written in all of human history. It says that we're all created equal. Equal in what sense? Equal outcome? We're all going to turn out the same? No, we're all different, even in this room. We're all different. Equal opportunity? But really an opportunity is just an outcome. We really have equal opportunity? Is equal opportunity even possible? Or is it just a figment of our imagination? What do the founders mean, that we're all created equal? We're equal in our rights. We're equal in our freedom. We're equal as human beings in our liberties.
- 1.43** Of course, we're equal as a consequence before the law. The law cannot discriminate. Again, think about what's going on during that period of time, particularly in Europe. You've got aristocrats, you've got peasants. They both commit the same crime. Who gets the longer sentence? We all know the peasant is going to be screwed. The aristocrat, he's fine. No equality before the law. Do peasants have any rights? No. Not at all. In some parts of Europe, they can't even own land. There's still serfs. Serfdom still exists.

- 1.44 So this identification that everybody is created equal is a revolution. Again, not in terms of outcome, but in terms of political perspective. You're all the same politically. The government is there to protect your rights equally. It's all equal. All men are created equal. But then we have inalienable rights. Inalienable means they can't take it away. Nobody can take it away. The right to life, which means the right to do with your life, with you, whatever you decide, whatever your judgment guides you in pursuit of your values. Free of coercion, force, authority. You have a right to liberty, think, write, speak. Again, free of all these constraints, all this force being used against you.
- 1.45 And you have a right. What a revolution this is. You have a right to pursue happiness. Right to pursue happiness? My happiness is important suddenly? That's pretty cool. First time in history, we really are recognizing, certainly politically, but even philosophically, that individuals should pursue their own happiness, and they should be protected so they can do so. In order to have a right to your life and have a right to liberty, it would be nice if they'd include a property there, but I think they meant to. It's implicit. To pursue my happiness, what's the one thing I need to eliminate in society? What we said, coercion. Force, physical force.
- 1.46 Physical force is the enemy of thinking. Physical force is the enemy of choosing. Physical force is the enemy of pursuing happiness. And that's the establishment of America. Those ideas were already percolating in England. They were percolating in parts of Europe, certainly in places like France. But those places politically already had an establishment. England had a king, and they had parliament, and they had ways in which they did things. France certainly had a king, an all-powerful king, at least for a while.
- 1.47 But the institutions, the ideas, all these ideas are coming from Europe, and they're affecting the thinkers in the United States during the colonial period leading up to the founding. The result of these, our particular institutions agreed. Obviously, political institutions for governing in the United States, we do that, but they manifest itself in institutions out there in the world. Institutions such as property rights, the idea that you as an individual own property. You have a right to pursue, to work, to be productive, to create stuff. What you create or what you earn is yours and cannot be taken away from.
- 1.48 Then what you have, you can use however you see fit. Again, free of coercion, force, without. But we have the concept of a rule of law, which is brand new. So property rights, rule of law, protection of rights. All of these are then going to be foundational and fundamental for how capitalism develops and how capitalism evolves. We'll talk about that in a few classes from now, about the role of property rights, the incentives it provides, the attitude that it embodies in people and how they act based on that.
- 1.49 But we also get a change in attitude. We get a change in attitude in the culture. Deirdre McCloskey, I think, does a really good job articulating this. People start admiring success, admiring wealth, admiring progress. The Enlightenment is a period where

people believe in human progress. They believe in advancement, both intellectually, knowledge, but also materially, in terms of standard of living. They're starting to see it, and they start believing that it can be even greater than it is. They can think into the future and imagine a richer world, a freer world, a more prosperous world.

- 1.50** Again, very much for the first time, really, in human history, stagnation was the rule, and nobody thought anything else was possible. This was the fate of man. For the first time, people are starting to think about the future in positive terms. They've got an attitude towards progress, towards growth, towards success, even towards wealth. Economic growth is possible, and it's good. Going out there and shaping the world, adapting the world to fit human needs. Good. We approve. This creates a completely different culture. A culture of ambition. A culture of ambition. A culture that now admires, encourages, incentivizes growth, prosperity, wealth, creation, freedom. It's this culture that what capitalism ultimately is about.
- 1.51** What is capitalism? We often think in terms of economy, a capitalist economy. But fundamentally, capitalism is more than just economy. Fundamentally, capitalism is about a certain social organization, a political organization, and economic activity. What are the principles behind it? Well, fundamentally, capitalism is about freedom. Capitalism is the system of freedom. If we understand freedom is the absence of coercion. If we understand freedom is the ability of people, individuals, to act on their own behalf in pursuit of their own happiness, using their own mind, their own judgment. If that's what freedom is, capitalism is the system that embraces that, that concept.
- 1.52** Leave people free to pursue their own values, using their own reason, and let's see what happens. In a sense, that's what happens in the late 18th century, early 19th century. That's what starts happening in 1776 onwards. We leave people free. We leave them alone to pursue their happiness and see what happens. So capitalism reflects these deep philosophical views of the individual and of reason; the individual is capable of and worthy of being left alone, having the opportunity to engage with others or walk away.
- 1.53** It reflects these philosophical ideas that are coming out of the Enlightenment, and this is their organic manifestation. Wasn't planned. Nobody sat down and said, "This is the kind—" I mean, to some extent, Adam Smith does in his book, but nobody actually takes the book and uses it as a guide. It just happens once the political system is put in place. And the political system that's put in place is a political system that respects individual rights and leaves people free.
- 1.54** Now, why do people use capital? Why capitalism? Why is this the name? Really, the first uses of capitalism as describing the phenomena that is going on are first used in the the early 19th century. They're almost exclusively used by people who hate it. Whatever's going on, they don't like. In those days, the socialists, the different types of communitarians. What they're seeing, and it's so often difficult when you live in

something to actually objectively observe it and see it and understand it—what they're seeing, what they think they're seeing, is capital. Money. Think of it as money, equipment, land, as being used to accumulate more capital and to exploit others and to take advantage of others. We'll talk about this objection to capitalism in a future class.

1.55 But that's what they're seeing. So, for them, the essence of what's going on in the world around them is capital, not freedom, but capital. They attach the word capitalism to it. Karl Marx never—often attributed, everybody says capitalism is Karl Marx—Karl Marx never uses the term capitalism. He uses the capital means of production. He talks about capital is important for what is going on around. And there's a sense in which it is, and we'll talk about that, that capital is crucial for any economic activity under freedom. But none of them recognize freedom or individual rights or the particular political circumstances or individualism or reason. They don't recognize any of them. But Marx, to his credit, looks around and he notices something is going on that is different. People are getting richer. Production is unbelievable.

1.56 I mean, this is a quote from Marx. When he says the bourgeoisie, he means the middle class. He means the people who are working. He means, in a sense, capitalism. He says, "The bourgeoisie, during its rule of scarce 100 years," so it's almost less than 100 years, "has created more massive, more colossal productive forces than of all preceding generations put together. They have subjection of nature's forces to man, machinery application of chemistry to industry and agriculture, steam navigation, railroads, electric telegraphs, clearing of whole continents for cultivation, canals, whole populations conjured out of the ground. What earlier century had even a precedent that such productive forces slumbered in the lap of," what he calls, "social labor?"

1.57 Who knew that human beings could do all this stuff? It's all happened in the last 100 years. Didn't even know. So Marx is looking around and he's seeing something very different happen, something new, something exciting. He's going to criticize the hell out of it. Although he's going to say—this is because he's a determinist—he's going to say this is a necessary phase that leads us to some utopia, his communist utopia, ultimately. It's necessary. We have to go through this in order to get the proletariat to rise up against it and actually establish the communist utopia.

1.58 But to his credit, he sees the value. So many Marxists today don't see any value in what's going on. They don't actually appreciate. But he saw it. And what was he seeing? What he saw were people out there not asking for permission, just doing stuff. Entrepreneurs building businesses, creating stuff, building on scale that nobody could have imagined, even just a few years earlier, creating wealth on a scale that was unimaginable. What he saw was this technological and material advancement that was unprecedented.

1.59 What he couldn't see because of his particular philosophy, what he refused to see, you could argue, is the cause, is what was driving it, or these ideas that are ultimately shaping what was going on. What he couldn't see, again, because of his philosophy,

was the call of individualism and advocacy of reason that is behind this. And of course, the role of government as protecting rights, the role of government as liberator, as liberating people by protecting them.

- 1.60** So, what is capitalism? It's a system of freedom. It's a system of individual rights. I think the best definition of capitalism was provided by Ayn Rand, the great champion of capitalism, who wrote extensively about this topic. She writes, "Capitalism is a social system based on the recognition of individual rights, including property rights, in which all property, all property is privately owned." The emphasis for Ayn Rand is on individual rights because capitalism is primarily involved in how we interact with one another; and in the building and creating in a social context, property rights are essential. Because that is what is being—we're creating, we're acting. We need to be able to have ownership over that which we create.
- 1.61** Then, of course, we can trade. That is the central characteristic of capitalism, building, creating, and trading. As we'll see, capitalism or economics generally— economics is the study of production and trade. Capitalism is one solution to the issue of production and trade. Leave people free, free of force, free of coercion. Let them produce. Let them trade based on their own values, based on their own choices, based on their own preferences. So it is a social system. It's how we interact when we're in a social context, in which the government does one thing—protect individual rights, leaves us free otherwise.
- 1.62** Everything else that happens, all that economic activity, all those economic principles, all the stuff that happens, that's just organic to what happens when people are allowed pretty much to do what they want, except for one thing. What are they not allowed to do? Use force against each other. Commit fraud or force or violence. Anything like that is banned. Everything else, let's see what happens when you leave us free. For Rand, government is essential for protecting our rights. There has to be an institution that protects our rights. There has to be a monopoly over the use of force that actually acts like this. We'll talk about this a little bit more in a future class. But the rest of that leaves you free. Capitalism is the system, again, in her words, that banishes physical force from human interaction.
- 1.63** Capitalism is the system, and let me just say before we move on, in that sense, in a sense of capitalism being this system that banishes physical force, in a sense of capitalism is a system in which men are left free, free of coercion, free of force, we've never really had capitalism, not in the pure sense. When we talk about capitalism in the next few classes, we're going to be talking about the extent, the degree to which capitalism has been allowed to function. The extent and the degree to which force has been banished, but then force has allowed in certain aspects of human life in almost every period of the last 250 years. In spite of that, because of those areas where we were allowed to be free, we have flourished and we have succeeded and we have done so well and created so much wealth.

- 1.64 All right, so now we get a sense of where capitalism came from. We have some sense of its philosophical foundations, although we're going to come back to this in the last class, to really ground this more substantially. There's a sense of the trajectory that moves forward. In the next couple of classes, we're going to talk about that history. We're going to talk more detail about what happens in the UK, what happens in the United States and in Europe, and then what happens in Asia, and how a permissionless society, a society where you don't have to ask permission, a society which respects your rights, which banishes force, how that actually manifests itself in wealth creation, production, innovation, and growth. Questions?
- 1.65 Professor, you mentioned during the timeline of capitalism, the Renaissance. In my opinion, you forgot about the Columbus landing in America and the circumnavigation of the globe by Spain, opening and creating new routes of trading and commerce and all the stuff and expanding the exploitation of the land on a new continent and the growth of civilizations for the next 500 years ago. So what can you add for that?
- 1.66 Yeah. So first, I'm not going to cover all of history. So we're not going to cover every detail, not even every important detail. There's just too much to cover. And certainly, the opening up of the new world and the opening up of exploration is important for the rising standard of living, at least to some extent, because they are bringing in a lot of new materials. Gold is this, there's gold in South America, but there are also crops that they never thought of. Potatoes. We all think potatoes come from Ireland. No, they come from Peru. The Irish discovered them from Peru. I think coffee, chocolate, maybe chocolate is from Arabia. But anyway, a lot of new products are coming in as a consequence of this exploration.
- 1.67 And there's no question that plays a role. Now, it's not an accident that Columbus discovers America in 1492, right? 1492, the end of the 15th century. This is the Renaissance. This is deep into the Renaissance. This is an era where we've discovered now, at least beginning to discover, the efficacy of man, efficacy of reason. We're broadening our horizons. We're looking out into the world. Not much was discovered from the fall of Rome until that period. Not much was happening. So this is that beginning of the Renaissance, going and circumnavigating the globe, discovering new lands. All of this is opening up our horizons, opening up our minds.
- 1.68 Maybe what we've been taught in the West, that dogma that we've been taught in the West, maybe that's not all true. Maybe there's other things that we can discover out there. Economically, it had some role in making the West a little wealthier. But if you look at GDP per capita, to the extent that we can measure it way back then, it barely budes. I'll give you some numbers later on, but it barely budes, even though there's the age of explosion. Even though they're bringing gold, the mining of gold and the bringing of gold doesn't make you rich.
- 1.69 What happens if you have the same number of products, but now more money? More money, in this case, more gold. What happens? Does that make you richer? All right,

this is inflation 101, guys. All prices go up. So you don't become richer. Not richer if what you mean by rich, the stuff I can buy, the stuff I can have. All I've done is I've got more gold, but I've got the same number of goods. Only with capitalism, only with the 18th and 19th century, does the number of goods go through the roof, not just the amount of money. The amount of money—our government today prints a lot of it. Does it make us richer? No. What makes us richer is when money is invested to produce new, better goods, new technologies, new stuff.

- 1.70** So discovery plays a huge role, I think primarily in just opening up the mind and an expression of this new kind of idea of, wow, I mean, we can go out there, we can discover stuff, we can do stuff. We have, it enhances, if you will, human self-esteem. We can get stuff done. This is cool. And that, I think, leads to, I think, ultimately capitalism. But the actual discoveries, the actual stuff that's being brought over, insignificant in the big picture to the quality of life, standard of living, until 18th century.
- 1.71** I read some place, probably Ayn Rand, that wealth is created by applying human labor and intellect to natural resources to create something that other people will find valuable in their life and use. And I agree with that. And I think that is something that if you create something, you should keep and do as you please with it. The question I have is, going back to the beginning towards property, because nobody created land, nobody created natural resources.
- 1.72** And it seems to me that the only way to claim them is through of violence, which is, as the gentleman's first question, when Columbus landed in the Americas, it was populated by people who did not understand land. To them, it was something that's impossible to own because it was here before they got here. It will be here after they leave. So it took a different philosophy to come here and say, "This is mine." And if you enter these lines, "I have the right to kill you." So at the beginning, you disrespect people's liberties.
- 1.73** Well, this is the point, that only this conception of land as belonging to somebody, and that for it to become somebody's, they have to mix their labor, their thought with this land. That is, the land in and of itself doesn't belong to you. It belongs to you after you mix your labor. And by the way, originally, that comes from John Locke. And then Ayn Rand elaborates on that because she brings in the mind. Locke is mainly just labor. It's only that conception that brings us civilization. So with all due respect to the Native Americans who were here, they lacked civilization. And until they could embrace that concept of land belonging and mixing the land with something, they were going to be stuck where they were.
- 1.74** There's a reason why capitalism develops in Europe. It's because these ideas are established. There's a sense already of property rights in Roman law. So there's already this idea that's something that you create belongs to you, and if you cultivate a piece of land, it's yours. Those concepts, those ideas are already in the West. And part of the

reason capitalism doesn't develop in other parts of the world is because they don't have that concept. So we can say, well, native Indians didn't have this idea. They didn't. And that's why they were primitive and stayed primitive and didn't really develop, didn't really advance. They needed this idea in order to take the next step in civilization.

- 1.75** And I know that is not politically correct to say these days, to judge another culture, another people, as primitive, but they were. By every measure we have, they were primitive. And that's true of 99% of the planet. So you needed these ideas in order to advance. Without these ideas, you couldn't have. Now, that doesn't justify what the Spanish and others did to Native Americans, where they slaughtered them en masse for no good reason. What they really needed was education in these new ideas about property, about rights. To the extent that they were using the land in a way that gave them those rights, the Spanish and the Americans should have recognized those rights and respected those rights.
- 1.76** I'm not justifying what Westerners did. They should have educated and respected, which they didn't. But you don't get to own the home continent because you have to wander around the continent, if you're not actually doing anything with that land. So this idea of property rights is crucial for human development. It is not possible to advance from a civilization perspective without it. And the reality is that there's always been plenty of land.
- 1.77** If we think about the number of human beings that were on the planet back then, half a billion people. Think about how many people on the planet today, over 8 billion people, and we're still not very crowded. Not if you fly over the United States and you see how much land is left free or not if you fly over China, see how much it's empty, even in China, or see how much it's empty in Russia. I mean, there's plenty of land around the world. There's never been a shortage of land.
- 1.78** What there has been a shortage of is protection of property rights and the recognition of property rights. And the recognition of the property rights come from the mixture of your labor and your intellect with the stuff that's there. And until we have that, we just don't have progress. We can stay where we are, but we don't have progress. We need that. And I think we need that as a species in order to thrive and succeed and survive. We'll talk about that in the next class. What counts as progress? What counts as good? What should we be paying attention to instead of what's good? Thank you.

Lecture 2: From Poverty to Prosperity

At a glance — From poverty to prosperity — how capitalism evolved and lifted living standards.

- 2.1** So, last class, we discussed what capitalism is. We discussed how it evolved ideologically, some of the key thinkers, John Locke, for example, the Enlightenment thinkers that brought about the ideas that made capitalism possible. And of course, the founding of America, which was a key event because it was the only, and still is, the only country founded on the principles that are the foundation of capitalism. And as a consequence, as we'll see, America becomes the leading capitalist country in the world very, very quickly after founding, as a consequence of the fact that the ideas are there.
- 2.2** Now, organically, this system, this economic system develops because the intellectual foundations have been laid. What we want to do today, this class, is start a discussion of what actually happens, how capitalism actually manifests in our history. I think one of the really sad things in our world is the fact that this history is so little known, that it's not really studied, that people are not that interested or don't seem to have this knowledge. There's a lot of misconceptions, misinformation, distortions, and some outright lies about our history and how we got as rich as we are, because that's our context. How do we get to where we are today?
- 2.3** That requires us to dig in a little bit and talk about what actually happened and, in a future class, how the mechanisms of capitalism made this progress possible. So we're going to delve into a little bit of history. But before we get there, there's a question we need to ask. That is, I say we're rich today, this is cool, this is great. But what should be our standard for deciding and for evaluating? What is a good political, economic, social system? What is not? What does success mean? What's the standard by which we evaluate success? Is it wealth, freedom, or is it something else?
- 2.4** In the world in which we live, clearly, people have chosen different measures for what they consider successful. I don't know. For example, if some people think that the outcome, equality of outcome, is the most important thing in the world, that's how they measure whether the system is successful or not. Well, by that measure, capitalism is not that successful. We're not equal. We were more equal before capitalism. Indeed, 300 years ago, everybody was pretty equal. Nobody had electricity, nobody had water, nobody had an automobile, nobody had any of these things. Indeed, we were all, almost all of us, poor.
- 2.5** There were a few people up here who had a little bit more, but even they didn't have electricity and automobiles and didn't fly in airplanes. Everybody was equal. Everybody was poor, and it was horrible. Then as we got richer, some people got richer faster than others. But everybody got richer. Everybody today, even the poor in America today have the basic stuff that nobody had back then, electricity, running water, but even air

conditioning and automobiles and people take vacations, even people who don't have that much money. We got unequal.

- 2.6 You could view that as a negative, but that's a weird standard. It's certainly not an individualistic standard, and it's not a standard I adhere to, and I don't think it's a standard anybody should adhere to. We'll talk about what standard I think we should adhere to, but that seems wrong. But you have to understand that some people, that's their standard. They're wrong. Living up to that standard creates really horrible outcomes. We'll talk about some of those outcomes maybe in the next class. But they look at capitalism and they see inequality and they say, oh, well, it's awful. And they don't even consider beyond that.
- 2.7 The same thing if you consider, I don't know, any collectivistic group standard is your value, then it's not clear. It's not clear how to measure what is good. It's certainly not clear that capitalism is your ideal. Capitalism is very much based on the individual and not on the sacrifice of the individual for the sake of some group. If the well-being of the fill-in-the-blank people is your standard, who knows what that might require? It probably does not require freedom. It probably does not require liberty. It probably does not require individuals pursuing their own happiness. Capitalism is inconsistent with that view. Again, we'll talk about that in a future class in more detail.
- 2.8 So, what constitutes the standard? Well, in my view, the standard we should all think about in terms of evaluating, for evaluating a political system, or evaluating a period of history, or evaluating a set of ideas, is individual human flourishing. Are individual human beings better off, or at least, do they have the opportunity to become better off? What are the chances that somebody born into this society can live a successful life, can flourish, can live a good life, can do something with their life, can become the best that they can be, to use a cliché? What's the chance of that happening?
- 2.9 We know that in certain societies, 3, 4, or 500 years ago, chances were very low. Unless you're Leonardo, you happen to be not legitimate, you're stuck. And so many people, 99% of the people, are stuck. The standard by which I evaluate, and the standard by which I say life is good today and the standard by which I say capitalism is a system that has led to good, is the standard of individual human flourishing. What is human flourishing? How do we measure that? Well, a number of things you can look at in terms of measuring. Well, I mean, one is measures of health. Are we healthy? A big part of that is how long do we live?
- 2.10 As somebody who's getting a little older, how long I live becomes more important as you get older. When you're young, you don't think about those things. As you get older, becomes important. Life expectancy. Life expectancy at birth, life expectancy at later ages. It's not just the length of life, but how healthy are you throughout that life? If life is full of health problems and suffering, it's not flourishing. It's very difficult to flourish. So, societies we can look at. Well, in this society, in this period, how long did people live and how was their life like in terms of health-wise? How many people died of

pandemics, epidemics, plagues, and stuff like this? And that is a good measure of telling human flourishing.

- 2.11** Wealth. Wealth is important. It allows us to buy, purchase, trade for the values that make our lives better. You like music? You can go buy CDs or now buy a service where you can stream the music that you love. But you need some amount of wealth in order to do that. Less today, given Spotify and all the rest, than ever in all of human history. But still, you need something. You like traveling. You need some wealth to travel. You want to live in a nice house. You want nice food. Everything requires you to have a certain level of income and wealth so that you can trade for the values that you need in order to make your life successful based on your choices, your values.
- 2.12** Health, wealth, quality of life, things like what jobs are available in any given society? Do I have choices? Can I pursue my passion? Can I pursue the career that I want while I love my job? Hopefully, we all do because it's a big part of life. But in 99.9% of human history, we had no choices. We did what we were told, we did what we had to do, we did what we needed to in the moment to survive. Choices, careers, the whole concept of a career. Oh, I'm going to go to school, I'm going to study, I'm going to get a master's, I'm going to go work for this company, I'm going to become the CEO. That projection, that's new. Never used to exist.
- 2.13** How much physical labor am I going to have to do? For most of us, again, we're pretty weak. For most of us, physical labor is not fun. Not for everybody. And some people are going to be doing physical labor. But again, what are your options? What are your choices? What can you do? In a society where physical labor becomes a smaller and smaller part of our work, that's really good. Because what are we? We're not a being of muscles. We're a being of brain. We're a being of reason. So the more we are thinking, we're using our minds to create the values that are necessary for our lives, I think the better off we are, the more flourishing, the more energy we have to do other stuff, including exercise in order to keep ourselves fit so we don't atrophy.
- 2.14** How many hours do I work a day? I mean, think about life before capitalism. You basically woke up when the sun rose. You went out into the fields. You worked all day. You came back, maybe ate something. Sunset, went to sleep. You worked every hour of the day. And most of us couldn't read. Maybe there was a bonfire and we had some social entertainment with other people in our community, but mostly not. Most of you were exhausted. That was life. So, if we can shrink the number of hours and still be incredibly productive, and then have also hours to do other fun stuff, our lives are much richer. We are far— have the opportunities to flourish in much greater ways.
- 2.15** And again, some of us might want to work 16-hour days every day for a long, long time. That's fine. Others want to work less. Do we have those choices? Are those choices available to us as individuals? To me, a flourishing life is a life where you make, you get to guide your own life in pursuit of your own values. You have opportunities, you have choices. As we look back at history, there are very, very few periods in human history

where opportunities and choices were available to the individual, with a few exceptions, maybe, but to the vast majority of us. We live in a world with all its problems and all its difficulties, where choices are available. We have those options, not as many as I would like. I think we could have even more, but we have them, and that's what should be valued.

- 2.16** When I look at the history of capitalism, is that history suggests something good or something bad, this is the standard—human flourishing. A human being's, successful, individual human beings, successful. At living, at living, at achieving their values, at pursuing values, at living long, living healthy, and accumulating wealth, having income, shrinking work hours. Those are the standards that I think are worth looking at.
- 2.17** Just to, again, remind us of what life was like before, Hobbes, the philosopher, had this succinct description, I think, of life in the 16th century, I think, or early 17th century. Solitary. Pretty much alone. Poor. Everybody was pretty much poor. Brutish, a lot of violence. Society was very violent. And short. Solitary, poor. Oh, I forgot nasty. Solitary, poor, nasty, brutish, and short. That was life. I think he was describing the world around him. Again, not for everybody, but for the vast majority of people. During all of human history, average income didn't budge. Growth rates, you couldn't even measure them. They were so small.
- 2.18** Daily income in England, in Britain, and I use Britain a lot because it's where the industrial revolution happens or where capitalism manifests itself at the same time as the United States, a little before maybe. Daily income was less than what it cost to buy enough bread to be able to feed yourself. And bread was the main way in which you filled this up, gruel, which was a mixture of bread and a bunch of other stuff not to be identified. Pretty disgusting food. The poor, that's what they ate. That's all they could afford. It's all there was.
- 2.19** Laws restricted who you could trade with. Laws restricted what trade you went into, what your profession could be. A lot of times, profession required apprenticeships, which could last seven years, and you didn't get paid. They gave you the minimum required to keep you alive, food and board, and that was it. You worked for free for seven years before you could get a license. Now, we still have licensing laws in America, a remnant of these things, but it's a little bit better, I'd say, even though we could do without them.
- 2.20** In most of Europe, not so much in the UK—in the UK by this time, this had been abolished—a vast majority of people were serfs. Serfs were basically legally bound to this piece of land, which they did not own. The lord owned it. They had to work it, and most of the product went to the lord. They had nothing. Now, serfdom was eradicated in England, like the 14th century. So by then, again, this is part of the reason why I think these ideas and the relative freedom and capitalism evolves there first, rather than in other places in Europe.

- 2.21** You had relatively high taxes. Remember Robin Hood? You ever see Robin Hood, the movie? Read the books? High taxes. And taxes are the complete random decision of a king, tribal leader, council, whatever it happened to be, wherever that happened to be. Large restrictions on trade. There was no international trade, but there was restricted trade, partially because of lack of information and transportation, but partially just because the lord of this piece area wanted to know exactly what was going on right here and didn't want stuff coming in from the outside.
- 2.22** Disease was everywhere. Plague killed 70,000 residents of London, which was 15% of the city in 1667. So this is already well into the 17th century. This is after a fire destroyed basically the entire city in 1666. So you had fire, plague, just disaster. In the 14th century, about a third of the entire population of Europe died in the plague. 25 million people died in a plague. Five epidemics in the 16th century alone. Paris had 21 plagues in a period of 300 years. How many does it have today? Zero. Big difference. Health. We talked about health. Suddenly, plagues disappeared. What made that happen?
- 2.23** I think, I'll just say this, I think this is the most interesting question in all of human sciences. All of science is related to humanity and related. Why are we so rich? Why don't we have plagues? Why aren't we dying? What happened? I mean, all of our energy should be figuring out that, and I think we figured it out, but nobody knows. It seems like there's a lot of ignorance around this question, but this is the most important question. What happened about 250 years ago to eradicate all this horror? In Ireland, in the early 19th century, capitalism hadn't reached there yet. Life expectancy was 19. When you were born, you expected to live to be 19. Now, again, a lot of that is because many died in childhood. But that's shocking.
- 2.24** People all over Europe died from famine. You know how now, once in a while, we hear about famine, maybe in Africa? Maybe. Even that in the last few decades, you don't hear about much. But in Europe, regular famine occurred throughout Europe in the pre-industrial era. Indeed, pre-industrial era in Europe, since we brought up Africa, was poorer than Africa is today, significantly poorer. If you go to Africa today, I mean, Africa today, in comparison, most places have electricity, some places have running water. They have cell phones. Cell phones are quite prevalent in Africa. None of that existed, obviously, in Europe.
- 2.25** But even beyond that, just the way people lived, they were poorer than they are today in Africa, in the worst parts of Africa. Per capita GDP in Europe from 500 to 1500, a thousand years, grew by somewhere around zero. It didn't grow. From 1500, this is the Renaissance, to 1700, it grew about 0.1% a year. Almost can't see it. Income in 1500, average GDP per capita. Again, all these numbers are a little fudgy because how do you measure GDP? In 1500, nobody was keeping statistics. Economists have gone back and tried to estimate this based on what was going on. About \$215. In 1700, \$265. So

you've increased it by \$50 over what, 200 years? A little richer. But today, we'd consider that horrific.

- 2.26** This is a year, by the way. And until around 1500, but really not until the 19th century, almost no intellectual freedom. You said something that the authorities didn't like, you were put in jail or you were killed. Or if you were particularly unlucky, you were burnt at the stake. Because you said something people didn't like, the authorities, the church or the civil authorities didn't like. I mean, think about Galileo is obviously the famous story, but before Galileo, there was Bruno who was burnt at the stake.
- 2.27** And after Galileo, even in the 18th century, even in the Enlightenment period where we think about robust intellectual dialogue, Voltaire has to run away from Paris and has to live in Switzerland because they're going to arrest him. Diderot, who's in charge of editing the Encyclopedia, spends time in jail. John Locke in England. When a Catholic king comes to power, he needs to get out of there. He gets out of town, goes to Amsterdam, because he's afraid of what is going to happen to him if he stays in England. So even in this period of robust intellectual debate, the idea of free speech, the idea of the right to liberty, doesn't exist. It doesn't exist.
- 2.28** And anything they write, anything they communicate, they have to be really careful of what they say, so as not to offend the authorities. Again, this is exactly what they're rebelling against, the thinkers of the Enlightenment. And this is exactly the culture they bring forward. A culture where we can say, for the most part, I know we live in little tricky times these days, but for the most part, you can say pretty much anything. The government is not going to come after you, at least.
- 2.29** Maybe Facebook will, but the government is not coming after you. And that's a big difference. Facebook cannot put me in jail, cannot burn me at the stake. They can take away my account. Please do so. That would be great if Facebook took away my account. But they can't use physical force against me. In those days, they very much could. So again, think about how much better off we are, how much we've advanced. And to a large extent, those advancements are the consequences of these thinkers, the thinkers of the Enlightenment, that are bringing forward this idea of individual rights, this idea of individual liberty, this idea of human flourishing, which didn't exist beforehand, certainly didn't exist in the West beforehand.
- 2.30** So what happens? Well, as we talked about last class, the Enlightenment liberates the human mind. Scientific revolution happens. People start discovering stuff about the natural world. They started an understanding how the physical world works. I mean, Newton, it's hard to exaggerate his significance in human history. Not only because he was a brilliant scientist, but because of, when he came, it was this revolution. We can use our mind to understand the physical world. We don't have to attribute it to mystical forces.

- 2.31** Those books written a long time ago might not be right. It turns out that there are forces, natural forces, governing the movement of bodies, the movement of the physical stuff out there in the world. That was a complete revolution to people. Many people went into the sciences. There were whole societies in every of the major capitals of Europe. There were these societies of people doing experiments and interested in science, and science education explodes. I mean, among the few people who got an education, it explodes. There's a lot of interest in this.
- 2.32** As a consequence, people are now, as we talked about last time, they're demanding ability to act, the ability to do stuff, the ability to, I don't know, start businesses or invent stuff without asking for permission, without getting a grant from the king or getting approval from the authorities. They just do stuff. They're starting to take this new scientific knowledge that is coming through the pipeline, all this experimentation, all these observations, and all these new scientific theories, and they're taking them and they're applying them to the problems of existence.
- 2.33** You start getting engineers taking science. What do engineers do? They take science and use it to solve real-world problems. You start getting physicians actually using science, not just leeches to leech your blood, but actual science to try to figure out what's wrong with you and how to cure you. We'll get to the fact that they start developing hygiene because they figure out the germ theory, and that's huge. But all of this is a consequence of this scientific revolution that's going on.
- 2.34** The first manifestation of this new attitude, and the first manifestation of this first application of science to our problems, is really in England with the invention of the steam engine. The steam engine is invented in 1712 by a guy named Newcomen, and he uses it, and they're mining for coal, and the mines get flooded. They dig in, and water comes in. And there are these rich veins of coal out there that they could access, but they can't get to them because of the water. So he invents this pump. You think about manual pumps; suddenly he's invented a mechanized pump running on steam, that basically is pumping the water out, making it possible to mine more safely, and richer, the veins are now accessible to this.
- 2.35** In 1776, as I mentioned, Watt takes that steam engine design, makes it a lot more efficient, and makes it now accessible for other types of simple manufacturing. The first application is in textiles, running textile mills. We already have looms and other things that are already starting to be mechanized, and they're all running now on steam engine. And as a consequence, production just goes through the roof in terms of textiles.
- 2.36** So, cotton production. In 1765, England is producing half a million pounds of cotton by hand. Within, by 1784, what's that, 20 years? 12 million. From half a million to 12 million, and now by machine. And in 1812, the prices of cotton have dropped 99% since those early days of everything doing by hands, and 99%. Now, as that increased human flourishing, we now have access to textiles that are costing us one cent when they used

to cost a dollar. So every dollar we used to spend on clothes, or anything else we use textiles for, now we can spend 99 cents.

- 2.37** Who benefits the most from something like that? The poor. Because if you think about the rich, they can afford their dollar for their big curtains, their aristocrats or whatever that they're buying their fancy clothes. But the poor now have access to clothes. And not just clothes once a year that they can buy, but now they can buy regularly. They can buy regularly, and that increases cleanliness, it increases health, it now makes a different lifestyle available to people that didn't have it before. You start seeing people engaged in these kind of activities, and the whole society is starting to change because prices are dropping for the stuff that they used to have, but also new stuff is coming on board that nobody ever imagined would be available.
- 2.38** So England embraces this idea of entrepreneurship. Entrepreneurship being individuals discovering opportunities, discovering opportunities to create value, or, in other words, discovering opportunities to make a profit. Fundamentally, entrepreneurship is about discovery of profit opportunities. We'll talk about the profit motive in another class. People are going into business. People are starting little textile mills. They're starting other forms of workshops, other forms of manufacturing. They're building, they're creating, they're creating wealth. They're driving prices down, quality and quantity up.
- 2.39** Power looms in England, in 1813, there are 2,400 of them. By 1833, there are 100,000 of them. That's in 20 years, from 2,400 to 100,000. These are businessmen creating these. Businessmen gaining into the business, getting into producing and creating stuff. By the mid-19th century, England is considered the workshop of the world. It's basically building, creating, all the stuff that everybody else in the world is using and trading with them. Becomes this hub. It is in the 19th century, we'll see, up until the rise of America, it is the richest country in the world on a per-capita GDP basis, and it is a massive globalizing factor. It is trading with everybody. We'll talk about globalization.
- 2.40** It affects everything because even agriculture technology increases, so wheat production doubles in a matter of less than 50 years during this period on a bushel per acre. So the efficiency of farming a particular piece of land, you can now get double what you could 50 years earlier, which is astounding. What you have is a true permissionless society for a while. Now, it's not perfect, and you still have a king, and you still have a political system that is not completely free, and you still have interventions, and there's still aristocrats that expect special treatment.
- 2.41** And in England, everything is rough on the edges. This is not real freedom. Not yet, anyway. There's a lot of trade barriers, for example, the early part of the 19th century that were repealed in 1846. There's the repeal of the Corn Laws, and you get this massive expansion of trade after that and real globalization. That is the true beginning of globalization. It's probably 1846. As a consequence of all this, you get improved wages. People start making more money. From 1800 to 1850, average real income adjusted for inflation doubles. 1800 to 1850. You remember what we said, what

happened over 1000 years, nothing? And then over 200 years, a little bit? Suddenly doubling in 50 years. And then it doubles again from 1850 to 1900. So you're getting four times.

- 2.42** 1781. Just some stats, because—1781 to 1851, which is 70 years. Average wage gains are in excess of 60% for farm workers, 86% for blue-collar workers, and 140% for white-collar workers. Not a lot of white-collar workers, but they're making a lot of money, and there's a lot more of them. Why? Because as businesses are created, we need more accountants. We need more managers. We need more white collars. And there are few of those people. Wages go up, attract more people. That's how markets work.
- 2.43** Factory jobs. Again, there's this mythology about a factory job being hard and difficult. But as compared to what they were coming from, these were relatively easy jobs. They paid more, less physically demanding than farming. Remember, farming was not tractors. Today, what does a farmer do? They've got an iPad, and they run all their mechanized toys out there from the iPad. I mean, I love it. It's great. But there's not a lot of physical labor in farming today. Then, well, it was a plow, a horse or a bull or something, and you. It was manual labor. It was physical, and it required immense amount of time. So factory jobs, which were paid more, exploded during this period, and people rushed into the cities. We'll get some stats in a minute of how much urbanization was actually happening.
- 2.44** One of the biggest claims against capitalism of this period of the early 19th century, particularly in England, because everybody's read Charles Dickens? You guys have read Charles Dickens? What did Dickens write about? He wrote about the awful conditions in those factories without giving context. In particular, he wrote about the awful conditions of child labor, and how horrible child labor was. For many people, we think about the 19th century, we think about industrial revolution, you think, that's what they remember, child labor.
- 2.45** What were children doing before the industrial revolution? To some extent, what do children still do on the farm today? They worked. Why did people have a lot of children? One, because half didn't survive, and the other half, what did they need them for? Labor in the field. It was cheap labor, their room and board, basically. Kids have always worked. Throughout all of human history, children have worked. There's never been a time, with the exception of the last 200 years, where children have not worked. Education was something only the aristocrats had their children do. Most children didn't get education, didn't go to school, they didn't learn to read. A few people at the top got to do that.
- 2.46** So child labor has always been with us. Indeed, it is capitalism. It is this society that has eradicated child labor and is eradicating child labor right now in the third world. You've heard of the sweatshops and kids working in sweatshops? Horrible, right? But what were they doing before that? They were out in the field. Why are they in the factories? Because they can make more money and work fewer hours, and it's easier on them

than being in the field. They have a choice. It's not a great choice. I'd rather not have that choice for my kids, right? They'd rather go to school.

- 2.47** Why are they not going to school? Why do you think they're not going to school? Because their parents hate them? Because their parents are really, really nasty, evil people? Because their parents can't afford to feed them. If they don't work, they're poor. They're poor in a way that we cannot even imagine in the Western world. So we can sit back and say, oh, those kids shouldn't be in sweatshops. We should send them back. Send them to school. Are you going to pay for it? Who's going to pay for it? And who's going to feed them? Where's the money going to come from?
- 2.48** Interesting fact. In almost every country in the world, once average income reaches \$12,000 a year, child labor disappears. Why? Because for some reason, at that level of average income, the poor now have enough money to send their kids to school instead of to work. Whether you have laws against child labor or don't have laws against child labor, child labor disappears when you reach that level of wealth. Because parents don't want their kids to work. If they can afford not to send their kids to work, they don't.
- 2.49** So indeed, getting rich—one of the huge advantages of getting rich, one of the huge advantages of increased income, increased wealth, is that for the first time in all of human history, we can now afford to send our kids to school instead of having them work in the field or in the factory. One of the great benefits we have all, as parents and children, we're all children at some point, gotten from the existence of capitalism, and of course, one of those things that nobody ever gives capitalism any credit for.
- 2.50** By the way, another reason is that, at some point, the factory owner gets rich enough to replace the children with machines. He'd much rather have machines than children. If you have kids, managing kids, who the hell wants to do that? Not very productive labor. At some point, you get to the point where you replace, you put in machines, it's automated. Or you get rich enough so you can afford to pay adults. But nobody wants to manage children if they can afford not to.
- 2.51** By every standard, by every measure of living standards in England at the time, everything got better. People moved to the city; city life is better. Yes, it's more congested, but the opportunities are immense, both work opportunities, social opportunities. The opportunities to be exposed to culture and civilization increase. Cities, I say cities are better for most people. I know that because you can see, people move to cities. Why do they move to cities? Because they're better. Otherwise, they wouldn't move.
- 2.52** So generally in our society, at least during periods of development, what you see is rural people moving to the city, partially because it's so much more productive to grow food. You don't need as many people, so they can leave. They can abandon agriculture. People start eating meat. That seems weird, right? But people start eating meat for the

first time. Can't afford to eat meat before this. Meat becomes a regular part of diet in England in the 19th century. Wasn't before then.

- 2.53** People start saving money. For the first time, you have saving banks. For the first time, people are making money, and they're making more money than they spend. Now they have an opportunity, not just to stick it in the mattress, but they can actually put it in an account that earns interest. You start seeing a huge growth in saving banks. In 1800, there's basically zero savings by working people. The aristocrats, again, they do their thing. By 1829, there's 14. 3 million pounds. By 1850, there's 30 million pounds. And of course, this just accelerates. Today, nobody thinks twice because you have a saving account, for most of us.
- 2.54** You get sanitation. Sewers are built, piping for water, indoor plumbing. And pipes get better because old pipes, they leaked, and a lot of the sewage and the bad stuff, bacteria, got into the water. Suddenly, you got real good construction of pipes that don't leak, dramatic improvement in how you do iron and the creation of iron pumps. People start having baths. No one took a bath back then. Have you ever read—I don't know if you've seen, there's a show on one of the streaming platforms called Shogun. You've seen that? Shogun is based on a book by James Clavell. It was written, I think, in the '80s.
- 2.55** It's about some of the first Europeans who discovered Japan, and they come to Japan. And Japan is a very, very, very aesthetic culture. Japan, you have a bath every day, everything is clean, everything—for a variety of reasons, that's how the culture developed. The sailor who's British comes there, I think, I can't figure out if it's the 16th century. She says, "Do you want to have a bath?" He says, "What do you mean? I had one two weeks ago." She said, "What?" He said, "I had one two weeks ago. I need another one? What, do I smell bad?" She's rolling her eyes. Of course, you smell bad. You had one two weeks ago. So Europeans didn't bathe. Surprise, they got sick a lot.
- 2.56** But not only did they start bathing, partially because there was more time, there was more access to water, but there was now, people developed soap. And a whole industry around soap and shampoo and toothpaste, all new. These are new ideas. Listerine, the mouthwash, was 19th century. There was no such thing before. We got water treatment plants, indoor plumbing, washing machine, 1909. Anybody ever done washing by hand? I did. My first year in marriage, didn't have a washing machine. We used to go in the bathtub and wash clothes by hand. Not fun. Not fun. Washing machine, huge progress, particularly for women who were typically the ones doing the washing, and now this freed, freed them up.
- 2.57** Part of the whole idea of women going into the workplace was that they suddenly got ambitious. I've got time. Why am I stuck here? Remember, we talk about choices and we talk about careers and we talk about guilds, and things like that. What careers, choices, jobs were available to women, pre, really the 20th century? None. Zero. Zilch. No education. Wasn't available to 99. 99% of women. No careers, no jobs. You look

back and you say, there are no artists. You look at the Renaissance, almost no female artists. Yeah, they weren't allowed to be.

- 2.58** Even the limited freedom that maybe men had, women had none of that. So once the idea was, oh, individuals can be free, even then it was just men can be free. They can make choices, they can choose careers. But then it was like, wait a minute. If they can, why can't we? Women started demanding that. And that's, again, completely new. Women pursuing jobs is a late 19th, 20th century idea, 100-something years old. It's not that old. It didn't exist before. Again, appreciation for the world in which we live. I think that's an advance, by the way. I think that's a good thing. I know there's some people who might not.
- 2.59** Air conditioning. Missing a little bit of that right now. Air conditioning, huge advance. Makes a massive, massive part of the planet habitable. There's no Las Vegas without air conditioning. I mean, there really isn't Dallas and Houston and Austin and Atlanta as big cities. Maybe they're little settlements, but as big cities, none of them exists. Miami without air conditioning, not on the scale which we have today. That's all early 20th century. That's all this period of time that we're talking about, the big advancement.
- 2.60** Urbanization, 1670, 13% people live in towns. Towns here is 5% or more, 5,000 or more, sorry, 5,000 people or more. By 1850, it's 45% of British public live in towns of 5,000 or more. So, more than half. Or almost half. Today, 16% of all the population of the UK lives just in London. Just one city, and you've got multiple large cities. Agriculture labor drops because of the productivity increases, from 35% in 1801 to 22% in 1851. So fewer farmers. You see that across the board.
- 2.61** Life expectancy, finally. So death rates from 1740 to 1820, it goes from 35.8 per 1,000 of people dying to 21 per 1,000. So almost, almost half. Life expectancy, 1541, is 33, 34 in England, relatively advanced. 1761 is still only 34. 1811, 37. 1851, 39. 1871, 41, and by the early 1900s, it's 60. So life expectancy almost doubles during this 19th century, this industrial revolution that nobody likes to talk about.
- 2.62** Now, I'm not going to get into the Empire and imperialism and all of that, but I'll just say that, from everything I've studied, everything I've seen, the British Empire was a net negative, economically. It actually sucked money out of England. It actually was not a positive for the English economy. All of this advancement, all of this improvement in life expectancy, in wealth, in income, and everything else was in spite of the empire, sucking money out of it, not because of it. Again, people often attribute the opposite.
- 2.63** All right. Let's talk about America. Because America was like the UK, but on steroids. Because America really had much more freedom than the UK did, with one big significant exception, and that is the South. The American founding had this massive, massive compromise, which was allowing slavery to continue. And slavery is antithetical to everything that capitalism stands for. It's the opposite of the idea of treating individuals as end of themselves. It's the opposite of the idea of individual

rights. It's the opposite of the idea of liberty or freedom, of allowing people to pursue their choices, their values, their judgment.

- 2.64** Suddenly, you're treating human beings as animals. You're treating human beings as possessions. And there is not an accident that the South, actually, in spite of the mythology, the South actually remains poor as compared to the North. It's not an accident the North wins. Not only the North wins the Civil War because it has the righteous cause, but also it wins the Civil War because it's much richer. It's certainly much richer when it comes to manufacturing, ability to produce, manufacturing stuff. The United States is founded on the right principles except for the South.
- 2.65** As a consequence, I think the number is 93% of all important patents, inventions, innovations that happen in the United States or America between 1790 and the breakout of the Civil War happened in the North. 93%. The South is stagnant. There's none of this innovation. There's none of this spirit of building, creating, of changing. It's stagnant. They rely on the slaves and they're accepting, and there are a few slaveholders. It's not even most of the population, but they dominate the society. At the break of the Civil War, the North possesses 70%, 70% of the nation's wealth, 80% of its banking assets. Just three states, Massachusetts, New York, and Pennsylvania, 53% of the country's manufacturing capital, 54 % of its manufacturing output. This is at breakout, a little before the Civil War.
- 2.66** So I think Grant actually sends a letter at some point to somebody in the South saying, "Don't do this. We're going to kick your ass. We're a lot richer than you guys are. What are you doing? It's suicidal." The North, though, and starting post-Civil War, most of the country, although the South lags really until the 1980s, the South lags. But from the founding of America, really, through 1914, the northern United States is probably the freest economically that people have ever been in all of human history. This is the closest we've come to capitalism, that any country has ever come.
- 2.67** During this period, there is an explosion. A British visitor remarks that, "Every workman seems to be continually devising some new thing to assist him in his work, there being a strong desire, both with masters and workmen, throughout the New England states to be posted up in every new improvement." An Argentinian visitor remarks that the Yankees are like "walking workshops." They're constantly tinkering, they're constantly changing stuff. And they're ambitious, unbelievably ambitious. They want to improve their lives. They want to improve where they are.
- 2.68** The US Patent Office reported 659 agricultural inventions in the 1850s alone over the 10-year period, 659, ranging from plows to threshers, speeders, cornhuskers, butter churns, beehives. It's just this explosion of innovation that we've never seen in all of human history. Again, what happens when you liberate the human mind? You liberate the human soul. In every field, there are brand new innovations and progress. I'm just going to list them out. Telegraph, reaper, sewing machine, camera, phonograph,

electric light, motion picture, air travel, television, cheap automobile, all of that in that period leading up to 1914. Skyscrapers, suspension bridges, good ones.

- 2.69** Starting to control typhoid and yellow fever. So disease, to a large extent, those diseases are eliminated. Large-scale industries like steel and oil, assembly lines, which is a huge, again, innovation in mass production. Railroads, the United States has 35 during this period, by 1914, 35% of all the rail laid in the world is in the United States. We have railroads crisscrossing. You got corporate research. Edison has a lab where he's doing research, funded privately. No government funding for this. This is all private. He's spinning off companies that then make money out of this.
- 2.70** Bell Labs, where most of the innovations in the modern world, the microprocessor that runs all our electronics. Bell Labs, that was part of AT&T. Modern corporation, the whole idea of a corporation with limited liabilities, an invention of the 19th century, invention of this period in America. And then the robust financial markets that allocate capital to their most productive uses. Again, an American invention of this period.
- 2.71** You get great innovators, people whose name we all know, Eli Whitney, Morse, Morse code. Maybe you remember Morse code or not. Deere, John Deere, the tractors, 19th century. Edison, Bell, Otis, elevator. Do you go, sometimes see the Otis name? That's elevators, invented in the late 19th century, early 20th century. Carnegie, cheap steel. Goodyear, Goodyear tires. Singer, sewing machines, Singer sewing machines. Westinghouse, Eastman, cameras, Kodak, Eastman Kodak. Carrier is AC. Still have a company called Carrier. It's all this period. Carver changes agriculture. J.P. Morgan, of course, changes finance. Rockefeller is oil. Ford is automobiles. Wilbur and Orville, airplanes.
- 2.72** All this, all these names. And this is just a tiny list. The list will be way too, all within this period. Again, after a period of no change, suddenly you have an explosion of productivity, of change. And then you get great businessmen. On top of just great entrepreneurs, you get Rockefeller and Vanderbilt and Carnegie and J.J. Hill and J.P. Morgan and Frick and Ford. What do we typically learn about them in our history lessons? They were robber barons, robber barons. These people changed America. Not changed America. They made America. There is no America without them.
- 2.73** They built everything that we now take for granted, is a consequence of what they did. They built the industry, the railroads, the financial system. One of the things they innovated was they all hired scientists. One of the most amazing thing about people like Rockefeller and J.J. Hill is they hired scientists to work for them in labs, to figure out how to make their products cheaper, more efficient, more productive, and better. We'll talk about monopolies and accusation against them for being monopolies later on.
- 2.74** J.J. Hill built the only transcontinental railroad that got no government subsidies and basically allowed for the population of the Northern states, the Dakotas, Minnesota, Montana, all the way, and really created Seattle. The city of Seattle was a little village

until J.J. Hill made it into a port. These are the people that built this country. There is no country without them. And indeed, by the mid-19th century, America becomes the leading, the leading producer of entrepreneurs, if you will, and the richest country in the world, and the most economically significant country in the entire world.

- 2.75** You're seeing, we talked about the innovation, but of course, just like in England, wages go up, life expectancy increases, quality of life is dramatically, dramatically better. America becomes a society where normal people can buy amazing stuff, a consumer society. In 1914, Americans are significantly, about 50% richer than Brits. And the population, this is all happening while the population is exploding. 1790, when the Constitution is written, there's about 4 million people in America. By 1915, there were 100 million people in America. Go from 4 million to 100 million. And you see all this economic growth, and you see per-capita income going through the roof.
- 2.76** All right. By 1914, America is what we consider a modern society. People are drinking Coca-Cola. They're driving Ford automobiles. There's underground trains, all built by private entrepreneurs, by the way. They're working on skyscrapers. They have scientific management. They've got real businesses and corporations. They're shaving with Gillette razors. And they've actually got electricity in their homes for the first time. So across the board, you see this massive increase. And what you get by 1914, the breakout of World War I, is by far, unequivocally, the richest, most successful country in human history and in the world at that time.
- 2.77** It's not an accident that World War I cannot really end until the United States steps in. Whether you think it's justified that they did or not, the war ends because the United States brings its might to play. All right. We'll end there. We're going to talk more history in the next class, both finish up a little bit about the United States and about American history. But then we're going to look at the rest of the world, what's going on in the rest of the world, primarily moving to the 20th century.
- 2.78** But note, just the vast difference capitalism has made to human life. That's what I want you to get from this. The details don't matter. It's just numbers to impress you. But it's important to impress you because I want to impress on you how big of a deal capitalism is, how big of a deal this change that happened about 250 years ago is for human flourishing.
- 2.79** Why do you think something like capitalism did not develop in ancient Greece, even though maybe they had the ideas, they had the reverence for reason, and partly the individual? Would you attribute that to?
- 2.80** I think it was too early in human development. We're an animal that learns slowly. It takes time and it takes experience and it takes a certain amount of knowledge and it takes a certain amount of science. If you think about how much progress the Greeks make scientifically, it's quite amazing, but still a lot of what they're observing is wrong. They're still making a lot of mistakes. But those are the mistakes that you make as your

knowledge base grows and as you are studying and figured out. There's no shortcuts generally in life, and I think there's no shortcut in knowledge.

- 2.81** Now, there is a question, an important, crucial historical question of, why did we have this 1000-year gap? Why did we stop all scientific knowledge, really, for 1000 years? And a little outside the scope of this course, but interesting. But that corresponds very dramatically with the rise of Christianity, but that is the reality. From about 400 to 1400, nothing happens. Nothing happens. Not a single astronomical observation occurs. Before that, lots of astronomical observations. We're always interested in the stars, and they're moving, and they're changing, and every night's a little different. We are, once the Renaissance hits, we're looking at the stars, Galileo, Copernicus, Kepler, all looking at the stars.
- 2.82** 1000 years, nobody's looking at the stars. The only people to look at the stars in this 1000 years are some Chinese dudes and Arabs. Indeed, in the Islamic world, massive technological advancement, massive scientific advancement during this period. It dies for a variety of philosophical reasons, but they are moving the needle forward. Nothing in the Western world for 1000 years. So if you look at what's happening, the rise of Christianity, which suppresses the ancient world. And what is the Renaissance? The rebirth of the ancient world, the rebirth of discovery of the knowledge that we had in that ancient world.
- 2.83** And suddenly people are curious and suddenly it's unstoppable. The church tries to stop it, but it's exploding. It's not stoppable. So that 1000 years, we were held up. Imagine Rome is not undermined. Rome adopts more thoroughly the ideas of the Greeks. Who knows? Maybe you cut the evolution of all this by 500 years, maybe by 1000 years. I don't know. But the reality is that people debate whether the Dark Ages were dark, but by every measure of human flourishing, they were pretty dark.
- 2.84** Maybe they weren't complete pitch black. Maybe there was some progress, but it was minimal. Even the Middle Ages, minimal as compared to everything that happens afterwards. The Renaissance, artistically, culturally, was an explosion, and then the Enlightenment, and then you get the industrial revolution, which is just a different ball game. Capitalism is just a different world from anything that's ever existed in human history, from the perspective of material well-being.
- 2.85** You talk about the development of freedom and rights as a necessary precondition to the creation of all this wealth. But I was wondering, how much of that do you attribute to the development of ambition at the same time? Because a lot of the creation of wealth comes from not only people having the freedom, but then ambition as well.
- 2.86** Yeah. So the question really is, where does ambition come from? Why do people suddenly become ambitious? Why weren't they ambitious before? Here I think you can't separate it out. That is, ambition is a consequence of people starting to value their own lives. Who's ambitious? People have to have a certain amount of self-esteem to be

ambitious. They have to value their own life to be ambitious. Otherwise, ambition seems ludicrous. In a world where there's no progress and we're all sinners, in a world of original sin with no progress, how could you be ambitious? That's pretty arrogant of you.

2.87 So to get to the point where people are ambitious, they have to go through a phase of discovering reason, discovering individualism, the value of the individual, the value of their own life to themselves, right? The viewing their own life as an end in itself. Most people who were ambitious before, they were probably killed. Again, you get the exceptions like Leonardo, but that's because he was a genius. But most geniuses up until before the Renaissance were killed. They weren't allowed to be ambitious. So you need that freedom to be ambitious, but you also need self-worth. And that self-worth comes from these ideas.

2.88 It comes from this philosophical perspective on what makes you human, your capacity to think. I can think. I am a value. I'm a value to me. My life is valuable. And if I want to live a good life, and that's ambition, what's ambition? I want to make the most of my life. That's what it means. So I think you still need the ideas to come first to get the ambition. Now, for any given individual, maybe some of the thinkers were ambitious before they had the ideas. But for it to be a cultural phenomenon, it has to be part of the intellectual vibe, I don't know, zeitgeist. Thank you.

Lecture 3: Why Some Nations Thrive

At a glance — Why some nations thrive while others stagnate.

- 3.1** Before we go on to talking about the rest of the world, a few closing thoughts about what happened in America in the 19th century. America became, within 100 years, the richest, most powerful nation in the world. The level of innovation was unprecedented. In the world of atoms versus electrons, to use Peter Thiel's conception of innovation, almost everything that we have today has its roots in innovation that happened in that period between the founding of America and 1914.
- 3.2** That progress continued throughout the rest of American history. We'll get to that in a little bit. But never have we seen the speed, the rate, the growth that we saw during that period. This is a period in which, and we'll talk about this as well, there are no major wars. This is a period where other countries are competing, in a sense, economically. And yet America was a phenomenon, unprecedented. The question is why? Because some people say, well, look, it's easy. America has natural resources. I mean, it is. It has amazing natural resources. There's everything in this country. If you go out, it has some of the most fertile land in the world. It has gold and all the conventional natural resources, and it has oil.
- 3.3** Now, note, note that none of these things are really natural resources. Oil is not actually a natural resource. It's just black gunk oozing out of the ground. Before the industrial revolution, what was people's attitude towards this black gunk coming out of the ground? It lowered the value of your property. You couldn't grow anything on it. Who made oil a natural resource? Entrepreneurs, inventors, people who figured out that you could take this black gunk and, through a chemical process, turn it into something you could light, use for kerosene, light the world, or use in the internal combustion engine, use to make plastics. But that's what makes oil a natural resource.
- 3.4** Iron is in the ground. Until human ingenuity figures out what to do with it, it's just stuff in the ground. There are no, nothing is natural in that sense. It's all a product of human ingenuity. Yes, we have natural resources. America has natural resources. I don't have any, but America has natural resources. So does Russia. We'll talk about Russia in a little while. So does Russia, probably more than America in many respects. So does China. So does Europe. So does most of the world. And yet it was here that we managed to exploit those natural resources to maximum effect. Why? What was the cause of that?
- 3.5** America's big, people say. That's what made it possible for America to become so rich. Just as a big geographic space, and then immigrants came and filled it up. Again, Russia's bigger. Canada is pretty big, but granted, it's pretty cold. China's big. South America is pretty big. Nobody matched the use per square mile of nature for the betterment of humankind. America exploited others. Who are these others? Where are they? They got poorer as we got richer? That's a zero-sum world mentality that

assumes you can only improve at somebody else's expense. Yes. Did Americans engage in unjust towards the American Indians, for example, Native Americans? Yes. But that's not the reason America got rich. It's a tragedy that is part of that, but it's far from the reason why this country became rich.

- 3.6** So what is it? Was it war? A lot of people think that wars are how we create wealth, but wars are destructive. Wars are lose-lose. And indeed, this is relatively a period of peace, where there's very little war in the world. There's a reason for that, too. What's going on? How did America achieve what it achieved? It's because America was the most capitalist of all the countries. It's the one who liberated the human mind more than any other country did. It's the one where the system of government actually protected your ability to think for yourself, to be entrepreneurial, to change the world, to take the gunk that nature was providing us and turn it into something useful.
- 3.7** Human beings survive by changing their environment. Other species can't change their environment. When the environment changes, they either evolve or they die. Human beings, what do we do? If it gets cold, we figure out how to heat ourselves. If it gets too hot, we figure out how to cool ourselves. If we want to build homes, we blow up mountains and use the rocks to build homes or dig into the mountain and take out the iron ore and build skyscrapers. We change our environment to fit our needs. We survive by changing the environment. To do that, we need the freedom to think, to innovate, to produce. We need to live in a place where we don't have to ask for permission.
- 3.8** We don't have to get the authorities to approve. We need to be able to think, people say, out of the box, completely out of the box, as all these innovators at that last class we talked about actually did. Again, that rate of innovation never really had been seen in human history. Why did it happen here? It's a testament to capitalism. It's a testament to freedom. Free people produce, free people innovate, free people create. That's what you saw in America during the 19th century and early 20th century. And to some extent, you're still seeing it. You're still seeing it to the extent that we're free, to the extent that we have capitalism. To that extent, we see innovation and progress and success.
- 3.9** Even during the 19th century, it wasn't as free as it could have been and maybe should have been. Even in the 19th century, you had some controls, some regulations, some cronyism. But it's as close as we've ever gotten to that freedom. Maybe the place in which you saw the most controls, the most cronyism, the most regulation, was in the railroads, where the government was subsidizing railroads from pretty early on. The first transcontinental railroad was very heavily subsidized, and by the way, maybe not by accident, very heavily corrupt. Not a very good railroad, not a railroad that ever really made any money, and a railroad that got a lot of politicians in trouble because of the corruption.

- 3.10** J. J. Hill, who I mentioned last class, J. J. Hill actually built a railroad with no subsidies, with no corruption, with no government involvement, made money pretty much from day one, never needed government help, whereas the first transcontinental constantly needed help. The first industry to be regulated was the railroad industry with the Interstate Commerce Commission in 1887, the Pacific Railway Act in 1862, the ones that authorized the transcontinental. And so even in the beginning, you got real controls and regulations. The 1890s, you got the passage of the Sherman Act, the first Antitrust Act. The Clayton Act starts in the early 20th century. It's another antitrust law.
- 3.11** We'll talk about monopolies, but basically, again, intervention in order to adjust the size of businesses to what the politicians or the economists or the experts think is appropriate rather than letting us make those decisions, rather than letting business run its course. In other words, if we said that capitalism is a system that eliminates force from human transactions, from human engagement, the government once in a while interjected force in a variety of different places, in a variety of different ways, even during the height of capitalism in America.
- 3.12** Since then, things have changed dramatically. Starting in, I mentioned 1914, because 1914 is the beginning of what I would call a progressive era in America, it's Woodrow Wilson, this president. You get a number of government dramatic interventions into the economy that didn't exist in the past. You're starting to get more and more regulations, more and more concerns about intervention in the economy, more of the idea that we know better, that some central planner can guide things and determine how things should be. There are always excuses, financial crises, or safety concerns, or other issues that legitimize in people's eyes this intervention.
- 3.13** For example, 1914 is a date that you should remember because two of maybe the biggest interventions in American economy occurred then. The first was the creation of the Federal Reserve, a central bank. It's pretty amazing that America did not have a central bank until 1914. And yet, look how successful this economy was without one. And the second is a constitutional amendment that allows the government to lever an income tax, which was deemed unconstitutional until then. They promised, by the way, when it was passed, that it was 7%, highest bracket, only the rich would pay it. Nobody would pay. Within three years, it was up in the eighties, the top marginal rate, because the United States had joined World War I. They needed the funding.
- 3.14** So starting in 1914, what you see is a slow erosion. There's a short period during the 1920s where they back out of some of the regulations and controls and try to return to a more laissez-faire system, to a more free market system. But then you get a Great Depression. We'll talk about that in a future class. You get a Great Depression and more regulations, more controls, more government intervention in the economy on a massive scale. And of course, since then, what we've seen is government growing, regulations, controls, taxes. Economic power by the government grows dramatically.

- 3.15** A lot of this is a consequence. We'll talk about the more ideological consequence of why this came about. But a lot of this was a consequence of the Progressive movement. A group of intellectuals primarily were influenced by Europeans, came from Europe, primarily from Germany, brought European ideas of collectivism, of statism, of central planism, if that's a term. The idea, we can't really trust individuals. We can't really trust human reason. Not unless you happen to be one of the philosopher-kings, the Platonic. Only they can really know what's good for you.
- 3.16** Capitalism is messy, it's noisy, it's unpredictable. We need something predictable. We need something planned. We could do so much better if we planned this stuff out. You can read the progressives from the last part of the 19th century into the 20th century. We had two progressive presidents, Teddy Roosevelt and Woodrow Wilson, early on, who already were chipping away and cutting away at free markets, at capitalism that existed. From then on, that is where the momentum has been. Greater interventionism rather than greater liberty, where there was a New Deal, the great society, and the whole process of regulation since then, regulation of pretty much every one of our activities from a business sense, capitalism, the scope of freedom has shrunk and continues to shrink.
- 3.17** It's not an accident. Then today, when we think about great entrepreneurs, great businessmen, they're all in one sector. It's the Steve Jobs, the Bill Gates, the Elon Musks, the Jeff Bezos. They're all in one sector, which is tech. Because it's the one sector that's being the least regulated, the least controlled, where the human mind has been left the most free, where the government has intervened the least. That's where we get the entrepreneurs. That's where we get progress. That's where we get wealth creation.
- 3.18** How much progress has there been, put aside Tesla in automobiles? How much progress has there been in airplanes? I mean, every generation of Boeing airplane is slower than the previous generation. You can look this up. They just keep getting slower. The last great innovation was the Concord, and that's been dead for now a few decades, right? Now, maybe we'll get a resurrection of the supersonic plane. We'll see. Very little innovation happening in the kind of areas that we saw in the past.
- 3.19** Capitalism is no more in America. What we have today is very much what we call a mixed economy. Elements of capitalism, elements of freedom, some freedom, but contained and constrained by regulations, controlled by central planning, by statism. Indeed, every economy in the world today is a mixture of capitalism and socialism, capitalism and statism, in some degree or another.
- 3.20** In spite of that, in spite of all of that, the human mind is amazing, and our ambition is amazing. In spite of all the controls and the limitations, that spirit that came out of the Enlightenment in the 19th century still exists, particularly in this country, but to some extent all over the world. We'll get to some other countries in a minute. And that is

what pushes us ahead. That's what makes whatever innovations we have, whatever amazing stuff that we still have today, possible. It's that element of capitalism.

- 3.21** All right, I'll just mention that during this entire period, the rest of Europe is battling. The UK and the US, during the 19th century, were the ones that got closest to capitalism. Got closest both on the political liberty side, but also on the economic freedom side, to capitalism. Europe struggled, struggled with controls, struggled with authoritarianism, struggled with revolutions, struggled with political freedom. And as a consequence, it always lagged. It lagged in terms of freedoms. It lagged, therefore, in terms of economic success. France and Germany and others never matched the economic success in the UK of that period, and certainly not of the United States of that 100, 100-plus-year period of economic liberty in the US.
- 3.22** To a large extent, Europe and the rest of the world, and you can see it today more than ever, a free ride off of the innovations that happen; free ride means they get to enjoy the benefits for free. So when you build a steam engine, other people can then copy it all over the world. Maybe if you followed a patent, they have to pay you something, but they don't have to actually get involved in the innovation itself. To a large extent, Europe and much of the world, the Europeans hate to think in these terms, but it's the reality. Even today, if you think about tech, Europeans are free-riding off of Americans to a large extent. There's some tech innovation happening in Europe, but very little, because there's very little economic freedom or a lot less economic freedom in Europe than there is in the United States, even today.
- 3.23** OK, I want to move to a different part of the world completely, and really into the 20th century. I think it was 2004 or 2005. I was planning to go for the first time to China. I was going to go. Somebody had hired me to give a seminar on business ethics at a city in southern China called Dongguan, which is not far from Guangzhou, which is not far from Shenzhen, if you've heard of Shenzhen. It's not far from Hong Kong, that area of China. And I was going to meet a team of engineers and do a seminar there.
- 3.24** A friend of mine said to me, he said, "Look, if you're going to go to China, go to Shanghai." I said, "I don't want to go to Shanghai." China, it's communist. I'm not interested in China. I don't want to go to Shanghai. He said, "No, believe me, go to Shanghai. Even if you only go for 24 hours, go to Shanghai." So I changed my travel plans, flew into Shanghai for 24 hours, and I was blown away. I'd never seen anything like it. The skyscrapers, the colors, the lights, the billboards. They make Times Square look puny.
- 3.25** I mean, Louis Vuitton advertising. I was like, OK, I don't know what China is. I don't understand China. I don't get China. But communist, it's not. You don't get this in communism. You don't get skyscrapers, you don't get billboards, you don't get Louis Vuitton. You don't get what I experienced there, not just in Shanghai, but even just as much in Dongguan, and for a reason I'll get to in a minute. An energy in the street, an excitement that I'd never experienced anywhere. People were on the move. People

were building, people were creating, people were moving. It was a palpable energy in the air as a consequence.

- 3.26** How, in China, did this happen? Indeed, China, over the last 40 years, at least until pre-COVID, certainly, was experiencing economic growth rates unseen on planet Earth since the 19th century in America and in England, since the industrial revolution. But this was happening in China. This is absurd. It causes you to think, "What am I missing here?" I want to give you a little bit of context about China and why this happened. But to really understand it, we have to talk a little bit about Chinese history. I mean, modern Chinese history. We're not going to back to—we have to talk about Mao's China.
- 3.27** Because under Mao, China was unbelievably poor, a complete and utter economic disaster. It's hard really to comprehend how bad things were under Mao Zedong in China. Again, I'm not going to go into a lot of details, but in the late '50s, early '60s, there was a great leap forward. This was an attempt to industrialize. So everybody was required to make steel. People in their backyards started to try to—because they were going to industrialize. They also collectivized all the farms in China, but people were also incentivized not to farm and to start these local little industries.
- 3.28** It was just this attempt by a central planner, looking down. Basically, I am going to industrialize my society by force, by coercion, with authority. Everything capitalism is against, the exact opposite. That's what Mao did. By creating communes, by collectivizing everything. Grain yield was not determined by, I don't know, what people actually grow, it was determined by some bureaucrat saying, "This is how much you're going to grow. If you don't, there are going to be penalties." People were lying about how much they grew because they didn't want the penalties. It just, the whole system fell apart.
- 3.29** During this period, five years, '58 to '62, I mean, nobody really knows how many people died. But some of the estimates put it, I think conservatively, between 50 to 55 million people died. We're talking about dying of starvation. Dying because you don't have enough food to eat. This is shocking and a horrible, horrible way to die. China experienced probably the biggest famine in all of human history, not that long ago, within approximately my lifetime. Maybe over 50 million people died because they didn't have food in a country that always fed its people, because they were in exactly the opposite of what we've talked about is capitalism.
- 3.30** Central planned, collectivized, not care about the individual. Everything is done through authority. Everything is done through force and coercion. Individual initiative doesn't matter. Individual thought doesn't matter. The thinking all gets done at the top. You just follow orders. You just do what you're told. 50 million people died. Now, because of this, Mao was marginalized a little bit within the regime, but he came back with the storm in 1966, four years later. And this time, he imposed a cultural revolution, where he was going to bring back good old solid communist ideas.

- 3.31** I don't know if anybody's watched The Three-Body Problem. Anybody watched The Three-Body Problem? We got one. All right. You guys should watch The Three-Body Problem. Certainly, you should watch The Three-Body Problem, the first scene in the first episode because the first scene in the first episode of The Three-Body Problem is from the cultural revolution in China. It is a scientist being beaten to death in front of thousands of students cheering on and waving their red little book, Mao's red little book with quotations from Mao Zedong, as the scientist who's being beaten because his theories of physics are deemed counterrevolutionary.
- 3.32** It's a period in which, again, nobody really knows, but somewhere in a single digit, millions of people were killed, mostly intellectuals, for their ideas. A lot of scientists died during this period, '66 to '76, 10 years. Others were just sent into the countryside to be reeducated in communist ideas, to reconnect with nature. Many, again, died of starvation because they were city-dwellers. They didn't know what they were doing in the countryside. Tens of millions of people were persecuted during this period of time. That's the background.
- 3.33** China, at this point, is about as wealthy as England and America were before the Industrial Revolution. Well before. China is right there at the beginning. It is a brutal culture. It is a culture where individuals are not allowed to think for themselves, not allowed to act for themselves. The exact opposite of what we talked about, what capitalism is. This is communism. This is an ideology that is based on the collective, the common good, that rejects the individual, rejects freedom of thought. Everything is top-down, everything is planned, everything is regulated, everything is controlled. And China makes a shift. It's a slow shift.
- 3.34** The first thing that has to happen for this shift to happen is, thank goodness, Mao Zedong dies. In 1976, he dies. In 1978, Deng Xiaoping basically takes over the government of China. Now, Deng Xi Jinping is not a lover of liberty. Deng Xiaoping is no fan of individualism. He's no fan of capitalism. He indeed was Mao Zedong's right-hand man for most of the period during communism, but he had been sent to the countryside during the Cultural Revolution and had come back. But Deng, I guess one could say he was honest enough, not completely honest, but honest enough to realize how bad things were in China. He went and visited Japan. He actually came to the United States. He went to Singapore. And what he saw blew his mind.
- 3.35** Remember, China during Mao Zedong was isolated. People didn't travel, people didn't leave, people didn't see what was going on in the world. And suddenly, he realized how backward China really was. China was 200 years behind the times. And he said, "OK, I'm not going to give up power. I don't like this political freedom stuff, but we want to become rich like they are. How do we do it?" They started experimenting. For example, he went down to a place in southern China where Dongguan is or where Shenzhen is. This is a place where young Chinese would go to basically swim across the bay to make it to Hong Kong. Thousands of them were escaping to Hong Kong.

- 3.36** The local Chinese communist officials wanted to build a wall, build a fence to prevent them from leaving. He said, "You know what? What if we mimic some of what's going on in Hong Kong over here, so they want to stay here?" That's a revolution in thinking. Let's see. What's going on in Hong Kong? Basically, people are left alone. People can do what they want. People can be entrepreneurial, and they allow foreign capital to come in, and they trade with the world, and they're open. Let's try that. We'll try just in this little area, like around this small city called Shenzhen. There were a few hundred thousand, maybe less than that, local there that lived there. We'll just try it there and see what happens.
- 3.37** They did. They basically stepped back. They prevented violence, they prevented force, but they left it alone. And they told the people, "You can do what you want." Suddenly, this place boomed. It exploded. Today, Shenzhen has, I don't know, 12, 15 million people in it. Right next to it is Dongguan, which didn't exist back then, now has 10 million people in it. Next to it is Guangzhou, which was a tiny little village, and today has, I don't know, 20 million people in it. This whole area, basically everybody from the rest of China moved there because there was freedom there. And it exploded in terms of economic activity.
- 3.38** And then they expanded a little bit and expanded a little bit. And then they said, "Oh, if it's worked there, let's try it in Shanghai." And it worked in Shanghai. They gave people freedom. People became entrepreneurial, and they started building and creating, and wealth was created. And they still haven't expanded it to the rest of China. They're still only in certain zones. If you travel around China, which I have, you will go to places that are just as poor as they were 40 years ago. But other places that had seemed quite wealthy, very vibrant, very successful.
- 3.39** They opened up to foreign investment, they opened up to trade, and they liberalized. Indeed, during the 2000s, there was quite a bit of tech innovation in China. Alibaba and Tencent and some of these other companies were in some ways more advanced than some of our own tech companies here in the United States. They were innovating. They weren't just copying. It's stunning. They went, in 1978, GDP per capita was \$228. Now, today in 2022, it's 12,000, 60 times, 60 times, 40 years. Now, they're still poor. Let's be clear. Chinese, on a per-capita basis, are still poor. There's just a lot of them. But as individuals, they're poor. But that growth rate is just unbelievable.
- 3.40** People are now saying it's a new model. There's a model called state capitalism, where the state manages the freedom of the people, whatever the hell that means. You manage some stuff and some leave it alone. They're missing the point completely. What happened in China is, anywhere where they allowed for freedom, anywhere where it approached elements of capitalism, it succeeded. Almost all of the economic growth generated in China is generated as a consequence of the private companies, the private sector, the market places that were allowed to exist. The stagnation is in the state-run businesses. The stagnation is in the areas that the state controlled.

- 3.41** I mean, one can only just imagine what would have happened in China if they truly liberated the place and how rich they could be today. But that's not how people understand it. Maybe they'll learn. I doubt it, but maybe they'll learn from the fact that China is starting to work in reverse. Because the reality is that you cannot have, over the very long run, economic liberty without political liberty. At the end of the day, if people are free in every aspect of their lives, they're going to want to be free in this other aspect of their lives, in the political side. They don't want to take dictates in some areas once they taste what it's like to actually make your own decisions.
- 3.42** And the Communist Party, they call themselves the Communist Party, even though they're not communists, realizes this. The Communist Party is really a fascist party. It's really a party dedicated to control, dedicated to governing, ruling, overseeing. It has no grand philosophy and grand philosophical ambition like communists do. And they realized that the people will want freedom if they leave them alone like this, so they're slowly ratcheting back economic freedom. Over the last few years, we've seen a real effort to regulate and control big tech in China. Maybe in the US as well, we'll get to that, but certainly in China, right?
- 3.43** Jack Ma, the founder of Alibaba, one of the great entrepreneurs really of the late 20th century, disappeared for five years. I don't think he was in jail. I think he was at home. But why did he disappear? Because he dared to criticize the Chinese government. Many other entrepreneurs have stepped back. A lot of the tech companies now, Alibaba included, were broken up. They're now under constraints, and as a consequence, they're falling behind. There's very little innovation. Generally, Xi, who is the current premier in China, current dictator in China, he wants more role for the state-run enterprises. He wants more role for the state, for the government, for the powers to be. We're seeing less and less and less economic freedom.
- 3.44** And by the way, less and less and less intellectual freedom. Ten years ago, I could go to China, I could talk about capitalism, I could do talks at universities about capitalism. My books, Ayn Rand's books on capitalism, were all published in Chinese. Now they tell me not to come. I might be able to speak, but nobody will come and be in the audience because they're all afraid of being identified and suffering the consequences. The think tanks that used to be there talking about free markets and capitalism and things like that have all been shut down. China is going in reverse, away from capitalism.
- 3.45** And they realize that, if they're going to shut down economically, they have to also shut down intellectually. They realize the connection between the two. And that's exactly what's going on. So China is poor per capita. I think it will continue to be poor. I think the saddest thing going on, maybe one of the saddest things in the world today, is this identification of state capitalism, is this identification of the Chinese model as being somehow superior. And the West, America, Europe, eager to copy China, not the other way around.

- 3.46 You saw maybe the best illustration of this, really, a shocking illustration of this, was COVID. China got it first. China responded by locking people in their homes in Wuhan. I don't know if you remember this, it's a long time ago, right? But China locked up. In America, the attitude has always been—the CDC, in its plans, always had this idea—you can never lock people up. That goes against the very foundation of this country, and they will not accept it. Nobody will accept it. And yet when COVID came to Italy, the response was, "Oh, what the Chinese did, we'll lock people up." Then when it came to America, the response was, well, once they had a response, "We'll lock people up." We mimic the Chinese.
- 3.47 Indeed, our attacks on big tech, our attacks on much of our economic liberties and economic freedoms, it's almost like we are copying them, when you'd think we would copy ourselves from when we were incredibly successful as an economic superpower. Now, if you look at the rest of Asia, if you look at Japan, Japan opened up in the mid-19th century to Western ideas after hundreds of years was completely locked off. Wouldn't have anything to do with anybody else in the world. Opened up. It embraced Western ideas, embraced some ideas of liberty and freedom, industrialized incredibly quickly, late part of the 19th century, early 20th century.
- 3.48 Unfortunately, also adopted some of the fascist ideas of the West. As a consequence, we got a World War II. At the end of World War II, Japan was destroyed, completely. I mean, all we remember is Hiroshima, Nagasaki. But before Hiroshima, Nagasaki, the US Air Force basically firebombed every single Japanese city, turned them into rubble, every single one of them. Million people were homeless in Tokyo because of the firebombing of Tokyo.
- 3.49 They got a constitution at the end of World War II, a constitution written by an American, not by Japanese. They got an American constitution. General MacArthur sat down one weekend and basically wrote a constitution for the Japanese. In it, it includes the right to life, liberty, property, and the pursuit of happiness. Actually, I'm not sure property is in there, but life, liberty, and the pursuit of happiness is in there, in their Constitution. He basically went to the Emperor and says, "This is the new Constitution. Accept it." The Emperor said yes, because he knew who he was talking to. And that's the Constitution that has governed Japan since then.
- 3.50 In that sense, Japan has been freer and more open than it ever has in its history. It's freer and more open than most countries in the world. Its success economically—when you consider where they started in 1945 and how devastated they were and where they are today, it's stunning. They have stagnated over the last few decades because they're overregulated, overcontrolled, and not individualistic enough. But given how much they've achieved, it is amazing. It is truly amazing.
- 3.51 If you go in the rest of Asia, if you go to, we'll talk about the Koreas in a minute, you go to—Hong Kong is my favorite. Again, a great story with a sad ending. Hong Kong, when the British, post-World War II, when the British were there in World War II, they

appointed a governor who was a real pro-capitalist, an old-style classical liberal, really from the 19th century, who believed in freedom, believed in liberty, believed in capitalism. There were 600,000 people who lived in the general Hong Kong area when he took over. He basically said, "We're going to provide contracts, property right protection, legal protection from criminals, and that's it."

- 3.52** For decades, he wouldn't even accumulate economic statistics. It's like Milton Friedmann once went and said, "Where's the economic statistics? I'd like to show what an incredible success you've been." He said, "No, if I start doing economic statistics, then people will want to start controlling. People will want to use that to start manipulating. We just don't have statistics." So nobody knows. What we do know is that Hong Kong grew from 600,000 to 7.5 million people by, again, pre-COVID. We do know the GDP per capita in Hong Kong went from very, very poor, whatever the number was that he wouldn't measure, to higher than the US—in what, 60 years? Stunning economic success.
- 3.53** We know that immigrants from all over Asia try to get there in little rafts, swam if they could, any way they could. They weren't promised any welfare. They weren't promised any free health care. They weren't promised any regulation, safety protections, all of this stuff. They were just offered one simple thing: freedom. Freedom to pursue their values, freedom to start their own businesses, freedom to create wealth. And they did. One of the most entrepreneurial places on planet Earth, certainly the biggest, I think, success story of the 20th century. You go to Hong Kong, it has more skyscrapers than New York City does. It's stunning.
- 3.54** Sadly, during COVID, in 2020, the Chinese basically came in. It was supposed to be one nation, two systems, something like that. Hong Kong was supposed to stay free while China was very controlled. And during 2020, China basically took Hong Kong, and Hong Kong today is a part of China, really for all intents and purposes. And you're already seeing a decline. People are leaving. A lot of the best people have already left. A lot of people are in jail for acting against the Chinese. The laws are being imported from China against intellectual freedom. And you will see, I think over the next few decades, Hong Kong decline because of this lack of freedom.
- 3.55** Basically, there's a principle here. If you look at all over the world, all these different countries, there's one thing in common. The more a country embraces the ideas of capitalism, the more successful it is materially. The more successful its economy is, the more successful its entrepreneurs are, the more innovative, the more progress they make. The less they embrace these principles, the less well-off they are, the less successful they are.
- 3.56** And what are these principles? Well, it's basically the idea of individual rights. To the extent that you embrace individual rights, the freedom of the individual to live based on his own judgment and pursuit of his own values, to that extent, you're going to achieve human flourishing. To the extent that you don't, what you achieve is death and

destruction. It's a simple formula. As any country moves towards greater statism, it declines in terms of human flourishing. As it moves to greater freedom, it accelerates.

3.57 Now, the decline doesn't have to be instantaneous, and it doesn't have to be literally a decline. It could be just a lowering of the growth rate. But think of all the potential that you leave on the table. Think of all the lost life, the lost flourishing, the lost success, the lost wealth that you don't have, that you could have had, if things had not changed. It's a respect for property rights. It's a respect for individual liberty, respect for the rule of law, respect for individual liberty, for individual freedom, and for political freedom.

3.58 All right, I want to talk a little bit. We're not going to talk a lot about this. I want to talk a little bit about alternatives to capitalism, and particularly one, but we're going to talk about alternatives to capitalism, and then we'll call it a day. Of course, the most obvious, most well-known alternative to capitalism is socialism. Socialism, or at its most consistent application, communism. Under socialism, all the means of production, all the means of production are owned by the state or owned by the workers. But they are collectively owned. I put in quotation marks because it doesn't mean anything to say collectively owned. I'm not sure anybody owns it if the state owns it. The state is not a person. It's not mixing its labor and thought to create private ownership.

3.59 It is the abolishment of the profit motive. Indeed, profits are banned. It's a criminal offense to make a profit on anything. All production wages, prices, all economic decisions are determined from the top. Somebody is determining them. A politician, a political appointee is determining all those decisions. There's a collectivization of farming and of production, of factories, and there are some variations across this. And again, a consistent application of this, where everything is literally determined from the top, that would be communism. Everything is nationalized, everything is collectivized. That is communism.

3.60 If only some, sometimes, but there's a lot of controls and a lot of redistribution of wealth and very high taxes, we often call that socialism. But socialism entails government ownership or collectivized ownership of the means of production. I grew up in Israel, and Israel in the early days was socialist. The biggest employer in Israel, the number one employer in Israel, was the labor union. The labor union owned the means of production. It's only starting in the late 1970s, early '80s, that they privatized all those businesses, and Israel economically started to do really, really well. But for a long time, the means of production were owned by a collective entity.

3.61 Now, of course, the classic example of communism, we talked about Mao's communism, we talked about what collectivization of the farming system did there, and so-called industrialization did there, famines, death, destruction. But the same is true of the Soviet Union. The USSR is the most famous of communist countries. From day one, it was a disaster, a complete and utter disaster. Now, people don't know this and don't study it, and there's a lot of political interest to whitewash it. But the reality is that, from day one, they couldn't produce.

- 3.62 Standard of living went down. Poverty went up. Famines increased. It wasn't like it was a rich country before. It was a pretty poor country before. And yet the communists managed, at least in the early days, to make it even poorer. Most of the achievements of the early Soviet Union was a consequence of American investment, European investment, British investment, British and American engineering firms coming in, building stuff, building dams, building infrastructure, building factories. Americans and Europeans giving them loans, providing capital.
- 3.63 I mean, literally, the Soviet Union as an experiment is, from day one till the fall of the Berlin Wall or till the dissolution of the USSR, is one big example of complete and utter failure. And one of the great tragedies that I think of the 20th century is that this story, really, in all its details, has not been told or has been told, but to too few people, of how bad it got. In 1920, like the Revolution was in '17, there was one-seventh of the industrial production that they had before the Revolution. Now, granted, there was a war going on. That partially explains it, but it's not all of it.
- 3.64 I mean, everything was guided by belonging to the party and party loyalty and who you knew and your commitment to communist ideology. It had nothing to do with your abilities as a manager, as a producer. Of course, every decision you made was based on some central planning notion of how industry and how society should be structured. This organic freedom, the entrepreneurship that is so inherent in capitalism, did not exist. It was, of course, banned. For a short period of time, Lenin figured, "Things are really bad. I've collectivized everything. I've centralized everything. Things are not working." So he started privatizing stuff. There was a period there where they went backwards to more private and the economy recovered a little bit as a consequence.
- 3.65 I mean, even the communists know, deep down, they might not admit it, that you need to have the right incentives, and markets provide those, for production to actually happen. Most of that was reversed under Stalin. During the '20s, there was a famine. There's a famous famine in the 1930s, where in order to pay for all this stuff that the West was coming in and building for them, they needed foreign currency. So what they did in the 1930s, Ukraine—we got one Ukrainian here—Ukraine has some of the richest soil in the entire world. It's some of the most productive soil for agriculture that you'll find anywhere.
- 3.66 And what the Russians did, what the Russians did during the 1930s, is they took all the grain that was being grown by the farmers there, and they took it, and they exported it, and the farmers got nothing. And they couldn't even sustain their own grain in order to feed themselves. And what you got was a massive famine in Ukraine, not because they couldn't grow the food, but because the commissars, the people at the top, were taking it all from them and shipping it out in order to get the foreign currency so they could build the stuff that they wanted to build in Russia.
- 3.67 How many people died in the famines in Ukraine in the 1930s? Nobody really knows. But it's millions and millions and millions, probably tens of millions of people, literally

died of starvation. If you want to see a great movie, it's a good movie. It's also shocking. It's based on a true story. There's a movie called Mr. Jones, highly recommend it. It's about the first Western journalist who goes to Ukraine and discovers what's going on and sees what's going on and starts writing about it. It's stunning. It's shocking. I won't give it away, but it's shocking.

- 3.68** I will say this, that one of the things that he does, and this is a true story, and this is—communism has always been popular among the intellectuals. We'll get to why in a future class. But in the story of Mr. Jones, he's going to Moscow and he meets in Moscow the head of the New York Times bureau in Moscow. And the head of the New York Times bureau in Moscow is denying the famine, "It's not happening. Don't go there. Don't go see it. Don't do anything. Don't write about it. You'll get into trouble." All of this stuff while he's schmoozing and hanging out and having fun with the big shots within the Communist Party in Russia.
- 3.69** It turns out, years later, it's a true story, that he was a Soviet spy, that he was being paid off by Stalin, and he was writing these wonderful stories for the New York Times about all the progress the Soviet Union was making. It was made-up stuff. He influenced FDR to basically renew relations with the Soviet Union, diplomatic relations with him. So there was a significant pro-communist section within the American intelligentsia. It was very pro what was going on. But the reality was, people were dying. Stalin was killing many people. Millions and millions and millions of people died in the Soviet Union because of starvation, poverty, and political oppression.
- 3.70** After World War II, the Soviets would go into Eastern Europe, which they occupied. They'd basically going to East Germany and take a factory, dismantle it, move it to the Soviet Union, move it to Russia. They did that in all the different parts of Europe. This is why, to this day, Eastern Europeans do not trust Russia because they've experienced it. They know what happened. Shortages, lines for bread, lines for goods, no efficient distribution, no mechanism by which to know what the market is demanding or not demanding. So there would be surpluses here of stuff that nobody wanted, nobody needed; and basic stuff that people did want, and did need, there would be shortages.
- 3.71** And this is common practice all over the Soviet Union and indeed all over the East. This is common for communism. As we'll talk about next class, there's no mechanism by which to match supply and demand. You need freedom for that. Central planners cannot do that job. They've tried. Put the smartest people in Russia on it, smartest people in China on it, and they all failed. You cannot do it. Central planning is indeed impossible for a variety of reasons we'll talk about.
- 3.72** In 1950, countries like Poland, Czech Republic, Czechoslovakia at the time, Hungary, had a GDP per capita of a quarter of poor countries in Europe, a quarter, 25%, of countries like Spain and Italy, which were relatively poor in Europe. In 1989, they were much poorer than even the poorest European countries. And it's just a complete disaster. When the Berlin Wall fell and the West Germans saw what was going on in the

East, it was just shocking, stunning, how bad things had been under the Soviet Union under communism, how poor people had become.

3.73 East Germany was richer than West Germany at the end of World War II. It had more of the industrial capacity. But of course, that industrial capacity was stolen. And the rest of it, again, central planning just doesn't work. Communism fails. Now, Russia, sadly, has never been any better. Before communism, they had basically a tsar, and they had serfdom. Russia was one of the last countries that abolished serfdom in 1860. The tsar does away with it. So Russia has always been poor in its past. And of course, since the fall of the Berlin Wall, since dissolution of the USSR, they've had a fake democracy and a Putin authoritarianism. The results are pretty much the same.

3.74 Russia is still poor. Its per-capita GDP is less than 50% of that of the EU, the average of the EU. I'm not talking about the rich countries in the EU, the average. That includes all the Eastern European countries that are part of the EU. They were very, very, very poor when the Berlin Wall fell. They've all done well. Russia is still very poor. And remember, this is a country, and maybe this is one of the things to dispel this myth about natural resources, this is a country that has every natural resource out there. And the only thing that keeps them afloat is the fact that they have these natural resources, and they can pump them out and send them all over the world. But even there, they can't innovate; they can't produce new. They're stuck.

3.75 We talked about China's Mao, but we can talk about East and West Germany. The difference is unbelievable. West Germany, relatively, again, free country, some capitalism. East Germany, no capitalism, no freedom. One stays poor after World War II, the other one flourishes, mainly by adopting pro-freedom policies. It's interesting that, in West Germany, when the Allies occupied it, the Americans, the British, the Americans wanted to control prices. They wanted a very statist economic system. And it was a German Ministry of Finance that goes on the air one night and says, "Tomorrow, we're releasing all prices. We're taking away all price controls." And the Americans were furious. They wanted to be the statisticians. They wanted to control.

3.76 But it's that liberation of prices, that liberation of market, that actually allowed Germany to recover first. You've got other examples all over the world. I mean, maybe the one that's starkest right now, because we're living in it right now, is North and South Korea. North Korea is a communist country, right now. Have you ever seen those satellite photos of the Korean Peninsula? North is pitch black, South all lit up. But at the end of the Korean War, early 1950s, North Korea was richer than South Korea. North Korea has natural resources. South Korea does not.

3.77 And yet, South Korea is one of the richest countries in the world today on a per-capita GDP. It's one of the most successful. It has innovation. It has these amazing companies, Samsung, LG. You know a lot of them, Kia, Hyundai. They dominate global markets. North Korea produces absolutely nothing, except weapon systems. They have nothing. In North Korea, famines, again, famines, which used to be part of European society,

used to be part of the world, but we haven't seen a famine in the West in 250 years. Famines are regular occurrences in North Korea. Hundreds of thousands of people to this day die for lack of food in North Korea.

- 3.78** It's a weird communism because it's a communism with a— well, maybe all communism is like this. I think they are—personality worship. The leader of North Korea is viewed as some demigod. But so is Stalin, so is Mao. You could argue so is Chávez in Venezuela. Communism and this worship go hand in hand because we're all dependent on them. One person makes all the decisions. One person in his council. She becomes dependent on them. You better love him. What alternative is there? Life depends on him. North Korea is probably the poorest country in the world today, poorer than many countries in Africa. It's a complete and utter disaster, and yet South Korea today is politically free, economically relatively free.
- 3.79** Again, none of these countries reach even American capitalism of the late 19th century, and they certainly don't reach an ideal capitalist society. But again, to the extent that you're open, to the extent that you're capitalist, to the extent that you have that freedom, to that extent, you will succeed. To that extent, you achieve wealth. All right. We have two last examples quickly. This one I'll do very quickly, and then we'll spend a little bit of time in the second one. Anybody know what the richest country in Latin America used to be, like in the '50s, '60s? Per capita GDP? Venezuela was the richest country in Latin America. Today, poorest country in Latin America? Venezuela.
- 3.80** Anybody know what the poorest country in Latin America used to be? At least South America, maybe not Latin America, but South America. It used to be Chile. What's the richest country in Latin America today? Chile. What's the difference between Chile and Venezuela? One went like this and one went like that. Venezuela adopted socialism under Chávez and Maduro. It went like that. Became the poorest country in South America. In spite of the fact that it has massive natural resources, it has more oil than Saudi Arabia, more oil than Saudi Arabia. Chile was the poorest, became the richest. How did that happen? It embraced free markets. It embraced elements of capitalism. Unfortunately, under a dictator, under Pinochet, but most of that has sustained itself since then.
- 3.81** Free markets lead to wealth. Socialism leads to poverty. Yet one of the mysteries that we're going to have to untangle later on in this class is why every single Latin American country wants to be Venezuela and not Chile. And how do I know this? Because every single one of them elect leaders like Chávez and not like the leaders of Chile. Even Chile, not that long ago, elected a socialist president. I don't think he's going to last long, but they tried it at least. That's the biggest mystery we have. It should be the biggest mystery of the whole class. We'll answer it in the two final classes.
- 3.82** Why, in spite of capitalism's success, in spite of the fact that the more we try it, the better off we are, do we turn our backs to it, do we reject it, do we flirt constantly with socialism? OK, one last example. Then we have to—there's one example of socialism

that we're always told just doesn't fit into the mold I've just provided. There's one example that proves that I'm wrong, that capitalism is not the only way to get rich. And that is Sweden or Denmark, but Scandinavia more broadly. Sweden, we are told, is a socialist haven that's rich.

- 3.83** Now, this is complete nonsense, to put it mildly. Right now, Sweden has the ninth freest economy in the world, according to the Economic Freedom Index published by Heritage. It maybe is a little lower, according to the Fraser Economic Freedom Index. But anyway, it's one of the freest countries in the world in terms of the economy. So it's more capitalist than socialist to begin with. Now, it is true that Sweden did have a socialist period. Let's do a quick history of Sweden. Sweden used to be unbelievably poor, agrarian, horrible place, not a fun place to live. That's why a lot of Swedes moved to the US. A lot of Swedes in the Midwest, you'll find them in Minnesota, Wisconsin. Lots of Swedes over there. They emigrated out.
- 3.84** But in 1870s, in the 1870s, they dramatically reformed the economy. They dramatically reformed their form of governance, and they introduced, basically, capitalism. From 1870 until the early 20th century, Sweden actually was the freest economy in Europe. Respected property rights, entrepreneurship, low taxes, almost no regulations. It was just a real free market, real capitalism. During this period, it was the fastest-growing economy in Europe. It grew twice as fast as the UK did. Now, it started from a lower base, so you can understand that, but it's that freedom that made Sweden rich.
- 3.85** In 1936, they started to introduce elements of the welfare state. But even at this point, they were growing. They still had a significant free market, and they were growing faster than Italy and France. From '36 to 1970, they introduced a little bit of elements of welfare state and regulations. 1970, they go, I wouldn't say all-out socialist, but they go pretty far to the left and socialism.. They nationalize industries. Tax rate goes up to 85% marginal tax rate withoutt all the loopholes in America we had in the 1950s, when our marginal tax rate was that high.. They bail out companies; they subsidize companies. They went all in onn trying to control the economy and centrally plan. They still maintained political freedom, but economically, all in.
- 3.86** They dropped from the number fourth richest country in the OECD in the developed countries to number 16. So relative terms, they became a lot poorer than the rest of Europe. Economic growth ground to almost a halt. As I said, tax rates were high, corporate tax rates were over 50%. This famous author, I don't know if you've ever read Pippi Longstocking, but I did when I was a kid, Pippi. Anyway, the author of that book, which is a huge hit, and she was incredibly successful and made a lot of money, one year she documented that she paid 102% taxes. 102% was her marginal tax rate. She wrote an article about this. She was a leftist herself. She was quite a socialist, but she thought this was a little much.
- 3.87** The founder of Ikea left Sweden. Björn Borg, the tennis player, left Sweden. ABBA was probably the biggest industry in Sweden in those, you remember ABBA? Sweden, which

had been a manufacturing superpower up until 1960s, lost much of that capacity during this period. So from 1970 to the early 1990s, as Sweden went in, all in on socialism, or at least partially in on socialism, it declined, it lost its status, it lost wealth, and people left. Significant people left.

- 3.88** In 1991, Sweden started to do a U-turn. Privatize, liberalize, free up, lower taxes, eliminated wealth taxes and eliminated inheritance taxes. They lowered the marginal tax rates dramatically. They don't own any of the means of production anymore. They basically turned back towards more capitalism. Again, not my ideal, but more. Guess what happened? They started to become rich again. They started to make it all up, grew faster than any other European or most other European countries. And again, basic stuff, lower taxes, but primarily lower regulations, lower controls, lower government involvement, no subsidies, no bailouts, stuff like that.
- 3.89** Sweden is not an example of socialism successful. Sweden is an example of the exact opposite. Socialism, when it was tried in Sweden, failed, just like it fails everywhere else it is tried. This is in spite of fact that Sweden's, Swedes, generally have a strong work ethic. They're ambitious, generally. They're honest. It's a homogeneity. Everybody talks about homogeneous society, at least it was before they got so much immigrants, and that supposedly is good. It isn't under socialism. But even you take Sweden at its best today, relatively liberal, right? Swedish Americans, Swedes who emigrated to America, are a lot richer than Swedes in Sweden. Swedish Americans, in 2013, had an average income or GDP per capita of about \$69,000. Swedes, \$45,000, Swedes in Sweden.
- 3.90** So you take the same people and you put them in a different political environment, a different economic environment, a different environment in terms of opportunities, and they do better. Sweden is still significantly poorer than America on a per capita GDP basis. Individual Americans are significantly wealthier than individual Swedes. Socialism doesn't work. Statism doesn't work. We haven't talked about fascism, and I'm not going to, because it doesn't work. It's central planning. The difference between fascism, socialism—under fascism, you don't own the means of production. You control them. You leave people free to think that they own their stuff, but you're telling them what to do, how much to produce. They're not free to make decisions for themselves.
- 3.91** The reality is that, to the extent people embrace the ideas of liberty and freedom, to the extent that they embrace the ideas of capitalism, to that extent, they're successful from the perspective of individual human flourishing. Remember, that was our framing of the whole issue. To the extent that they embrace statism, whether it's socialism, fascism, or like Sweden and America today, the mixed economy, a mixture of capitalism and statism, to that extent, they become poorer.
- 3.92** And again, the question we should all be asking ourselves, that hopefully by the time we end, we will answer is, if that's true, what I just said, I think the evidence is overwhelming, why oh why are we abandoning one for the sake of the other, banning

the one that leads to human flourishing, and embracing the one that moves us away from that?

- 3.93** Professor, regarding the stagnation of China and United States, is this all due by the lockdown, 2020, or it comes earlier than that or way before that?
- 3.94** Way before that. I mean, in my view, the United States has grown way below its potential. Certainly since the New Deal, probably since the Wilson administration since 1914, but certainly since the 1930s. FDR's New Deal was incredibly destructive to the US economy. It caused the US economy— we didn't recover from the Great Depression because of FDR. In 1937-38, unemployment was at the same rate as it was when the Great Depression started. It had not improved at all. It improved from '35 to '37 and went back to being awful in '37. So nothing FDR did helped.
- 3.95** We got out of the Great Depression in 1945 when World War II ended, and a lot of the controls were lifted. So we lost a couple of decades there. And since then, our regulatory tax control, bailouts, subsidized programs have all been a force that have slowed down any economic progress we were trying to make. And that doesn't matter if you had a Republican administration, a Democratic administration, Republican Congress, Democratic Congress, Republican President, Democratic President. They were all statist. They all increased controls. They all increased regulations. They might change taxes a little bit, but nothing significant. Even when they do, it just means they borrow more money because they don't cut any spending. So it does nothing.
- 3.96** So all of them have been statist. Some have been marginally better, typically not the ones you'd expect. In the United States, it started really in 1914, and it was just much worse today than back then. Much worse. In China, they were moving in the right direction. And so this Xi guy became President, and he wanted to reassert control. And since he's been President, every year, this central government has more and more and more control over the economy, and that is leading to the stagnation.
- 3.97** I think the United States' economy has functioned under its potential for, again, 100 years, over 100 years, and it's only going to get worse. We're heading towards a period where it's going to be very difficult to grow this economy because of the levels of control. Again, what grows an economy? We'll talk about this next class, entrepreneurs, entrepreneurial activity. What grows an economy is business. And to the extent that you put restraints on it, to that extent, you're constraining the growth. So, yes, it's been a long time in this country and in Europe of controls.
- 3.98** So politically, the thought was that fascism died with Germany and Japan as they moved away. Then we had this big debate—capitalism, socialism, or communism? In today's world, as you see more and more state intervention over the economy, is it worth resurrecting the term fascism to describe the political influence over the economy? Is it worth resurrecting that term?

- 3.99** Absolutely. I mean, fascism is the direction in which I think most of the world economies are moving towards. Fascism is a system— from an economics perspective. We can talk about political, and fascism because of the Nazis is associated with racism. But in Mussolini's Italy, fascism was not associated with racism. It was more about control. And what fascism involved from an economic perspective is controlling business, but leaving people with the pretense that they were still running it. So you still had private ownership, but it means nothing. If you can't do with your business as you want, what is private ownership means? The government controls everything that you do.
- 3.100** And then, of course, from a political perspective, it means fewer and fewer rights, fewer and fewer freedoms, limitation of free speech, limitation in all political rights. That's what fascism meant. I think from an economic perspective, America has been moving towards fascism for 100 years. We have more and more controls, more and more regulations. The banking industry in the United States has basically already been taken over by the government, and to some extent has been again, since the New Deal, since the regulation of the '30s, '33 and '34. It just becomes worse. Dodd-Frank was another step in that direction 10 years ago.
- 3.101** So we're constantly moving in the direction of the government imposing more and more restrictions, more and more controls over everything that we do. And look, we now have in America, really, in some extent, for the first time under Biden, we have industrial planning. We now are deciding that we need more chip manufacturers. We have a CHIPS Act, which passed by both parties voted for it, where the government is now subsidizing chip manufacturing in the United States, picking winners and losers, what technology is going to be the technology of the future, which company should get government money in order to support their building. Then we've got massive subsidies for electric cars and for batteries and for solar panels and all this stuff.
- 3.102** As soon as you subsidize this industry, you're making it possible for somebody to innovate over here and say, no, that industry is not the way we get better energy or better cars because they're not getting the subsidy. Only those guys are getting the subsidy. So these guys are at a huge disadvantage. It distorts what we're doing completely, and it gets the government more and more involved and more and more entangled in our economic lives.
- 3.103** And it's not an accident at the same time that's happening, we also feel, at least, that our political freedoms are being restricted, that we just—is free speech the way it was just a little bit a while ago? Politically, do we really have options? It seems like we have one-party system these days. There's very little difference between Republicans and Democrats and anything important. Maybe on the social issues, there's big differences, but on anything economic, there's no difference between the two political parties these days. So our options are shrinking.

3.104 So yes, I think the idea—I mean, it's difficult to use the term fascism to describe the system because it's so entangled in people's minds with racism. But you even see growth in racism these days. Racism is on the rise in America from both the left and the right. So we're not heading in a good direction. We're heading away from capitalism, away from freedom, away from liberty, and towards a much more centralized, central planning regime, where it's likely our political freedoms will shrink as well. Thank you.

Lecture 4: The Mechanism of Capitalism

At a glance — The mechanism of capitalism — how markets coordinate.

- 4.1 All right, I don't know about you guys, but I need my cup of coffee every morning. Typically, I have a Nespresso machine, one of these little machines that you can put a pod in. There's about a thousand different pods that you can put in a thousand different flavors. Mine is different than my wife's, and I'm sure you guys probably like your coffee a little different than I do. I get the one that I like. I've tested a lot of them. I've tried a bunch of them. I get my little pod, put it in the machine, press the button, and there you go. I've got this amazing cup of coffee. I had one this morning. My hotel room has the same Nespresso. Great cup of coffee.
- 4.2 You know what's amazing about all of that and that whole process is, like I think most of you, I don't know anything about coffee. I have no idea what it is, where it comes from. How do they get it into those pods? How does that whole thing work? What's truly stunning about this is, I didn't need to know anything about how coffee is made, where it comes from. I have it available to me instantaneously. That made me think, I mean, where does coffee come from and how does it get to me and how come I have so many different varieties and how is it so relatively cheap and how does this whole thing work? How do the markets actually work?
- 4.3 I read up a little bit about the history of coffee, and it turns out that coffee was discovered by this shepherd in Ethiopia, like at 850 AD. Probably accidentally, probably was hungry, put some stuff. It turns out it's a berry. Who knew? Berries. Put it in a drink and drank it and got a high. And he was pretty happy. So his wife said, "Take this to the priest in the monastery." So he took it, took these berries to the priest in the monastery. And he said, "This is great. You put in water and you drink it and you feel really, really good."
- 4.4 And they said, "Oh my God, this is the work of the devil." And they threw it into the fire. And what happens when you put coffee in the fire? It roasts. You get this amazing aroma and you get this really—and they were like, "Whoa, OK, well, something's going on here." They got all the beans together, poured water over it, and stayed up all night. Kept them up all night. And that's how coffee was discovered.
- 4.5 And this illustrates a number of different things. One is that when people come up with new ideas and invent them, usually the response is, "Work of the devil. We don't want to have anything to do with that." That comes over and over and over again. Even today, what's the first response to artificial intelligence? Put aside whether it's really intelligence, but what's the first? "Oh my God, that's going to end the world. The world will end if we go along this path. We need to stop it." First response. That's typical of new technologies, new products.

- 4.6 Also, what's interesting here is, in very primitive societies, early on in human beings, when we were hunter-gatherers and herders and things like that, a lot of our discoveries probably happened by accident. But to take that coffee from 850 AD to a global enterprise that it is today, that doesn't happen by accident. I mean, think about the process. The process of farming coffee, the science now that goes into refining those berries to make them the kind of coffee that we all would like. Think about the processing once the berries are picked, and turn them into those coffee beans that we see.
- 4.7 Again, I have no idea how that's done. It's done differently in different places. That's why people have a preference for Guatemalan coffee versus Ethiopian coffee versus Kenyan coffee versus whatever. It can be set at different levels of intensity. Then there's the whole process of then taking all that refined beans and delivering them to manufacturers, to people who actually commercialize this and turn it into something we all can use. Then somehow it gets to a Starbucks or to inside those little pods, Nespresso, and I still don't know how they get them inside the pods and what's exactly inside there, into those pods so that I can get it in a Nespresso.
- 4.8 On every stage, there is a huge amount of thought into how it's done. There's so many people involved. There are the growers, there are the truck drivers, there are the engineers, there are biochemists or bio whatever, that do the science behind it. Then there's the whole business organization of a company like Starbucks or a company like Nespresso. There are the machines, the Nespresso machines. I have no idea how we went from Ethiopian berries and water to espresso, cappuccino, macchiato. I don't know all the different names, all the different coffees. I like my coffee straight.
- 4.9 Think about the complexity, the beauty of the process, and the reality is, you walk into any Starbucks on any given day. There it is, the coffee. You get a few choices, but you have the coffee you want. You can order it in a variety of different ways. It always costs approximately the same, no matter where you order it in the world, and you can go to Starbucks pretty much anywhere in the world. And there it is. And again, it's one of those things we all really take for granted. We don't think twice about it. We just get our coffee. But there is an entire world in the background, entire process in the background going on, that delivers that cup of coffee to us when we want it at a price that we want to pay for it.
- 4.10 And if we don't, I know people who refuse to go to Starbucks. It's too expensive. I'm not buying coffee at Starbucks. Fine. You can then buy it at home and make it at home, or you could buy a Nespresso machine. Maybe you think they don't make it quite right. I know a guy who is a world-class expert at making the best coffee on the planet. He does it at home. He has all the machinery he requires. Amazing, how not only has this bean become something that's become part of all of our lives, but each one of us likes it in a slightly different way, and somehow the market has adapted itself to deliver

exactly what we want, when we want it, at a price we're willing to pay for it. Magic? It certainly feels like magic.

- 4.11** But this is how markets, this is how markets left free, function. This is the beauty of capitalism. Capitalism and markets are a beautiful thing if you start thinking about what is actually going on in the background. So today, I want to talk about the process. This process of capitalism. How it all works. Yesterday, we talked about, or the last few classes, we talked about the fact that it worked. We talked about the history of it. Today, I want to talk about how it works in this class. How it actually comes to be that we get the coffee when we want it, at the price that we want.
- 4.12** To understand this, we need to understand that the first challenge—we're talking about economics today. This is going to be our economics class. The first question economics has to answer, the first question that is a challenge to human being is, how do we get stuff? Or in a sense, how do we produce? Because this is the thing about human beings, and we discussed this in a previous class a little bit, we don't have it programmed in us how to get the stuff that we need. We don't have it programmed in us to farm, to hunt. I know, sorry, if I asked you who has the gene for farming, a few of the guys will raise their hand because it's the macho thing to do.
- 4.13** But the reality is nobody has a gene for hunting. We have no idea how to hunt. I put you in the Amazon jungle, you don't know what to do. And indeed, if you just rely on your emotions or your instincts, you will die very, very quickly. What's required for you to survive in the Amazon jungle? What's required for human beings to survive anywhere? It's you need to start thinking and you need to start thinking quick. You need to start observing your environment, observing what's around you, figure out quickly what is poisonous and what is not, which is not going to be easy, and figuring out how to get more of the stuff that's not poisonous.
- 4.14** You need to figure out how to—everything. How do you make clothes? I don't know how to make clothes. Anybody here know how to make clothes? Maybe some of you do, but I don't know how to make clothes. But somebody in human history had to figure that out. From the very, very basics of how to take fur from animals, and instead of just filled with blood and all that stuff, dry it out, do whatever they do to it in order to make it possible for you to wear it to keep warm or to protect you from rain. How do you build a hut? Never mind a skyscraper. Every single one of those things requires real thought, real observation of reality, real use of human reason. It doesn't happen instinctually.
- 4.15** The fundamental problem in economics is that survival is not automatic. Human survival is not automatic. Therefore, thinking and action needs to be taken. What is that action? We call that action production. We produce. Some genius figured out 10,000 years ago, maybe it was 50,000 years ago, that if you drop a seed in the ground and you water it, a plant will grow. I mean, now, every three-year-old knows that because they've been taught that, they've been told that. But that observation and

understanding, cause-and-effect relationship, was an act of genius. No different than Newton or Einstein in that day.

- 4.16** Again, probably that person was told that what they observed is the work of the devil, and they probably burnt him at the stake and killed him. But luckily, the knowledge survived. Then some genius entrepreneur, like the Bill Gates of his day, figured out, "Huh"—and this is 10,000 years ago—"if that happened, I wonder if I can actually get the seeds and plant them in a systematic way and turn this into a business. Call it agriculture." Because we didn't have agriculture until about 10,000 years ago. Somebody had to invent it. Somebody had to figure out that this one causal relationship actually leads us to what? To an industry where we can grow en masse, and satisfy people's needs en masse. Indeed, maybe create people's needs, which is what production often does, creates the need.
- 4.17** Before that, people just hunted and gathered. Now they didn't have to anymore. Because a producer taught them, "Hey, we can create grain, you can bake bread, you can do all these things, not just haphazardly whenever you come across the plant, but we can actually create this on demand." So the number one thing economics, I think, needs to study, has studied, should study, is production. How do we produce? It's not obvious. The thing that production needs, the thing that you—if you think about it just a little bit, the first thing that production needs is people coming up with ideas. Ideas are the beginning of all economic activity.
- 4.18** In other words, the human mind, reason, the product of reason, is the beginning of all economic activities. Somebody had an idea of agriculture. Somebody came up with the idea for an iPhone. There is no iPhone unless somebody imagines it. That imagination is a product of observing reality, thinking about what's possible, and actually starting the action of planning it, of creating it. Capitalism requires people, or economic production, really, even before capitalism, requires people to think, requires people to be able to come up with ideas.
- 4.19** It's really, really important if we're going to advance, if we're going to progress, if we're going to grow, if we're going to be successful economically. It's really, really important that when they come up with ideas for new products, for new things, we don't burn them at the stake, or we don't steal the stuff from them, or then maybe we allow them to benefit from the fact that they have this idea, and let them profit—there's a word, profit—from their idea rather than steal the profit from them and take it all from them.
- 4.20** It turns out that, to really do this, produce on a large scale in a way that really has a grand impact on all of our lives, what we need is freedom. Freedom from force, freedom from burning at the stake, freedom from people stealing our stuff, including our ideas themselves, our patents, this is our intellectual property system, freedom from people stealing the rewards of the idea, of profits—we'll talk about profit more—through taxation or through just straight theft. If you eliminate force from society, what

you get is people coming up with ideas to innovate new things, to create new stuff, profiting for them, therefore providing them with an incentive to keep doing this.

- 4.21 What you get is the amazing productive capacity that we've seen over the last 250 years under capitalism or semi-capitalism or even the mixed economy, because there's some freedom for people to actually do all this action. If we're going to solve the problem of production, if we're going to solve this problem that human beings cannot survive, never mind thrive, never mind flourish, instinctually, automatically, then we have to give people the space, the ability, the freedom to think, to come up with ideas, to act on their thoughts, and to produce. Every act of production, every act of production starts with thinking.
- 4.22 Somebody discovering something completely new, maybe somebody discovering how to do something a little bit better. I'm going to make coffee that's a little bit different than the coffee everybody else makes. It's going to just be a little bit more refined, a little bit smoother, a little bit more intense and smoother at the same time. I don't know, I'm making this up. Then they do the genetic engineering or whatever. They manipulate the coffee bean to get it just the way they want to get it. But it's all along the line, every single phase of the supply chain requires an immense amount of thinking.
- 4.23 How do I get the trucks to deliver the beans at just the right time and control the environment in which we transport them so that they don't get ruined on the way to the shop? Maybe the design of the trucks is a little bit—I mean, one of the great innovations of the 19th century was refrigerated railway cars, which made it possible then to transport beef from the West all over the world, really, once you master refrigeration. And initially, refrigeration meant ice. Ice and, I guess, salt or whatever to keep the ice from melting. But that's what refrigeration—and then ultimately, it meant electric refrigeration. But all of that is a process of innovation. All of that is idea upon idea upon idea. But it always starts with somebody coming up with an idea, as small as it might be, two large-scale ideas like the iPhone that change everybody's lives.
- 4.24 Some production starts by accident, somebody throwing some coffee beans into the fire and observing a reaction. But even then, to turn that into an industry, to turn that into something all of us can use requires massive amounts of thinking and planning, forecasting, and then improving every little step. Note that while we can map out, if we map out how the coffee gets to you, from the grower over there, you will find that every step requires millions of people. I mean, we say the truck. Somebody has to produce that truck, but not somebody has to produce the truck. Somebody has to produce the metal from which the truck is made. Somebody has to mine the metal to make the truck. But then, of course, there's all the mining equipment that makes the mining possible to make the metal, to make the truck, to transport the beans.
- 4.25 How do you make the mining equipment? Notice also that, at every one of those stages, there's some financier, a banker in the background funding, making it possible,

giving loans, taking companies public, to make it possible for each one of these steps to actually get done. They don't get done without somebody paying wages or somebody paying for plans and equipment, and that requires loans, and that requires financing of one kind or another. That's just the truck. We haven't even talked about the wheels of the truck, which require rubber, which requires a whole other process in terms of growing rubber or synthetic rubber. Synthetic rubber requires oil, oil requires fracking, fracking requires—

- 4.26 You can see where this goes. If you take every one of the elements of everything that goes into transporting that coffee, you will discover that almost everybody on the planet is involved in getting you that little pod of Nespresso home so that you can drink your coffee. Almost everybody on the planet. One of the things that, as you start thinking about capitalism, as you start observing about markets, is markets are this amazing integrator. The whole world is integrated by this market phenomenon to the extent that it's allowed to function. It integrates knowledge, like the knowledge of the engineer on how to mine ore, gets integrated into building a truck that makes it possible to deliver the beans to—
- 4.27 There's a sense in which no one person knows everything that goes into making a cup of coffee. Then there's the cup, I have these paper cups. How do you make paper that doesn't melt when you pour hot water? I mean, there's no answer. But that's the beauty of it, that I don't need to know any of that. I have the cup, I have the coffee, it's all there, again, at a price that I want. At every single one of those steps, there's a human mind thinking, planning, integrating. There's no one person thinking about all these steps and integrating them. There's no central planner that has decided this is how the supply chain for coffee needs to look like. There's all these independent decision-making that's going on.
- 4.28 We'll talk about how that happens and what's the integrating mechanism. But all integrated together, again, to deliver that coffee to Starbucks when you walk in, the way you want it. You can add, ad infinitum, like, the milk that goes in, if you like cappuccino. Now, think of the supply chain for milk. It's simple. It comes from cows. Oh, my God. It has to be, all the steps that have to go from milking the cow, which is now automated, by the way, and computerized, and there's probably AI used in order to figure out how much optimally to milk a cow, not to over-milk it, not to under-milk it, and so on, all the way to getting that milk to Starbucks to put in your frappuccino, or whatever it is you drink.
- 4.29 So, ideas. Entrepreneurs basically take science, engineering, and they apply it to solving some opportunity, some issue, some problem that they observe in reality. The coffee is not quite fresh enough. The milk doesn't last quite long enough. People have these phones that they're carrying all over the place. What if we made that phone more useful to them? Put more stuff into it, like a GPS, music player, and a movie player, and an ad infinitum? Somebody had to think that. Discover there's an opportunity here.

What entrepreneurship really is, we talk about entrepreneurs, is really somebody discovering an opportunity. Somebody discovering an opportunity, and we'll get to this further down the road, but somebody discovering an opportunity to make money, to profit.

- 4.30** Because if you can't make money, you can't profit, it's not an opportunity. Because the fact that you're making a profit suggests something about, that you've added something of value. If you can't make money at it, you're not adding value. If you're losing money, you're actually depleting resources. You're making life worse. So, entrepreneurs observe, discover, figure out opportunities. They bring the resources together to make those opportunities a reality. Then they rely on a whole market process to be able to, hopefully, make a profit, deliver the product on time, at the right place, where you need it. Discovery, opportunity, and then taking action.
- 4.31** What fundamentally are the actions that an entrepreneur takes? Somebody starts Starbucks, somebody builds an iPhone, somebody starts a business in any field. What do they have to do? There's this mythology that businessmen and entrepreneurs don't really do anything. They're a bunch of paper shufflers. Marx was very big on this. They're just exploiters. They exploit labor. Labor does all the work, and the businessman and the entrepreneur does nothing. What does the entrepreneur actually have to do? Where do the workers come from? Think about workers. Before capitalism, they were basically living in the fields, or they belonged to guilds. But how did they get into factories? Where did the factories come from? What do entrepreneurs do?
- 4.32** Well, first, they have the idea. They figure out an action plan for what they want to do, and then they have to fund it. Stuff doesn't appear out of nowhere. Workers won't work for free. I mean, that's pretty stunning, I know, surprising, but they won't work for free. Take a biotech company today, right? A biotech company. You might start a biotech company today, and it might take you 10 years, 15 years, before you see a product. Easily 10, 15 years before you see any revenue coming in. Moderna, which was made famous by the COVID vaccine, Moderna had never seen a profit until it made that vaccine. It was doing stuff, no profit. Who paid the wages of the people for all those years when they didn't make any money?
- 4.33** No scientist at Moderna actually worked for free. The maintenance crew that cleaned the equipment didn't work for free. Indeed, the equipment didn't show up out of nowhere and just land in Moderna's place like manna from heaven. It had to be bought, it had to be designed, it had to be built, it had to be created, and that all cost money. So how did this show up? How did it all arrive? Who paid the wages when there was literally no revenue, zero revenue, no money coming in? Bankers, venture capitalists, financiers. The people provide capital in advance, knowing they will not see any money back for 10, 15 years. Literally, they'll give you millions of dollars and then sit and wait.

- 4.34 If you're a venture capitalist, you know that about half of the money you give away, you will never see back. Zero is what you'll get back. You're hoping that one out of every 10 will make you so much money that it'll compensate you for the fact that five out of 10 go bust. The first thing an entrepreneur has to do is convince a bunch of very skeptical financiers that he's going to be that one that will make them enough money to compensate for all their losses, that he's not going to be one of the five that they will lose on. Because no venture capitalist invests in you knowing you're going to lose their money. They assume every investment is going to be the home run, and only by assuming every investment is going to be the home run, do they get one of the investments to be a home run.
- 4.35 There's a process here of convincing, of putting a plan together, of marketing, of rationally showing to people this is going to be successful. It's worth your while to have the money parked for 10 years because you'll make so much money afterwards. Then, of course, when the money is made, just hold this in the back of your mind, when the money is made, what do we all do in the world in which we live today? We all complain. How dare Moderna or any one of these companies make so much money? Their profits are so high. How dare they do that? We should have an excess profits tax, which is what they try to do on oil periodically, which is what they've tried to do on pharmaceuticals. Indeed, we do that on pharmaceuticals. We have that on pharmaceuticals.
- 4.36 How dare they make a lot of money? Forgetting, among many things, that for 10 years, the money was just there. Somebody provided. Wages were paid. Equipment was bought. Marketing was done with no return. The entrepreneur needs to bring their money in. Job number one. The financiers serve a crucial role here. We're not going to get into everything that they do, but they serve a crucial role here in figuring out who are the winners and who are the losers. Who deserves to get this funding? And who doesn't deserve to get the funding?
- 4.37 Those bankers and those capitalists that we hate as a culture so much are maybe the most crucial element in what's going on in capitalism because they're the ones that make it possible for us to benefit from all the goods by providing the financing to entrepreneurs and to businesses to grow, in order to make it possible for us to get all those goods that we enjoy so much. None of that would be possible without a financial market, a whole marketplace that delivers capital to where it's needed, when it's needed, and doesn't give capital to failures, or to what they expect to be failures, or what is no good.
- 4.38 It's, again, a kind of a magic, appears to be, because it's the thought process of a bunch of different people, and we don't see those thoughts, and they are evaluating. And what is the thing that is motivating them in terms of making the investment or not making the investment? That thing, a thing that throughout so much of our history we have despised, what motivates them around what they should invest and what they

shouldn't invest is, "Will I make money? Will I profit? Will I not profit?" It turns out that this profit motive is part of what integrates this entire system, and without it, everything collapses. Because without it, I'll invest in the failures just as much as I invest in the success, and we waste a huge amount.

- 4.39 Which is, by the way, usually what happens when you have a central planner. When somebody is investing money that they have no skin in the game from, to use Nassim Taleb's terminology, they don't have an incentive, they don't have a vested interest. It's what happens when government starts allocating this capital instead of individuals. You don't have that, "I'm going to make sure I can make money at this because if I don't, I'm not going to be able to eat tomorrow. I'm not going to be able to live. The way I make a living is by making sure that the investments are good investments. It doesn't mean I won't make mistakes, but it also means I'm going to try really hard."
- 4.40 So, capitalist has to raise the funds. The entrepreneur, sorry, has to raise the funds. He has to bring in the capital to pay the employees. So workers in a factory, they—Marx says they're being exploited, and yet they come in, they get paid day one. Day one, they get paid. Capitalist doesn't get paid. They get paid. Who's exploiting who? Well, nobody. But if anybody, it's the other way around. The workers are getting paid. Capitalist isn't. Maybe if the workers do a good job and maybe if the entrepreneur does a good job, one day the capitalist will get paid. But in the meantime, only one party is getting paid.
- 4.41 So labor exists because there's an entrepreneur and a capitalist. There is no such thing as labor without an entrepreneur with an idea and a capitalist willing to fund it. It just doesn't exist. There is no labor. There's no subsistence farmers and guild workers without it. So, entrepreneur gets some money, hires the people, they're all there. Maybe he buys the machines, he's going to build a car. I mean, one of the myths again, this Marxist notion, it's as if, like, a bunch of workers get together and they go, "Let's build a car. What the hell?" As if this idea pops into their collective consciousness, as if there is such a thing all at once. And then they say, "OK, let's build a car. How do we build a car?"
- 4.42 Then they know how to, for example, do what we call division of labor. Oh, you'll be the engineer, and you'll build the tires, and you'll build the chassis. I don't know how to make a car, but again, you have to have division of labor. This is what an entrepreneur does. He hires people with particular expertise or particular knowledge, or that he can teach how to make the tire. He hires people how to make a chassis. He then hires a bunch of scientists and engineers so that they can actually design the car that he imagines and figure out the science of it, and every year makes one that's better. Then he probably, today there's such a thing as engineers who specialize just in the process. How do we take all this raw material and turn it into a car? How do we optimize the process? You hire one of those engineers, industrial engineers, I think they're called.

- 4.43 What the entrepreneur is doing is he's creating this division of labor. He's identifying the needs and he's hiring specialists, or he's creating specialists, if it's a new product. The first people to design automobiles and build them, they built them from scratch. Henry Ford, the first automobile he built, he built in his garage. He built everything. He built every part of it. Turned out, he made the automobile wider than the entrance to the garage. He literally had to dismantle the garage to get the automobile out of it. Anybody know how many companies Ford created before he was Ford? He started two companies to build automobiles. Both failed. Only in the third try did he create Ford Auto Company, which became what Ford is today and what Ford has been.
- 4.44 So he had to perfect it. He had to figure it out. But it's Ford who had the idea of what an automobile looks like, how do you build it, because he built it by hand, and then started to figure out who should build what and how to do it, how to do it efficiently, how to do it cost-effectively. And how to produce a car that people actually wanted to drive and one that would fit in people's garages. Maybe they didn't have garages before then, but they had garages, I guess, for their horse and buggy. You have to figure out the division of labor. You to organize. And part of organization is called management. And again, managers are considered exploiters, useless paper shufflers, and yet nothing happens without them. They manage the process. They coordinate the effort. They assign and organize and supervise and manage the division of labor within a business.
- 4.45 There is no production on scale. There's no production that could make possible the kind of increase in life expectancy and quality of life and wealth that humanity experienced during the 19th and 20th centuries without entrepreneurs, managers, capitalists, without that kind of work, without that kind of process. None of it is possible. This is the fundamental work, the work of being a producer. As a culture, it's work that we undervalue tremendously. We ridicule, again, Marx views them all as exploiters, fundamentally. So much of our culture has learned that from him. And yet without it, none of what we have exists.
- 4.46 These are individuals, and it's many individuals because it's not any one, even in any given company. Usually, it's one who has the vision, the entrepreneur. But then it's a bunch of other individuals that have to do all the pieces. But every single one of them is a piece of building something that is meaningful. One person typically is the one who integrates it all, whether it's Steve Jobs at Apple, Elon Musk and the 555 companies that he runs, or whether it is Jeff Bezos at Amazon. They have the vision, they integrate it all, but they need all these other people to do all their functions because they can't do it all themselves. Henry Ford can build one car; he can't build a million. He needs to hire people in order to build a million.
- 4.47 The problem of production is solved by leaving people free, to think, to organize, to integrate, to do what is necessary in order to produce. That's how business gets started, gets started with an entrepreneur. But then it needs to be sustained. It needs

to be sustained over time. Businesses grow. Some businesses survive for many, many decades. Some businesses go out of business very, very quickly. How is business sustained? How does it keep going? There's a lot of talk about sustainability. Culture, we talk a lot about sustainability. The most sustainable economic system in all of human history is capitalism. It's self-sustaining. How is it self-sustaining? It provides products to people, and it sells them at a cost that is higher than what? Than how much it costs to build the thing.

- 4.48** It takes all these inputs, puts them all together in a package, and then sells them at a higher price than what it cost them to put it together, and the difference is the profit. What does that profit allow the company to do? Reinvest money in creating the next product, reinvest money in improving it, in growing. If it's a successful product, that people like the product, they will invest heavily, build new models, new types, new things, and grow the industry, grow the business. The profit is what makes it sustainable, keeps it going. The most sustainable business is a profitable business. If what we really mean by sustainable, which is not what the culture means by sustainable, what we mean by sustainable is that it can sustain itself, that it can keep going, out of its own energy in a sense.
- 4.49** What really sustains a business once you have the right kind of management and the organization and the people and the capital is profit. Why is it that I'm willing to pay \$1,000 for an iPhone? Why? Well, it turns out that this iPhone is worth to me more than \$1,000. For a variety of reasons, this provides me with more value in my life than \$1,000. Indeed, don't tell Apple, but this is worth tens of thousands of dollars to me. I mean, I don't know how you put a price to what this provides to my life, whether it's the ability to access every piece of music ever written at a basically marginal cost of zero, or whether it's the ability to communicate via video anywhere in the world at any time with almost, again, marginal cost of zero. I can read my kids a bedtime story by video. How much is that worth? A lot.
- 4.50** The ability to have a calendar, the ability to not have to use paper maps while you're driving. God, you guys are too young to remember what it was like to go to a new city and have to open a paper map and try not to bump into everybody on the road while you're driving and trying to figure out where you're going to go. I mean, this has saved lives. Just the GPS feature and the map feature has saved lives. How much is that worth? Well, to me, it's worth more than \$1,000, much more than \$1,000. I'm eager, willing, happy to give up \$1,000 to get one of these because it adds so much value to my life.
- 4.51** Now, it might not add that much value to your life or to any given person's life. What happens then? They don't buy it because they say, "\$1,000 in my pocket, iPhone, I'd prefer the \$1,000." Easy. For me, eager to give the \$1,000 up to get the iPhone. I gained because I bought the iPhone for \$1,000. What about Apple? Did they lose? No, of course, they made a profit. A pretty hefty profit, because I'm so eager, I guess, and

so many of us are so eager, and there's so much value there for all of us, and the competition is not quite as good as Apple, that we're willing to spend that money. So Apple makes a profit. I made a profit. Cool. Win-win. Everybody wins in a voluntary trade where I wasn't coerced to do it. I wasn't forced to do it. I win, Apple wins. It's an amazing, amazing system. We'll get to this idea of trade in a few minutes.

- 4.52 Apple then takes that profit and invests in the next generation of iPhones. It's also investing heavily in artificial intelligence. It's heavily investing in other products we don't know about. They're self-sustaining. Apple doesn't need some new injection of help, subsidies, at least now when it's profitable. Wasn't always profitable. I don't know how many of you remember this, but Apple used to be a struggling company. Before Steve Jobs rejoined, it was struggling. It needed capital. In one of the great weird stories out there, it got a big chunk of capital from Microsoft, its competitor, in the 1990s, that allowed it to survive and actually get to the point where it could take off, like it did after Steve Jobs joined.
- 4.53 It turns out, as we'll see, capitalism is a lot more about cooperation than it is competition. Huge amount of cooperation, even among competitors, because there's real value. Win-win. Real value in that cooperation, cooperation that's based on trade. So profits allow the company to sustain itself. Profits require, really, to be sustainable, profits require long-term thinking. They require Apple to be selling this—I think it's an iPhone 15. But my guess is there's somebody at Apple already thinking about iPhone 16 for sure, because they're probably already manufacturing it. 17, maybe even 18 and 19 and 20, there are people starting to outline what will be included, what kind of technology they'll need, what kind of scientific breakthroughs they'll have to make, what new chip technology they will have to be able to supply.
- 4.54 They're already projecting that into the future because that's the only way they can keep up. That's the only way it's sustainable. That's the only way they can guarantee continued profit, which is what their shareholders today hired management to do, make them money. But it's this money that gets them to thinking long-term, not just the money, but the love of it and the passion and the challenge of it. It's this long-term thinking that is going to guarantee that they continue to be profitable. They can't be profitable without that long-term thinking. It fosters this need to think long-term about how to make this cheaper and cheaper so that you can sustain a profit in spite of competitive pressures, in spite of changing technologies. That fosters creativity, passion, and ultimately, cooperation.
- 4.55 We can talk about how many components go into this phone. How many countries do you think generate components that go into this phone? How many countries? We all think China. But how many countries? It turns out 43. At least it's some version of the iPhone. I don't think anybody updates this regularly. 43 different components are coming from 43 different countries to go into this. That's not companies. It's hundreds

of companies that are generating components. They come from all over the world, from raw materials all the way to chips and screens.

- 4.56 For a long time, this glass thing is made by Corning, but key components inside this phone are, for example, made by Samsung, the South Korean company, Samsung, that makes a phone like the iPhone and competes with the iPhone, and yet it's selling Apple components for the iPhone. Why? Because it's profitable for Samsung to do it, and it's profitable for Apple to do it. I think the memory chips inside the phone are Samsung memory chips. Massive amounts of cooperation go into sustaining profit. Of course, if you think about it, the whole idea of a business is a big place in which we cooperate.
- 4.57 That's why maybe it's called a corporation. But it sounds similar, right? We cooperate. I'm the manager, you're the employees. We cooperate on the basis of a certain understanding, on the basis of a certain fee structure, on the basis of certain wages, we trade. You give me your time, your effort, your mind. I give you money. So the profit motive is fostering all of this. We produce, we invest. And of course, the profits allow us to incentivize people. They reward our shareholders for being patient, for providing us with the capital, for investing in us. They reward managers for being good at what they're doing.
- 4.58 Because what is the flip side of profit? Losses. Losses are really, really important. Why are losses really, really important? Because they cause companies that are not sustainable, they cause companies that are not providing value, to go out of business. And therefore we get rid of the junk, in a sense. We get rid of that which is not sustainable. We get rid of that which is not providing real value. How do we know it's not providing real value? People are not interested in buying it. Not at the price greater than what it costs to produce. If it's not worth what it costs to produce it, then it's wasteful.
- 4.59 Losing money is important. Letting companies lose money and letting companies go out of business is super important. It's one of the real evils of bailouts. Because we stop that process from happening. We artificially decide, "No, no, we should sustain this company in spite of the fact that it's destroying wealth, in spite of the fact that it's not efficient, in spite of the fact that it's not sustainable." Some central planner, somebody on top, some boss decides, "No, no, we should keep it going," which we do regularly in the United States, but all mixed economies out there do.
- 4.60 Wouldn't happen under capitalism. In capitalism, lose money, enough. You will go out of business, and the capital that used to fund you will be redeployed for somebody who actually can make money, actually provide a value in the world. It's not that it all disappears, all that plant and equipment gets sold. Maybe it gets melted down and redone. Maybe the equipment can be used by somebody else exactly as it is. It doesn't matter. The point is, it's going to be put to more effective, efficient, productive, profitable use. So bankruptcy, losses, a good thing, not a bad thing.

- 4.61 The economist Schumpeter called it creative destruction. I don't like that particularly because it's not really destruction, because you're reapplying it, but the sense is that, in order to move forward, we have to get rid of the things holding us back. When Henry Ford makes automobiles really, really cheap and everybody starts buying an automobile, there are a few industries that start being unproductive in a sense that not adding value to customers, to human beings. To human beings as such, not facilitating human flourishing.
- 4.62 For example, if you're in the buggy business, horse-drawn buggies, no use for you anymore. A lot of resources are being deployed: employees, machinery, capital. And you might make a great buggy, the best buggy in the world. And yet it's not as good as the automobile, not for human flourishing. Therefore, you will lose. You will lose money. The profit mechanism will signal that you are now of no value or negative value. If the markets are allowed to function, if capitalism is left free, you will go out of business, and that capital will be redeployed, where? Probably into the auto industry.
- 4.63 That happens constantly. There were a lot of computer manufacturers in the early days of computers. I don't know if you guys, some of you might remember, Compaq and HP and a million others. Now, most of them are gone because they weren't adding value. Some added value, they sustained, they stayed. Some didn't; they went away. There's economies of scale that benefits the size. HP still makes computers, Lenovo, I think, out of China makes computers, Apple makes computers, but there's only a few brands, and they constantly improve. They constantly, they are sustainable. They are profitable, and they continue.
- 4.64 The profit motive, the profits constantly provide us with feedback. They let us know, are we doing good? No, we're doing badly. It's like when you're teaching, everybody's nodding and smiling, things are going well. If everybody's falling asleep, you know something's bad. You have to change how you're doing things. We don't have a monetary way to measure this, so we do it that way. But in business, you constantly are getting feedback. Customers like what you're producing. There's value in what you are doing, or not. And if "or not," you have an opportunity to change, your opportunity to adapt, adjust.
- 4.65 I can imagine there were some buggy makers thinking, "Let me make the buggy even better." It turns out, not the right thing. But there were probably a few of those buggy makers that said, "Maybe I can deploy all my capital. Maybe I can sell all the stuff. Maybe I can melt it down and rebuild it and start making automobiles." By the way, in the early days of automobiles, there were hundreds of producers. Again, that market slowly consolidated into a few who could actually make a profit. So, constant feedback. If Starbucks suddenly starts losing money, something's wrong with the match between what they're producing and what we, customers, want. They can either adapt or they can go out of business. But if they keep doing the same thing, they will lose.

- 4.66 Now, all this works under capitalism. All this actually functions and works because people are left free to think and to act. And every time we place barriers in the way of that freedom in action, like with bailouts, tariffs, we're protecting the steel industry. We create distortions, perversions; we destroy the profit motive; and we destroy the whole signaling mechanism. Just as an aside, for every job saved in the steel industry because of Trump and Biden's tariffs, something like 4-7 jobs were lost in the steel-consuming industries. Auto industry, washing machine industry, all the other industries that use steel, and now steel was more expensive, and therefore they had to cut production.
- 4.67 Just an artificial distortion that gives the wrong signal. The signal is that American steel manufacturers are doing a good job because they're profitable. No, they're not doing a good job. They're a lousy job. Maybe they should go out of business. But everybody's against it. But that's exactly what the signal is telling. There's a problem with these companies. They need to either go out of business or change or improve in some dramatic way. If we bail them out, we just cause distortions that are going to hurt and distort in other places. The freedom to think and to act.
- 4.68 Of course, property rights. This is my company or your company. I get to keep the benefits of what I produce. Nobody can steal my stuff. Nobody can steal my ideas. Patents, huge part of this process, the intellectual property rights that are associated with patents that make this production possible, that make it possible for me to benefit from my ideas. So private property. Then there's the profit motive, the fact that I'm self-interested. I want to make money. I want to make a profit. But it's not just me who's self-interested, the guy who's making a profit. Who else is self-interested?
- 4.69 Apple is very self-interested. They're selling these iPhones for a profit. But it turns out, I'm pretty self-interested, too. Why am I self-interested? Because this is worth more than \$1,000 to me. I want an iPhone, not because I care about Apple, not because I care about the 43 producers, countries, that—the only reason I buy an iPhone, literally, the only reason I buy an iPhone is to make my life better. So I'm self-interested. The whole mechanism is working around this idea of self-interest. We'll talk a lot more about that in a few classes.
- 4.70 Then there's contracts. Everything has a contract, employment contract, supplier contracts, customer contracts. There's a legal system that protects those contracts. The government here is protecting our property rights, protecting contracts, protecting patents, and otherwise, leaving us alone. That's when the system functions optimally. That system functions best. Anytime there's interference beyond that, we get breakdown. We get challenges, we get problems. We'll talk a little bit more about that later.
- 4.71 Then, of course, there's cooperation, which is usually based on contracts, but contracts create cooperation. They create the ability for people to work together, even though they might be thousands of miles away. They might have different languages, as long as

a contract is one that can be translated, and yet they can agree on terms and work together and create something together. I mean, it truly is amazing how globalized production is today and how we make that work to produce the stuff that we need, all because we have a respect for contracts and we have a legal system that protects those contracts.

- 4.72 One of the questions is, this is how the business is structured in a sense. This is how the business is run. This is how production actually happens. Let's now think about this idea of, when I want an iPhone, walking into the store and it's right there, or when you want the coffee and go into Starbucks or the grocery store, whatever—how does that happen? How does the coordination happen between all the different producers out there and all the different customers in the world and all the different people out there? How does that get coordinated? What is it that makes it possible for the coffee to appear where I need it, exactly when I want it?
- 4.73 Here, the coordinating factor is ultimately price. It's price. Price is, somebody refers to price as the language of economics. It's how we transfer information. If people stop buying a product, if demand for a product goes down, I don't know if you remember from econ class, supply and demand curves. What would happen if people stop buying a product? What would the producer typically do? They'll lower the price. They'll lower the price in order to try to induce you to buy their product. Now, if it turns out that they lower the price below what they can produce it at, there might be a lot of people going out of business. But it might be that our tastes have changed or there are alternative products out there, and at one price we're not willing to buy it, and another price we suddenly are, and suddenly there's demand again.
- 4.74 Maybe as a consequence of this, the amount of producers that are producing the product shrink in order to now adapt to this new price. And then maybe the price will go up again, and only the people who are willing to pay that new price will pay it. Supply and demand are constantly changing, constantly changing. What we as individuals, and an aggregate of all individual tastes, preferences, changing constantly. We're constantly figuring out what's in our interest and what is not, what is the value and what is not. What are the alternatives to every value that I have? What can I buy instead and what is not? Every one of those decisions is being aggregated in the marketplace to help determine a price, which then determines supply, which then determines demand.
- 4.75 All of this is integrated, and again, integrated across continents, integrated across different industries, integrated across different types of products. I don't know, if the price of iPads gets too expensive, then I can watch movies on my phone. I use my iPad primarily to watch movies on planes. Maybe it's a little inferior, but if the price difference is big enough, I'm willing to do it. The price is my behavior vis-a-vis the price. The producer's behavior vis-a-vis the price is determining how much of a product is being produced, how much of a product is being consumed, and it's telling the

producer, "You're making too much of this, too little of that. Stop making this or stop making as many of this."

- 4.76** Of course, it's not just one producer. Usually, it's a competitive market. There are multiple producers. Of course, the price is going to adjust because of competition. If Samsung suddenly comes out with a phone that's the equivalent of the iPhone, but a lot cheaper and better, maybe even I will switch. That is a real signal to Apple. They'd better make it better. They'd better make it cheaper. They have to put the engineering, the thought, the effort into figuring out how to do that. That's a constant, constant process. Again, long-term thinking. You've got to constantly sustain that.
- 4.77** If you walk through a grocery store in the United States, thousands of products, pretty much no empty shelves, except during COVID. Even that, why were there empty shelves in COVID? Because one of the problems you have in a regulated environment like ours is if supermarkets have seen the excess demand for products and it raised their prices to meet it, what would they have been accused of? Price gouging, and they could have got in trouble. Instead, they kept the prices low while we demanded a lot of toilet paper, let's say, and we bought up all the toilet paper, and the next person who came into the grocery—and we bought more than we needed. We bought huge amounts of toilet paper, just in case the world ended, we had the last supply of toilet paper. The next person who came to the grocery store and wanted toilet paper, shelves were empty.
- 4.78** Now, imagine if the price had gone up as soon as the demand for toilet paper had been evident. Then I would have gone in expecting to buy all the toilet paper in the store, and I'd seen, "Oh, price has gone up. I can't afford to buy all the toilet paper now, only buy what I need." The next guy, and some people would have said, "I've already got toilet paper at home. I'm not paying those prices for toilet paper." And I bet you that there would have always been toilet paper on the shelf. That price going up with the toilet paper on the shelf because demand had increased would have sent a signal to the people making toilet paper to do what? We should make more toilet paper. We can make a huge profit.
- 4.79** They would have produced lots of toilet paper, and as a supply matched demand, what would have happened to prices? They would come back down. At no point would there be an empty shelf of toilet paper. The only reason there were empty shelves in the grocery store was because the government said, "No, you can't raise prices." It's the only reason, by the way, that sometimes, when you have an emergency or something, hurricane or something like that, you go to a gas station, there's no gas. Only reason there's no gas is they're afraid of raising the price to make sure that there is gas. But if they raised the price, then the people who wanted to pay the price would fill up, the people who didn't wouldn't fill up, and there'd always be enough gas there. They would match supply and demand.

- 4.80 Instead, everybody goes, fills up whether they need it or not, whether they're interested or not, they fill up, the gas station empties out, and then the next people who come, there's no gas. There's no incentive for people to bring gas because the price is still low. But if the price is high, if I'm in a different county that's not being affected by this, I have a huge incentive to take gas that I have and ship it to this other county and start selling it there and make a huge profit. The profit motive brings the products to the people who actually need it, who actually wanted it, actually willing to pay a higher price for it.
- 4.81 Therefore, lower the price by doing that, which is, again, the beauty, really, beauty of markets, which by interfering in them, it's price-gouging. How awful is that? No, that's exactly what you want. It's exactly what you want. If there was a shortage of iPhones, you want prices to go up, thus incentivizing Apple to make more iPhones. Indeed, what would happen? There'd be a black market in iPhones. It'd be a secondary market, not a black market. A secondary market in iPhones, which would drive the price up. Apple would observe this and say, "Whoa, we should make more iPhones."
- 4.82 So prices are constantly signaling supply and demand, constantly providing an incentive to increase supply, decrease supply, increase the price, lower the price, adjust to what the market is telling you. We as consumers, we as people who engage—and remember, Apple is a consumer. Because I say "we as consumers," but really, everybody's a consumer because what does Apple consume? Samsung chips, Corning glass, labor in China, all of that is consumed. They're determining the prices of the products that go in as consumers. Of course, again, it's supply and demand for every single one of those goods. Every one of these iPhones has thousands of supply and demand curves right in there, determining the price of this.
- 4.83 Because every single good of those 43 countries, thousands of products, all the raw materials, every single one of those things has a supply and demand graph that determine the price that goes into how much it costs to make an iPhone. It better be, Apple had better make it so that that cost is lower than what I'm willing to pay for it. It's not that Apple determines the price of an iPhone. It's, again, my willingness to pay for it. It's an interaction between me and Apple.
- 4.84 Of course, if you have a lot of profits, what does that draw in? If you see that a particular industry, a particular area has a lot of profit, it draws in competition. It draws in people to compete. People talk about capitalism as primarily about competition. Competition is a feature of the price system. It's a feature of the profit motive. Without a profit motive, there's no competition. Competition arises because people are trying to get profit, and they see you're making a lot of money. I want to do what he does. So I'm going to try to do what he does. And I'm going to try to get some of that profit. And what does that happen when they enter? They cause prices to come down and usually profit margins to go down as competition increases.

- 4.85 So competition incentivizes us to constantly, again, think long-term, innovate, stay ahead of the curve, keep prices relatively low, and make sure that our products are competitive in this market. When we can't, as we said before, you got a business. That's the healthy process that happens out there. The best get rewarded. This is an important point. First, we'll come back to it in a few classes. Capitalism is a system that rewards those who think long-term, who plan long-term, who are constantly on top of their game, who are constantly figuring this out. It rewards rationality. It rewards long-term thinking. It rewards hard work. It rewards creativity and innovation.
- 4.86 It penalizes the complacent, the lazy, the people who don't want to work, people who don't want to really be engaged. In that sense, think of it as a system of justice. It rewards certain things that we might consider good, penalizes the things that we might consider not good.
- 4.87 My daughter is a big fan, like you, of Apple, iPhones. I think it's a huge waste of money. I have an Android. Her phone is \$1,000. My phone is \$100. They do exactly the same thing. Now, I give her freedom to buy whatever she wants, but I still think that that difference in money, those \$900, could be saved, could be put to a different experience. And I feel it's just the marketing. It's a status thing. You're a cooler person if you have an Apple product than an Android. But how does, does marketing benefit anything, or is it—? I'm trying to understand why anybody would make such choices.
- 4.88 Well, I can tell you why I make the choice. I can't tell you why your daughter makes the choices. But before we get to that, marketing is crucially important. Marketing is what often makes a product or doesn't make a product. The reason is that you need to think of marketing primarily for most things as education. I don't know much. The way I learn about stuff is by people telling me about it. Marketing is one way in which I'm told about the existence of things that I've never heard of. So once in a while, you'll see an ad for a new drug on the market on TV, and you go, "Oh, I didn't know there was a drug that treated that." Now, hopefully, you don't need it. But if you did, your doctor might know, might not know.
- 4.89 There are all the time innovations. There's all the time new stuff coming on. I know people resent the idea of drug companies advertising. In a lot of countries that's banned. It's illegal. In America, we still allow it. But then there's these disclaimers that go on for three hours after the pitch. But you discover new stuff. I think most good marketing is fundamentally educational. It tells you about something you didn't know. It's very personal. You might not care about automobiles. When a car ad comes for the cool new whatever, electric Audi, you go, "Yeah, I don't." But I, like, "Whoa, an electric—look beautiful. Wow. I didn't know Audi made an electric car. That's gorgeous. I'm going to go to the dealership and try it out." So I discovered something I didn't know.
- 4.90 Some advertising is geared towards the cool factor. So marketing does have value. Again, the value is letting us know that something exists, that we didn't know before, letting us know that it's new, letting us know that it's different. That's the value of

marketing. It's incredibly valuable. You can build the best mousetrap in the world, the best anything in the world. If you can't get the word out, if people don't know that you've built it and that it's the best in the world, you will fail. One of the most important functions within a business is marketing, i.e., letting the world know that you have something to offer it.

4.91 In next class, we'll talk about some of the barriers, some of these interventions that create problems, and we will talk about some other aspects of capitalism, and then we'll talk about objections, some of the challenges to capitalism that people have thrown out over the last 250 years. Thank you.

Lecture 5: Economic Freedom or Control?

At a glance — Economic freedom versus control.

- 5.1 We've now talked in the last few classes about how successful capitalism has been in history. We've gone through some of the historical data, shown the progress, the enhancement in human life, quality of life, enhancement of wealth, the array of products we have available to us. We've also seen a little bit about how the mechanism works, how the price system, how the profit motive works in order to generate that success, in order to generate all that progress, all that innovation, and the improvement in human life that we've experienced over the last 250 years.
- 5.2 One question I think that should rise is, well, why can't the other systems do it, too? Why doesn't socialism work? We've seen it doesn't. We've gone through some of the historical evidence that it doesn't work, that it doesn't enhance human life, that it doesn't allow for progress, that it doesn't allow for innovation, that people generally get poorer or stagnate under various forms of socialism. Why doesn't it? Why doesn't central planning work? Why doesn't forms of fascism work? Why don't the central planners, why can't they get it right? What is missing from their system to make it as successful as capitalism?
- 5.3 I want to talk a little bit about that, and then we'll talk about the mixed economy and the challenges the mixed economy creates for capitalism. Why doesn't socialism work? Why doesn't statism, the state imposing its will and the economy on our behavior, why doesn't that generate the same success? Well, fundamentally, we've seen, I think, that behind capitalism's success lies, really, the individual human mind. Behind capitalism's success is a thinker. Every innovation, whether it's innovation in a product, a good, or whether it's innovation in a business system, an innovation in Henry Ford, creating the assembly line, which makes the production of automobiles so much more efficient and then is used in every single other form of production—behind every one of those changes, innovations, progress, lies somebody thinking, somebody with an idea, somebody willing to experiment.
- 5.4 Remember, a lot of ideas fail, and we need to experiment, we need to try things out. Maybe an idea is good, but it's not quite there, so we need to experiment, we need to try it out. But everything new is somebody thinking. It's individuals thinking, individuals, all of us thinking, that central planners, socialism, centralized authority, do away with. It's what they don't allow. They replace your thinking with their thinking. They're replacing your choices with their choices. They get to decide. They're smarter than you, obviously. They know better what's good for you. They know better what's good for, quote, "society." We'll get to that. And therefore, they are the ones dictating.
- 5.5 The number one attribute of capitalism is freedom. The freedom of the individual to think what he wants and to act on it. If the thinking was rational, and if the thinking was

good and if the thinking is consistent with reality, then he will be successful in his actions. If the thinking was not, then he will fail in his action. The beauty of this is, again, a self-correcting mechanism. We all make mistakes. We all fail in life at some point or another. But if we're thinkers, then that failure, that lack of success, we will learn from it and improve just like markets do.

- 5.6 This process of eliminating some products or eliminating some industries and others rising, this constant change, this constant movement, we all do in our daily lives. We all do in our own lives. At least if we're healthy, we're constantly trying things out. Some things work, some things don't. We learn from it, we improve, we get better. This is exactly this process of experimentation, this process of thinking, this process of integrating new ideas, testing them out, which the central planner eliminates. He said, "Don't do that. I'll do it for you."
- 5.7 So the fundamental characteristic of capitalism, which is the freedom of the individual to think and act, is missing from all the other systems. It is replaced by central authority that does the thinking and acting for you and then tells you what to do. That is going to be just in a simplest way. It's going to be more cumbersome. When mistakes happen, they're happening on a grander scale because we're all behaving in a particular way. There's no feedback mechanism. What does failure even mean? Because here's the biggest flaw of central planning.
- 5.8 At the end of the day, I buy an iPhone for \$1,000 because this iPhone is worth more than \$1,000 to me. We talked about this last class, right? Somebody argued, "But wait a second. An Android can do the same thing for 500 bucks." But I don't like it as much, for a variety of reasons. It doesn't integrate with my other products as much. It doesn't have the aesthetic value. It doesn't have all the things that, for me, are worth \$1,000. But you see, if I'm a central planner and I look at this and I look at an Android and I look at these two products and I go, "No, Yaron's wasting \$500 on an iPhone. He should get an Android." So I'm going to stop him from getting the iPhone. I'm going to ban iPhones. I'm going to make sure that everybody builds Androids and buys Androids.
- 5.9 You've just taken away something really, really important to me, that only I know that I value. I express that in the fact that I buy an iPhone and not an Android. You've replaced my value system with what? With yours. You value efficiency, cost. You don't value, let's say, design; you don't value integration. What a central planner does fundamentally, and this is what makes central planning impossible to be successful at, if your standard is individual human flourishing, is it replaces your individual value systems, your individual value hierarchies. We all have, whether we have them explicit or implicit, we all have a hierarchy of values. Some things are really important to us, some things are less important to us.
- 5.10 And much of that hierarchy of values is reflected in how we spend our money, in what jobs we do, in our profession, in our careers. Now somebody comes and says, "No, your individual value system, we don't care about that. We are going to impose what we

believe is the right value system. So we are going to decide how you're going to spend your money. And by the way, you don't need money because we'll just give you the stuff you need. Forget about money. We'll tell you what career you should have. We'll test you, we'll do aptitude tests, and we'll assign you a career, and that's what you will do because we know what's good for you."

- 5.11** But you don't. You really don't. Only I know what's good for me. Only you know what's good for you. I'm not going to tell you to buy an iPhone. We can debate it. I might convince you, you might convince me. But that's because then, by convincing, we change our own hierarchy of values. But if I force you to buy something you don't want, I haven't changed anything. You're less well off. You're just less well off. If I buy an Android, I might have \$500 additional in my pocket, but I'm worse off because I don't want those \$500. I would rather have whatever benefits I get from having an iPhone over an Android.
- 5.12** So what a central planner does is he replaces all of our individual value hierarchies, all of our individualized values, all of our own decisions, our own preferences, with his own or with some standard, with some test that he thinks he can replace us. The fundamental problem with central planning is that only you as an individual know what's good for you as an individual, particularly when it comes to the concretes of the day-to-day decisions of your life. If I impose a value on you, is it a value? If you haven't chosen it, but it's been imposed, can you really say it's something that's yours?
- 5.13** Central planners have no way to figure out exactly what I want, what will make me happier, what will allow me as an individual to flourish. They don't know that. They cannot know that. Metaphysically, in reality, they cannot know. The beauty of a marketplace is that I get to actually manifest my specific values, my specific wants, desires, in what I buy, what I don't buy, what profession I go into, how I spend my time, what I do with myself. I am free to do that. Again, if I'm wrong, if my values are screwed up, if they're messed up, then I will suffer by being unhappy, for example.
- 5.14** If they're the right values, and if I practice them consistently, if I do a good job at living, I will be happy. The central planner cannot replace us as individuals and therefore cannot achieve individual human flourishing because he cannot get into our own minds and figure out what's good for us. And by the way, what's good for us changes. It's not static. As we get older, our values shift; as we experience more, our values shift; as we think things through, our values shift; as we fail, our values shift. Only we know that. The more you think about it, the more you introspect, the more you examine your own life, the better off you are going to be at doing this.
- 5.15** But what's clear is that somebody else can't do it for you. Only you can do it for yourself. Make the choices about what is important to you and what is not. What will help you be happy and what will not. You might do a bad job at it. Nobody can do a better job at it than you. This is why, it's not the main reason why, but it is why central planners never pretend to be able to do it. Central planners never say, "We're here to

allow individuals to flourish. We're here to allow individuals to pursue their values so they can be successful and they can be happy." No central planner ever says that. Indeed, no politician ever says that because they're all central planners, in a sense, in the world in which we live. Well, with exception of the Founding Fathers, who do say that, in a sense.

- 5.16** What do they all say? What do central planners say? What are they doing this for? You as an individual and your flourishing? No. They're doing it for the common good, for the public welfare. They're doing it for some aggregate. They use this terminology, this terminology of collectivism, of group, because they know, even though they will never admit it, that they can't and they really don't care about you as an individual. What they care about is, well, we could, we could speculate about what they care about as individuals. But what the system of socialism, what the system of fascism supposedly care about is some aggregate, some common good.
- 5.17** Ask them, what does common good actually mean? How do you determine the common good? Well, you'll probably get a blank stare. You're not going to get an answer because there is no answer. What is good for all of you, that is good for all of you? How do we aggregate your goodness? Is there some collective consciousness floating above this studio that aggregates all the goodness and feels really happy when we achieve the common good? What does it mean? It doesn't mean anything. It's a cop-out. It's a way to justify anything. I'm going to oppress you guys so that they can be happy, but their happiness that exceeds your suffering from being oppressed. How do I measure that? Don't worry, I know. I can tell. And that's how I justify oppressing you guys. Because they're happier, I think.
- 5.18** How do I aggregate these things? How do I add them up? Nobody knows. There's no system, there's no standard. Utilitarianism falls apart because there's no way to aggregate utilities. As if we knew what people's utilities were. I don't know what your utility is. It views individuals as means to an end, not as an end in itself. If you use the group as the standard. It's the negation of what it means to be human. The negation of how human beings survive. We survive by thinking, thinking as individuals, thinking about our survival as individuals. Individual thought, individual action, individual judgment is what is required for us to survive and to thrive and to be successful in life.
- 5.19** Once you impose a common good, a public interest, what am I supposed to do? Well, I'll tell you what you're supposed to do. Follow orders. You're supposed to do what I tell you to do. That's authoritarianism. It's always what authoritarians do. They always do it in the common good, in a common interest, the public interest, however you want to call it. They tell you. Their assumption is that people, and at least this is how they explain it, they probably just want power, but the way they explain it is, you people are just too stupid to take care of yourself. Or maybe stupid is not the right term.
- 5.20** Plato wouldn't use the word stupid. Plato would say, human beings just don't know the truth. They just don't have access to it. It's in another dimension. So you need

philosopher-kings, special people who have access to the truth, who can commune with the world of spirits, commune with the world of truth, and then help guide you. And this idea of the common good, the public interest, all of this goes back to at least Plato. And this idea that there are some people who have the qualities, the knowledge, the ability to get the truth somehow, which we as individuals do not have. And reason does not provide us with that truth.

- 5.21** So, what the common interest, what all these alternatives basically argue for, is a very different conception of man, a very different conception of what we are as human beings, what our nature is. Whereas capitalism assumes we're all rational beings, we can all think for ourselves, we can all take care of ourselves, we can all innovate, we can all do something with our mind at whatever level we have. We can think and we can act. All forms of the alternative are always going to be collectivistic, and as such, they negate the individual's ability to think for himself. He needs rulers. He needs people to tell him what to do. And therefore, we reject the individual thinker, the individual innovator in the name of some collective, almost always mystical program.
- 5.22** Socialism at the end of the day, communism, let's say, is very mystical at the end of the day. There is a proletariat out there somewhere, and it has a good. Where is the good of the proletariat? I know this particular proletariat or that particular proletariat, but where's the good of the proletariat? And who gets to decide what the good of the proletariat is? Or you need somebody representing the proletariat. You need the dictatorship of the proletariat, which needs to be represented by, guess what, a dictator. Call him Stalin, call him Lenin, call him whatever, Mao Zedong. But that's who represents. And then he gets to decide what's good for the proletariat. And usually, that doesn't end well, as we've seen in history.
- 5.23** So, central planning doesn't work because it ignores the fact that only we as individuals value things. We don't have a collective mind. We don't have a collective consciousness. We don't value things as a collective. We value things as individuals. It rejects that idea of individualism. Technically, that means that, in such a collectivistic alternative to capitalism, there are no prices. There's no signaling of what I value and what I don't value, what I'm willing to pay for something, what I'm not willing to pay for something, what I'm willing to do and what I'm not willing to do. There's no signals telling what individual preferences are because individual preferences don't matter. Philosophically, they don't care. So there are no signals for individual preferences.
- 5.24** And of course, the incentive is all messed up. I'm supposed to go and work hard for what? Not for myself. For some common good, which I can't define. Usually means I'm worse off and somebody else is better off. It's a zero-sum game attitude. Why should I work hard? You can think, maybe; just don't express those thoughts, and you can't act on them. There's an incentive for you, to get innovation and progress and people excited, all for the common good, which nobody defines, and it's not clear to anybody who decides what the common good ever is.

- 5.25 So, socialism, fascism, any kind of authoritarian collectivism is going to fail because all thought, all innovation, all ideas come from individuals. And by the very nature of these regimes, these systems, they reject the individual, they suppress the individual. Your thinking is a liability and not an asset. Everybody pretty much knows this. This is why, at least in the later part of the 20th century and in the 21st century, people resist overly authoritarian, overly centrally planned systems. This is why, as we see in China, for example, they freed up a certain section of their economy to allow for individuals to have ideas and for prices to signal what should be invested in and where resources should flow and what are the particular values of individuals and how they get reflected. All of that was allowed in a particular region, a particular area, and that's where all the success happens.
- 5.26 Nobody today, almost nobody today, is out there advocating for a completely socialist or completely fascist system where central planners get to dictate everything. Because we've learned a lesson of the failure of the Soviet Union, the failure of Mao, the failure of North Korea, the failure of every regime that's ever tried this. We get that it may be even some of the ideas about why it doesn't work. What we do have today, pretty much universally, everywhere, is an attempt to have a mixture. We need some prices to be able to get the signals, because signals are important, to be able to decide what to produce and when to produce it and what quality to produce it at. We need some respect for individual preferences, and those get reflected in prices. But we don't want too much.
- 5.27 We still believe, really, fundamentally, that the real standard we should follow is not individual human flourishing. We still, as a society, as a culture, are motivated by this idea of the common good. We still, many of us, still believe that most people, we won't say this aloud, but most people don't know what they want, can't take care of themselves, and we need to protect them from themselves, and we need to guide them, and we need to tell them what to do and how to do it.
- 5.28 What we do is, we have a mixed economy. We allow for prices to exist. We allow you to go to the mall and buy what you want. Nobody tells you you can't go to the mall. But the goods at the mall, a certain number of them don't exist because they were regulated out of existence, so you don't have access to them. Those ones that the central planner decided are not good for you are really bad for you. I don't know. In New York, certain sizes of drinks, of sugary drinks, are not allowed. They're too big, not good for you. Somebody decided, "Don't. You can't." So you don't have access to them. You just don't know they exist. There's certain medical products, there's certain drugs, certain medicines. It's just not available because somebody decided you can't make that judgment; you can't decide for yourself. So we just exclude them from the market.
- 5.29 And a lot of times, we don't even know that those are excluded. A lot of times we don't even know they exist. There's no marketing, right? So we don't know they exist. Indeed, there are whole areas in which we're not allowed to market, like medical procedures,

medical drugs, and things like that. There are huge restrictions on who can market what. So, a lot of times we don't even know what's available, never mind what's not available because it was never allowed to become available. Whoever the power is to be, decide. You shouldn't buy certain things because they're not safe, or if they do buy them, we want a lot of labels that you read, how not to use it so you won't take that lawn mower and try to trim a hedge and chop off your head by accident or something like that. Some of the warning labels are pretty funny when you start reading them in terms of what they're trying to protect you from.

- 5.30** So the central planner said, "There's certain things we know best and we want to control and we want to regulate because we understand it and you don't, we don't trust you, and we're going to do it. But the rest, go for it. You can innovate within the parameters that we allow you to innovate. If you step out of those parameters, you might go to jail, but you'll certainly be stopped." That's the situation in America today. That's the situation in most of the Western world, including most of Asia. In China, you might have more controls so that the mixed economy is more tilted towards centralized planning and centralized control. In the West, you might have some fewer controls.
- 5.31** The tendency of a mixed economy is typically more and more and more and more controls. We'll talk about why that is in a minute. But this, of course, in one way or another, distorts. It perverts. It takes products off the market or it distorts their pricing because they are now costs that are not organic to the product, they're not inherent in the actual production of the product. Some suppliers are benefited, some suppliers are hurt because they're central planner. The government decides these guys are good guys and those guys are not.
- 5.32** Then, of course, the government also, in all economies today, or almost all economies today, also decides that it's going to redistribute some of the capital, some of the wealth that's been created. So some people who the government has decided cannot take care of themselves, it takes money from some people and gives it to those people, creating all kinds of incentives and motivations that, again, distort. Distort the marketplace, distort the kind of functioning that we talked about earlier. For example, they're taking money that would be put into reinvestment, into savings, into more production, into more innovation, and it gives it to people to consume. We get less innovation, less production. As a consequence, just have less of the capital available.
- 5.33** Let's take an example. About February 2022, I think, so what was it? Two plus years ago. It made the news everywhere. There was a major shortage in the United States of baby formula. Now, this is a big deal. Baby formula is what babies eat, what they rely on. Their lives depend on it. This is typically babies who are not being breastfed or being breastfed only part of the time, and their food source is baby formula. And suddenly, there was no food for babies. Literally, the store shelves were empty. In particular, some people needed a formula that was anti-allergy or particular types of

formulas, and they were gone. And parents were panicked, and they were looking all over the place, and it was almost impossible to find baby formula.

- 5.34** How did this shortage happen? It's bizarre. Out of nowhere. Well, it turns out that three or four babies had died a few months earlier from food poisoning, something in the baby formula that had caused them to die. The FDA had gone into a particular factory of Abbott, and they had supposedly discovered the same bacteria that killed the babies at the factory, and they decided that that was the cause of the death, and they shut the factory down. Abbott denied this, claimed that this was not true, but the factory was shut down nonetheless to be cleaned and cleansed and everything else, which takes months to do. It turned out that this factory was producing something like 40% of all the baby formula in the United States. Heavily concentrated industry, only like three players in the entire baby formula market.
- 5.35** Now, you'd say, OK, so the United States suddenly lost 40% of its productive capacity in baby formula. Why didn't everybody start importing baby formula from outside of the world? Other countries have baby formula. They had plants. Maybe they could produce a little bit more and we could import them. Well, because somebody somewhere at some point had decided that importing baby formula was not good, wasn't allowed, and there were very high tariffs on baby formula. As a consequence, that made foreign baby formula very expensive, which, of course, this is why Abbott and everybody could sell at the price that they sold. We'll get to why they needed that extra as well in a minute.
- 5.36** But it wasn't just tariffs. It turned out that the FDA had a long list of requirements for baby formula from outside of the country. They had to have the particular nutritional label that American baby formula has. In a particular way, remember, for example, Europe is on the metric system. We're not. Europe has slightly different labels, adjusted to their FDA, and our FDA is a little different than their FDA. So the label is different. And then the FDA wanted to be able to inspect the plant where the baby formula was made in Europe or Asia, wherever that was made. And that took a long time, and that was incredibly cumbersome.
- 5.37** Parents were flying to Europe, buying up a bunch of baby formula, by the way, heavily regulated by the Europeans, so this is not dangerous baby formula. The European FDA is about the same as the American FDA. Buying it, putting in their suitcases, and trying to smuggle it into the United States, were stopped at the border, and the stuff was confiscated from them, because it was not allowed by the FDA to bring in foreign baby formula. It was not approved. Now, the Biden administration tried—they actually rented airplanes, and they flew to Europe, and they got the baby formula and flew it back over to distribute here, but they couldn't fly enough to make a dent in what was going on.
- 5.38** They, for a while, reduced tariffs, but the tariffs weren't really the issue. The real issue was the FDA regulations. The FDA tried to do it faster, but it takes months. In the

meantime, there was a shortage of baby formula. It just was. The FDA required 90 days' advance notice from a seller of baby formula to sell in the United States. It could go through all this. 90 days is a long time if you're desperate to feed your baby. So you can't import. So that was one big problem, one of the reasons why this baby formula crisis continued and continued for months. I mean, this was a real challenge for parents during this period.

- 5.39** One of the questions we asked was, why are there only three manufacturers of baby formula? It's interesting. Whenever you find one of these market failures, market crises, you start peeling the onion and you discover all these stuff, regulations, laws that you didn't even know existed. It turns out that about 50% of all baby formula sold in the United States is sold through a voucher system that is part of welfare. That is, the government, through its supplemental food, whatever, provides poor people, or supposedly poor people, with vouchers to buy their baby formula.
- 5.40** Those vouchers can be used only for some baby formula. The government negotiates with the baby formula manufacturers on who can provide baby formula. I'm sorry about the complexity, and I'm simplifying it as much as I can, in exchange for these vouchers. It turns out, this is a big business for them, for the baby formula manufacturers. They're willing to give huge discounts to the government in order to dominate the shelves, in order to get this welfare, this welfare voucher, in order to provide, in order to do this. In order to drop the price so much, you have to have economies of scale. Therefore, all the small manufacturers of baby formula are basically being priced out of the market, scaled out of the market, so as to supply enough baby formula for these vouchers.
- 5.41** That dominates the entire thing. You have three companies, Abbott, Reckitt, and Nestlé, which is Gerber, if you know baby formula Gerber. 83% of the entire market in 2021 was dominated by those three suppliers, even though my guess is that parents wouldn't mind some boutique baby formula. They wouldn't mind some competition. Flavors. If you've ever tasted baby formula, you would know that competition is desperately needed in this market. Because only they can provide the bulk at the prices that the government is willing to—it turns out, they're willing to sell to the government, not to the government, but through this program at a loss because of how much shelf space it gives them and how much visibility.
- 5.42** And what happens when you sell the welfare stuff at a loss? Well, you have to make it up with the stuff that people who are not getting welfare are paying, because you're not going to lose money total. Prices of baby formula in the United States are quite high for anybody who's paying out of pocket. For the people using a voucher, very low. They don't cost them anything. For the government, very low. But for the rest of us, very high. This is just a little bit—so this government regulations here increase concentration, increase our dependence on a few companies.

- 5.43 And then one of the things we were told after COVID was, oh, we can't rely on those international supply chains. We need to have everything at home. We need to build everything. We have to have the masks and the medicine and whatever, all the equipment at home. We need to do it all in the United States. And that'll make us less vulnerable. No, it makes you more vulnerable. Baby food, 100% supplied by the US. Huge shortage, one plant going out. Now, what's the central planner to think about this? He says, "Oh, maybe we should use antitrust to break up the big guys and have 20 of these companies with lots of plants." But then the prices go up because you've lost the economies of scale. And then what do you do about the welfare thing? And then you have to pay higher vouchers and all kinds of other bad things happen.
- 5.44 There's no solution here. There's no way to equate this. Of course, the number of—and this is typical of any welfare program—the number of people enrolled in this program has grown exponentially, even as poverty has declined or flat in the United States. The number of people getting vouchers to get baby formula has gone through the roof. And you could add, even as we're having fewer and fewer babies, right? Americans don't have many babies anymore. There's 6.2 million enrollees in this program. So there's a huge incentive for people to apply for this.
- 5.45 And there's a huge incentive for politicians to do what? Lower the standards by which you get qualified, because what are you doing? It's called buying votes. The more you give out, the more they feel dependent on you, and the more votes you're buying. Half of formula sales each year are done through the welfare program, through this supplemental food, whatever program. Half. So the whole market is distorted. Prices don't matter. And what you get is heavily concentration. Prices that don't really reflect people's preferences, prices that don't reflect supply and demand.
- 5.46 You can do all kinds of temporary measures. You can try different things, but it's not going to work because you've taken out exactly what we've described as the way markets work, the way markets provide us with the stuff that we need. You've taken out individual initiative, you've taken out the pricing system, because now the pricing system is influenced heavily by this welfare program. You've taken out really competition. You've created an oligopoly of three, and you put trade barriers so we can't bring imports out from overseas.
- 5.47 Now, Congress for a while realized this, so they said, "OK, for three months or four months or five months, we'll allow imports of baby formula." Well, if it's good to allow baby formula to be imported for three, four, five months, why not do it forever? But no, they can't do that. What you get is regulations that seem pretty innocent, that seem pretty straightforward. We're helping some poor people, and we don't want baby formula from overseas because who knows what's in it? They might have really bad stuff. Plus, we're helping our own manufacturers, so we have more baby formula in the United States. You can go on and on and on to explain this in terms of the common good, why it's good for everybody.

- 5.48 And look, we don't really trust parents to decide what baby formula they should actually feed their kids. So we need an FDA to make sure that everything is stamped and labeled and that the central planners decide that this is OK, this is good baby formula. You should feed it to your kids. Don't worry, be happy. Everything's taken care of, except when it's not. And then the whole system falls and fails, which it did. If you have a competitive baby formula market, then—let's say you have no FDA. If you have a competitive baby formula market in a truly capitalist economy and there's no FDA, how do we prevent people from selling really, really bad baby formula in the United States? How do we prevent them from killing our babies?
- 5.49 Because we know best way to make money in a competitive market is to kill your customers. If we didn't have food inspectors, McDonald's would be selling us tainted meat and we'd all die, and they'd make a fortune. That doesn't make any sense. You can't make money by killing your customers. If we're worried, well, McDonald's has food inspectors. I don't know if you know this, but when they source their meat, they have people who they send to inspect the meat. They don't trust the FDA. They do it themselves. All the supermarket chains have inspectors to go to the farmers and test the produce before they bring them into the supermarket. They don't trust the FDA.
- 5.50 You could imagine the retailers of baby formula stuff, rating agencies, all kinds of private entrepreneurs would figure out ways to test baby formula and let us know what is safe and what is not, and figure out a business model, how they could make that even profitable. That's the beauty of markets. But we don't have that. Why don't we have private rating agencies? Well, because we have the FDA. Who needs that? Why don't we have innovation in baby formula? Because only this has been approved. Only this is allowed because this has been determined to be in the common good, public safety. We don't want to test it in the marketplace. We don't trust individuals to make choices for themselves. We make choices for you.
- 5.51 And the consequence is, we get shortages, we get inferior products, we get products disappearing off the shelves. We get crises, we get massive economic instability. We get bailouts and subsidies and our money wasted on all kinds of things. That's what the mixed economy generates, and a constant flow of this. You can see that most of the innovation in the American economy happens in those areas where there's the fewest regulation. We talked about this in one of the previous classes. Tech, for example, not heavily regulated yet. It's starting to be, much more. That's where you get the innovation. Airplanes, heavily regulated, not so much innovation. Cars, heavily regulated, not so much innovation, except when it comes to tech.
- 5.52 Now there's an incentive, I guess, by the government to subsidize electric cars. Are electric cars the best cars that we can hope for in the future? Who knows? We'll never know. Because if I have an idea for a new, I don't know, hydrogen or whatever car, I'm not getting subsidies. I have to compete against a subsidized product. I'm not going to even try. I'm not going to even go there. What we're doing is, we're locking out a whole

set of alternatives to electric because that's what somebody has decided is optimal, somebody at the top. Indeed, Americans seem to be resisting electric cars. We don't really like electric cars. We don't really want to drive electric cars. But it doesn't matter. They're being mandated. We're going to be driving electric cars in 10, 15, 20 years, whether we like it or not, because somebody decided that's the right thing.

5.53 And because of the subsidies, massive production capacity is now being built around batteries, electric cars. This was part of the Inflation Reduction Act that was passed a few years ago. Hundreds of billions of dollars. Not because we chose, not because we decided that it's good for us, but because somebody decided it's good for us. Somebody decided it's good for us as a group, not for us as individuals. They don't care what's good for us as individuals. But the only reason, you could argue, we have a car industry in the United States—Americans are very proud of their cars. But the reality is, why the hell does America need a car industry?

5.54 I mean, Chrysler went bankrupt in the 1980s, and the government bailed them out. GM went bankrupt in, what is it? The late 2000s, early 2010s, and the government bailed them out. I mean, imagine if they hadn't. Chrysler would have shrunk significantly. GM would have probably shrunk. They would have gone into bankruptcy, restructured, shrunk, only made cars that are really, really profitable, not made the cars that they don't. They would have, in a sense, outsourced that to Korea, to Kia, and Hyundai, and to Toyota. They make great cars. Why do we need to make and build American cars? I haven't driven an American car in a long, long, long time, and probably will never drive an American car. Why do we need American cars?

5.55 And all those jobs. The fact that those companies went bankrupt means that those jobs are wasteful. Actually, destroying value. They're not making value. Wouldn't those people be better off working in productive jobs where they're creating values, building profits, making something that people actually want to buy? What about all the capital, the equipment, the factories that could be redeployed for other things that people actually want? But no, again, some central planner decided Americans have to make cars. Issue of national pride, I guess. Common good, public interest.

5.56 The fact that you have to pay more for the car that you buy, the fact that the cars are more expensive because we're trying to protect the American car industry, who cares? That's just you as an individual. But we've saved whatever. No, you haven't. You've actually made us all poorer because when you start dictating to individuals, if we really think about what could be a common good, what could be a common good is what's good for individuals. Well, in that sense, we're less well off than we would have otherwise been.

5.57 The same is true of subsidies. Right now, we have a CHIPS Act. We've decided that we need to produce microchips in the United States. We decided, I guess the Biden administration decided, but Republicans supported it. It's bipartisan. Everybody agrees we need to produce chips, so we're going to subsidize them. We're giving out \$52

billion to chip manufacturers to build plants in the United States to build chips. Next-generation chips, because the government is very good at identifying next-generation chips. They are particularly good at identifying new breakthrough technologies. They've been dishing them out.

- 5.58** Intel, which is an American company, got a big chunk of the money. Micron got a big chunk of the money. Samsung got a big chunk of the money, even though they're Korean, but they're going to build a plant in the US. TSMC, the world leader in chip manufacturing, got a big chunk of the money. Are these the right people? Is there a company on the sideline that would have entered the space with a completely new technology, revolutionized chip-making? But now can't because all these other people are getting subsidies, and they are not because they can't convince the regulator that they've actually got something new to offer?
- 5.59** We basically calcified the chip manufacturing business around existing companies. The government has chosen who the winners are, and innovation has just been dramatically slowed. I won't say crushed, but dramatically slowed. You lose that ability to—if I'm a venture capitalist and somebody comes to me and has an idea for a brand new method to making chips that are going to be better than what TCMC is making today—they make the best chips in the world—I'm not going to give you any money. Because this idea, you're not going to get a government subsidy. All the subsidies went to those guys. They're going to underprice you at every point in time. Why would I take the risk on you?
- 5.60** And you've just destroyed a whole path of innovation. The funniest one of this is Europe has regulated that all devices must have the same charging wire. So all devices, Android, Apple, computers, phones, iPads, all must have USB-C. Cannot have a different standard. Everything has to be the same standard. And Apple used to have a lightning connector. Now everything is USB-C. That is incredibly convenient. I love it. I have one wire, I can charge everything with my one wire. It makes complete sense, unless you consider this idea of, well, now there's zero incentive for anybody to come up with a better wire, because how are they going to get it introduced? Everything has to be on the same wire. Now we have one wire and that's it. There's never going to be another innovation in charging technology given a wire, given the interface.
- 5.61** It's convenient from some macro perspective, but it takes away choice and it takes away innovation. It takes away the incentive. It takes away—if I'm thinking, if I come up with an idea of a better wire, I'm going to go, "I'm not going to waste my time on that. I'm going to go do something else because I can't get it passed." Nobody's going to introduce a new wire if the Europeans don't allow it. It's too big of a market. We could go on and on. I'll just mention one more.
- 5.62** One of the things that mixed economy does, which is underappreciated and always blamed on capitalism, not on the fact that it's a mixed economy, is it creates economic crises. The Great Depression doesn't happen because of capitalism, in spite of what you

were taught and read. The Great Depression happened because there was a central bank that manipulated interest rates, manipulated money, just like it does today. And it's screwed up. But you know what happens when you screw up and you're the central bank, you're the central planner of money? Everybody suffers. You don't just take a loss, readjust, learn from your mistake, and go on. No, you've now affected the entire economy because the entire economy runs on money.

- 5.63** In a mixed economy, we say, we're going to leave prices alone for the most part, except baby formula and some other few things. But mostly, we're going to allow prices to fluctuate based on supply and demand, except for one price. One price we are going to centrally plan 100%, and that is the price of money, interest rates. The most, by the way, important price in the entire economy because it's a price that gets factored in into every other product because everything depends on capital. So interest rates play a role in every other price. Every investment decision, every capital investment decision, every expansion, really, every economic decision depends on interest rates.
- 5.64** We're going to essentially plan that because it's too important to leave to the market. They have 12 guys sitting around a table deciding what interest rates should be. They have models and they have a lot of math and all of that. Mostly, who knows if they get it right or wrong? We don't know because there's no alternative with—there's a different interest rate. We do know that, once in a while, they get it very wrong. They got it very wrong in the late 1920s in the United States and throughout the 1930s. We know they got it very wrong before the financial crisis in the 2000s. And we all suffered the price of them getting it very wrong.
- 5.65** People don't talk about this, but the Great Depression was made worse by government action after government action after government action, all in the name of trying to avoid a depression. So one of the first things they did, Hoover administration did, is raise taxes as we were heading towards a recession. Doubled the income tax rate. They also put on massive tariffs. Some of the worst tariffs ever. Shut down global trade, just as we were heading into a recession. Those two things turned a recession, normal recession, could have bounced back from, into a depression.
- 5.66** Then FDR came along and he said, "No, I can solve it. I know how to solve it." Massive government spending in all kinds of programs. Didn't really help. Unemployment in 1938 was about the same as when he took office in 1933. But in the meantime, massively regulated the banking system, massive regulated banking, invested, built dams, invested money all over the place, and grew government dramatically in terms of what it does, in terms of the kind of stuff. Reorganized the Supreme Court so that they passed everything he wanted. We've never looked back. We've had a massive mixed economy since then.
- 5.67** Today, when we teach about the Great Depression, we teach it that it was caused by capitalism, and FDR saved us, which is the exact opposite of actual reality. Most economists understand this, but it hasn't filtered into the history books. It hasn't

filtered into our educational system, even though most economists, overwhelming majority of economists, understand this. The Federal Reserve made mistakes, and the same is true of the great financial crisis that we experienced about, what, 15 years ago. Caused by the Federal Reserve, caused by government action, caused by, I'd say, government panic, and yet we blame it on capitalism. The answer is more regulations, more controls, more government involvement, more mixed economy, less capitalism, less freedom, less thinking individuals.

- 5.68** We don't have the time today to go over either the Great Depression or the financial crisis for me to prove to you and show you in great detail how they played out and what caused them. You're going to have to take my word for it, although there's plenty of literature out there that explains all this stuff. But here's the thing to think about. We discussed in the first class this idea of individual rights, this idea of individual freedom, and the value of individual freedom and individual rights, and why they're so crucial to our success as individuals, and really our success as a country, as a society.
- 5.69** We also have discussed how violating individual rights on a massive scale, authoritarian government, socialism, fascism, communism, is a complete and utter failure. Why do we want to violate individual rights just a little bit? By what criteria do we decide, "OK, here we're going to violate rights. Here we're going to tell people what to do. Here we're going to put a gun to their head. Here we're not. Here we are." Who gets to make that decision and by what criteria? The common good? What does that mean again? Who gets to decide that? People in Washington, they're smarter than us? They know how to do this, how to make decisions about where to violate rights?
- 5.70** But violating rights is bad. If rights are good, as the Founding Fathers argued, and I think true because individual life is good, then why is violating rights a little bit OK, which is what a mixed economy is? If central planning doesn't work on a large scale, why do we think it works on a small scale? And is it so small? If Washington shouldn't be determining the economy, we don't believe in communism, we're not socialist, but we want it a little bit, like a little bit of socialism is OK, a little bit of central planning is OK? Why? How did that happen? Where did that come from? What theory advocates for that?
- 5.71** If that's the case, if we shouldn't have central planning in every aspect of our lives, what about things like money, central banking? We didn't have a central bank until 1914. United States grew at those incredible growth rates, innovated, allocated capital, did all the things that we wonder at, during the 19th century with no central bank. Do we really need one today? What does it mean? That means that we have decided that central planning over money, maybe the most important product we have, that infects every other product, that's OK. We just don't want central planning over bread or something really important like that. We don't want central planning over iPhones, maybe a little, but not too much.

- 5.72 But money, completely centrally planned. If you look at bank regulation today, banks are basically subsidiaries of the government. They're basically arms of the US government. They're so heavily regulated. I think it's J.P. Morgan, just before the financial crisis, 130 government bureaucrats went to work at the J. P. Morgan offices in the J.P. Morgan building, because they were there to approve what J.P. Morgan was doing or not approve what J.P. Morgan was doing. That sounds like that other political system we talked about, where you have the pretense of private property, but not really, where everything is really controlled. A little bit of fascism there. We have bureaucrats deciding how the bank should run, not a really free bank, right? It's not a private business.
- 5.73 That's money. Should we think about education? We today take for granted that government should run education. Government schools are everywhere. If central planning doesn't work, why would central planning work for education? And has it worked? Do we have good government schools? Are they really competitive? Are they top of the line? Are our kids getting the best education you think is possible? I'm dubious. No, I'm not dubious. I'm certain that they're not. I have no doubt in my mind that a competitive market with price signals, God forbid, price signals, would actually generate an entrepreneurship and innovation and marketing.
- 5.74 There's a wonderful little video of Steve Jobs, sometime in the 1990s, Steve Jobs saying, "You ever wonder why there are never any billboards for schools?" Like a billboard that says, "Come, bring your kids to our school. At our school, your kid will study all these things that will make them a phenomenal engineer, and we can guarantee that they get into the best colleges or get a job at Google or whatever." Why aren't they competing for your kids? People are competing to sell you shoes. People are competing to sell you beer. Why aren't they competing to educate your kids? Much more important.
- 5.75 But there, we want a central planner to do the thinking for us. Parents spend zero time thinking about their kid's education. They've outsourced it to the government. They spend a lot more time choosing which shoes to wear than thinking about their kid's education, which is unbelievable, but that's the incentive structure that central planning has created. "We'll take care of your kids. Don't worry. Drop them off at the post office." Anybody use the post office? If you have an option, no. But you send your kids to public schools, the government schools. You're fine letting the government train your kids, educate your kids, but you're not fine sending a letter with the same basic service. What's the difference between government education and government post office? Same mentality, same bureaucracy, same central planning.
- 5.76 Imagine competition in education. We might get there maybe with AI, AI tutors, educators, maybe. Maybe technology will disrupt the educational space. We'll see, hopefully. But I'm not sure the government will let it go so easily. But imagine what it would look like, if there was actual competition to educate your kids the best possible.

You got to choose what education your kid got. You don't want them to study math too hard. That's fine. You get to decide, rather than a bureaucrat deciding. Like in San Francisco, where they won't teach algebra to middle school kids because they don't want to make the kids who can't do algebra feel bad about the fact that they're not taking algebra at eighth grade, so they're waiting until they're older so that everybody can participate.

- 5.77** That's central planning, common good. Or planning health care. Another important function that we let the government decide for us. If you think America has a private health care system, that's a joke. Well over 50% of all the dollars spent on health care in the United States is spent by the government. We have a very small private health care system, which is distorted and perverted by massive regulations and controls, and the rest is just pure government spending on.
- 5.78** So in every single realm, government intervention in the economy creates distortions, perversions, crises, because it takes away all the things that we talked about in terms of how our market system works and what it requires. Pricing, profit motive, consumer self-interest. It ignores that, and it imposes the will of a politician, the will of the majority, maybe. But it's the will of somebody else outside of the individual. Capitalism is geared towards individual preferences. It's geared towards individual self-interest. Government is geared towards what the majority wants.
- 5.79** Of course, this also creates this real dynamic of pressure groups. Since the government is giving out favors, since the government is determining in a sense which, I don't know, baby formula companies exist and which don't, then if I have a baby formula company, I'm going to lobby the government for my interests and to keep out those foreign competitors. I don't want those foreign competitors around. They might lower prices. They might make it very difficult for me to compete. I'm going to lobby the government to have lots of tariffs and lots of restrictions on those foreigners.
- 5.80** And most of the tariffs we have, most of the restrictions and importation of stuff is caused by the fact that the government has the power to determine winners or losers. We gave them their power. Once we gave them their power, somebody is going to go and try to pressure politicians to make sure that they're the winner and everybody else is the loser. If politicians have the power over our lives, we'd better fight. We'd better lobby. Cronyism is a consequence of the mixed economy. It's a consequence of giving politicians power over the economy. Therefore, businesses want to capture some of that. First, they want to protect themselves, and then they want to capture.
- 5.81** So, I'll give you an example. In 1990, I think it was '93 or '94, Microsoft at that time was the largest corporation in the world, highest market value in the world. They spent on lobbying exactly zero dollars. They didn't lobby. They had no presence in Washington, DC, no lawyers, no facilities anywhere near Washington, DC, and they were the biggest company in the world. The senior executives of Microsoft were invited in front of Congress, a Senate hearing, one of the Senate committees, shared by Orrin Hatch, the

Republican senator from the state of Utah. They were invited there and they were asked, "Why aren't you lobbying? What is going on here?"

- 5.82** Microsoft said, "Look, we're the largest company in the world. We don't need to lobby you. We sell great products to hundreds of millions of people all over the world. We do a great job, as the market is indicating. We have large profits. We're doing great. We don't need you. You leave us alone. We'll leave you alone. We're leaving you alone. Leave us alone, please." Orrin Hatch got really mad. He stood up and he started yelling at them. "You guys need a presence here in Washington, DC. You guys need a lobby here. You guys need to have a building here." Microsoft said, "No, thanks," and they left.
- 5.83** Six months later, knock on the door. "We're from the government, and you guys are a monopoly. We're suing you." That's the beginning of the antitrust problems in Microsoft. It went through a whole multi-year legal battle with the government. The government won in the end. Next to the CEO's office at Microsoft, there was another office of the chief bureaucrat in charge of Microsoft that sat next to the CEO of Microsoft and got to decide, got to sign off on all the decisions the CEO of Microsoft made. As a consequence, Bill Gates left Microsoft. As a consequence, Microsoft's market share dropped dramatically. Innovation dropped. It's only recovered since that bureaucrat left. He was there for a certain given number of years, according to the agreement that Microsoft made with the court, "agreement", in quotation, forced on to Microsoft.
- 5.84** Guess how much money Microsoft spends today on lobbying in Washington, DC? Tens of millions of dollars. They built a beautiful building, right, equal distance from the White House and Congress. Now they lobby. They've learned their lesson. People with the guns, politicians, have made it very clear that we better protect ourselves. While we're protecting ourselves, yeah, we're going to manipulate things a little bit to help us in the future against our competitors, because it's a slippery slope. Once you start lobbying, it's very difficult to differentiate when it's self-defense and when it's aggression.
- 5.85** The source of cronyism, the source of pressure groups, the source of manipulating like this is not businessmen's desire to use government to manipulate stuff, although some bad businessmen might have that desire. The source is the power we've given politicians over business. Once we give them that power, they're going to use it. If they use it, business better be ready to protect itself, defend itself, and act. Some businessmen, more, it turns out, are now going to use that power in order to benefit themselves at the expense of everybody else, make themselves more powerful. At the end of the day, if you want to get rid of cronyism, you've got to get rid of the power of politicians over the economy.
- 5.86** And now, no reason to lobby them because they have no power over me. Indeed, what capitalism is, what capitalism is from a political perspective, is a government limited,

where it has no power over the economy. A proper government, according to capitalism, a capitalist government, is a government that basically protects rights. It has a judiciary system, it has a police force, it has a military. That's pretty much it. It doesn't regulate, doesn't control, doesn't tell business what they can and cannot do, doesn't have antitrust. We'll talk about monopolies in next class.

- 5.87** What capitalism implies for politics is a separation of state from economics. Under capitalism, the state has no role in the economy. The economy is run by the mechanisms, the incentives, the structures that we talked about in the last class. It's run by competition and the profit motive and the price signals and all of that. It's not run by central planners, by politicians who think they know what's good for us and who want to dictate their values, impose their values on us.
- 5.88** In the last class, you talked about the importance of individuals thinking and taking action as far as producing economic benefit. Then in this class, you said that the incentive structure was wrong in some of these other systems. And I was just wondering, what about the profit motive is such a good incentive?
- 5.89** Well, what the profit motive's incentive is, it's incentivizing you to become more efficient, to reduce your costs, so that you increase your profit. It incentivizes to make things more efficiently, which is a great motivation. It incentivizes you to innovate, to get better products, to produce better products, because if you don't, somebody else will and your profits will shrink. In order to keep your profit margins, you'd better innovate.
- 5.90** I mean, Apple doesn't come out with a new model every year because they love me. They don't know me. They don't care about me. They don't know you. They come out with a different model, a new model every year, because they want to keep making money. They want to keep selling their iPhones. If they don't come up with a different year, I might switch to Android, because they will have the better technology over time. So the profit motive incentivizes really everything.
- 5.91** It incentivizes me to hire the best people for the job because I'll be most productive. It incentivizes me not always to hire the best people, hire the right people for the job, where their skill set and the need, what they're going to be actually be doing productive-wise, is best matched because that'll make them more sufficient for what I need for the cost that will make my profit margins better. In every decision, the profit motive guides me towards, if I'm thinking long-term, and I'm not just thinking about tomorrow's profit, I'm thinking about profits over the long run, which I think every company should and every good company does, it actually guides me to make the optimal decisions with regard to the values that I'm producing, and my customers ultimately.
- 5.92** Of course, what ultimately is driving this is, I want to make money, which is universal. We all do. I want to be able to have this job for the long run because I like it. I want to

be proud of the job that I've done because I know that I've produced values that are real. How do I know they're real? Because people are willing to pay for them. I get a profit out of it. Why does somebody like Jeff Bezos, well, he's retired. Who's still working? Why does Elon Musk still work? He's the richest man in the world or whatever. Why does he keep working? He's now in a big fight with a board. Well, not fight with a board. A court in Delaware ruled that his \$53-billion compensation contract was null and void. They ruled it null. And he's trying to get the board to reinstate this big compensation contract for him.

- 5.93** He can't spend all the money that he has if he tried. There's just no way to spend that kind of wealth. Why does he care about an extra 50 billion? Why? Well, because what you earn as a businessman is a reflection of the values you're creating. It's a reflection of the fact that you're being productive. It's a reflection of the fact that you're using your mind to create values, to create a better world. It's a sign. It's not just a reward, but it's a signal. You're doing a good job. And that's great. That encourages me to feel proud and feel good about myself.
- 5.94** So people work way beyond what they need just to make a living. They work, not to leave the money to the kids, they work and they keep getting compensated because that compensation is a sign that they continue to provide value, create value. And that's, I think, important for all of our self-esteem, to know that we're creating value, that we're doing something of value, that we're using our time to do something productive. So the profit motive serves all of that. It's the thing that makes everything run, because as we'll see, what really makes it possible for everything to run is self-interest. And the profit motive is one aspect of self-interest.
- 5.95** In an ideal capitalist system, how would you manage infrastructure, such things as water and sewer that affect the public at large and are shared by everyone? How would those costs be beared?
- 5.96** Well, you'd have to figure out ways in which private enterprise would provide those services for a fee. Right now, you pay for water when you open the tap and you use water, you're paying somebody, usually a public company or the state or the city or somebody like that. But there's no reason that water cannot be provided by private enterprise. Now, how did that work in terms of competition? Are they going to dig up the street twice, three times? Maybe. Maybe not. Maybe the water is supplied by the developer who develops the building and he has a long-term contract with you to supply you water. And after that contract, it becomes competitive.
- 5.97** I mean, part of the problem with the existing system is that people ask, "How would the market deal with X?" A lot of the time the answer is, "I don't know." Markets are these amazing things, and they often come up with solutions I can't think of. But there's no reason, there's nothing unique about— I mean, there's some challenges about sewer and water because there's only one pipeline going to the home and stuff. But there's a lot of products like that. It used to be, it used to be, like, who's going to supply

you with cable if we don't regulate the cable company? There's only going to be one supply of cable into your home, and they're going to bilk you for everything you have, and there's no competition.

5.98 Well, it turns out, there's tons of competition for cable. But people would have never come up with the ideas on how to compete with cable, if not for competition, if not for the freedom to do so. If we decided cable was a public utility and had to be provided by the state, nobody can compete with it, then we'd still be using cable. But now we have wireless and we have over the phone line. It was a long time we used the copper wires in order to bring in information and cable in the internet. There's Wi-Fi that is connected to all kinds of stuff. I get mine through these microwave antennas, like wirelessly through the city.

5.99 But that's innovation that would have never happened. The same is true in water. Now, I can't think right now of how we can create alternative water systems, but that's just a lack of imagination. That doesn't mean it's impossible. It just means we haven't allowed for the competition and for innovators and for thinkers and for entrepreneurs to figure it out. What's the worst-case scenario? Worst-case scenario is you pay more money for water than you would otherwise. OK. Thank you.

Lecture 6: Challenging Common Objections

At a glance — Challenging common objections to capitalism.

- 6.1** All right. So far, we've talked about all the ways in which capitalism has succeeded, both historically, practically, and we've talked about the mechanisms by which it succeeds, it actually functions. We discussed it in comparison to other systems, socialism, central planning more broadly, mixed economy and the downside of a mixed economy, relative to a pure form of capitalism. What I want to do today and next class, or this class and next class, is discuss some of the real objections to capitalism. Why it is that people continue to object to it, why they turn it down, because the reality is, the world, if anything, is moving away from freedom, away from free markets.
- 6.2** We're moving much more towards a mixed economy and a mixed economy that seems to be more and more and more tilted towards statism and away from free markets, away from a capitalist mode of operation. And you see this in America, you see it around the world. We've seen a tilt in China, but we see it everywhere. We see this tilt towards greater and greater and greater state involvement. And in the United States, it's now become so that both political parties are now almost competing on who can be more statist and who is going to be involved in more government intervention.
- 6.3** And there's very, very few voices, particularly in politics, arguing for more freedom, arguing for more liberty, when it comes to our economic activities. Arguing for capitalism is pretty much unheard of. So what are the arguments against capitalism and to what extent are they valid? And we will divide this into two segments. This class, we're going to be talking about the economic political arguments against capitalism, the things that many economists and many political thinkers and many advocates say that capitalism, ways in which capitalism, they believe, is bad, and ways in which they believe capitalism has done harm.
- 6.4** Then next class, we will talk about the philosophical, the more fundamental objections to capitalism. In my view, you'll see that, in my view, the real arguments against capitalism are not, call it practical, but much more philosophical, much more ideological. We'll do that in the next class. Today, I've got a list of, how many of these are there? Seven. But there are more. We'll take these seven. In terms of just arguments that have been made, capitalism is bad. Capitalism should be rejected. You hear them often. You hear them from all sides of the political spectrum, particularly the left, which has developed arguments against capitalism over many, many years, starting even before Karl Marx, but certainly emboldened by Marx.
- 6.5** So we'll start with one of the accusations that you hear a lot of and arguments for why we need a welfare state and why we need government intervention in the economy and why we need more and more government. And that is that capitalism causes poverty. Capitalism creates poverty. There are poor people. There are poor people all

over the world. The argument goes that it is because of capitalism, because there are rich people, because there are people who make a lot of money, who have a lot of wealth, that somehow this poverty has been created. The argument is, are exploited for the benefit of certain entrepreneurs, certain businessmen, certain interests. And as a consequence, they are held down. They are prevented from becoming wealthy. They are made to be poor.

- 6.6** Now, I find, of all the arguments against capitalism, this is the most, I think, bizarre of all of them. Because the reality is—and it's hard to argue with this reality—the reality is that before capitalism, everybody was poor. I mean, literally, everybody. 95% or something like that of the entire global population lived at a level that the UN defines as extreme poverty, 250 years ago. That's \$2 a day or less. Imagine living on \$2 a day or less. But you didn't have iPhones to buy, you didn't have electricity to buy, you didn't have an automobile to buy, you didn't have air conditioning to buy. You had very little food to buy.
- 6.7** So maybe \$2 went a longer way than they do today, because expectations are so much higher. But the reality is, pretty much everybody was poor 250 years ago. Poverty was and is, if you will, the default. It's the natural state. It's where we are unless we embrace freedom, unless we engage in capitalism. When you look at the countries today that are the poorest, then what you find is no capitalism there.
- 6.8** Now, what people think in terms of capitalism goes something like this. You look at, I don't know, the Congo, very poor part of Africa, but also a part of Africa that has vast mineral deposits. You see, in this part of the Congo, you see children mining in these very dangerous mines, protected by gangs of, just gangs, really, armed gangs often. Producing this content, this material, these minerals that are then sold to big corporations that are then shipped to the West where they go into phones and TVs and electronics.
- 6.9** The idea is these people in Africa are being, are poor, being held as poor, because of capitalism. But to the extent that the people who are mining, the people who are mining these mines in Africa, are being forced to do so, and many of them are, sadly. Because when you see pictures of these mines, you see people surrounding them that are armed with weapons as people are mining, people are running into these mines. This is semi-slave labor. Capitalism is a negation of force. Capitalism is protecting rights, protecting freedom, not negating freedom. There's no capitalism in the Congo.
- 6.10** Now, it might be true that some of the product of those mines ultimately lands up in the semi-capitalist system. But the mines over there, the way people are treated, is a product of the fact that the Congo does not have a government that protects the rights of its citizens, that the Congo does not have capitalism. It's a lack of capitalism in Africa that makes Africa poor. Indeed, even in Africa, the richest places in Africa, in terms of GDP per capita, are the freest places in Africa. Places like Botswana and Namibia are relatively well-off as compared to other African states because they have protection of

property rights, they leave individuals free, whereas in the Congo, there are no property rights.

- 6.11 So if capitalism is property rights protection, if capitalism means a political system in which, as we used Ayn Rand's definition, which all property is privately owned, well, no property is privately owned, really, in the Congo. Anything can be seized at any point in time if you have a big enough gun. It's one civil war after the other. That's the kind of existence people have in these places.
- 6.12 If you look at other places where there's real poverty, where a significant percentage of the population is poor. North Korea, where there are regular famines, no capitalism in North Korea, no private property in North Korea, no individuals using their mind to pursue their own values in North Korea. There's the worship of an individual who dictates every aspect of life. You know that when the dictator of North Korea goes hiking and he touches a tree, the tree is immediately sealed off so that nobody else can go close to it because he touched it. It's like a god. So there's no freedom in North Korea.
- 6.13 If we look elsewhere around the world and we look at where there is poverty, what we see is lack of freedom, lack of property rights, lack of individual rights broadly, lack of capitalism. It's the absence of capitalism that generates poverty. As the world has embraced more and more capitalist ideas in the form of a mixed economy, granted, but still, capitalist ideas like what we described in China, in the second class, I think it was, or the third class, we're seeing similar things happening in other places.
- 6.14 Even Vietnam used to be this incredibly communist country, has liberalized elements of its economy to mimic capitalism, to allow a little bit of freedom, to allow people to have some semblance of private property, some pseudo private property, again, to provide them with the right incentives, the profit motive that we talked about. People do get rich in Vietnam. It's not that communist, it turns out. It's more like a mixed economy like everywhere else.
- 6.15 It turns out that as these things are happening all over the world, the amount of poverty has come down dramatically. I often ask audiences, how many people do you think today, alive today, are extremely poor? Now, 250 years ago, it was 95% or something like that, between 90 to 100% of the population lived in extreme poverty, \$2 a day or less. How many people do you think today live in extreme poverty? Usually, people will say 40%, 30%, Some people say 50, 60%. Their view of the world is gazillions of people in extreme poverty out there in the world. It turns out that the number is 8. Eight. Now, it's still 8 too many, but it's 8%. 30, 40 years ago, it was about 30%. Billions, and I mean billions with a B, of people have come out of extreme poverty over the last 30 to 40 years.
- 6.16 Now, primarily because of China and places like Vietnam, but also in Indonesia and Malaysia and all these places that have adopted a mixed economy. Even parts of Africa,

Rwanda, Botswana, Namibia, that have adopted some elements of mixed economy, people have risen out of—what does it mean to adopt mixed economy? It means allowing a certain level of freedom, some capitalism. I wish they'd adopted all of capitalism. Maybe then the number of people in extreme poverty today in the world would be zero. And not just extreme poverty, because the upside is unlimited when you actually have capitalism. Imagine if everybody is not just not poor, but everybody's actually rich. That's what's possible.

- 6.17** India was a very poor country. There's still lots of poor people, very poor people in India. From independence until 1991 or so, India was basically a socialist country. It was a democratic country that embraced many of the standards of socialism, heavily regulated, heavily controlled, guided by a caste system that basically told you that you were born in a particular caste. You were stuck. You could not advance. That's where you were. Nothing could change. In the late '80s, but particularly in the early 1990s, they started liberalizing that economy, opening it up to foreign goods, opening it up to foreign competition, foreign capital, but also within the country itself, reducing regulations, reducing controls, liberating the economy.
- 6.18** Since then, Indian economy has grown fantastically fast. The amount of poverty has come down dramatically. Not as fast as I would want, not as fast as they could have had it. They're not a capitalist economy, but they're now a mixed economy with a certain mixture of capitalism, which is good, and a certain mixture still of controls and limitations. Even the caste system is starting to break up a little bit, particularly in the cities where there's a lot of activity. It's become a tech center.
- 6.19** The cause of poverty is life. We're born poor. As a human species, again, we don't have programmed instinctually on how to create wealth. Wealth is something you have to make an effort to produce. That effort requires thinking, long-term planning. It requires engagement, and it requires, as a consequence, property rights and the right kind of culture, a culture of thinking, a culture of property rights, a culture that respects you as an individual. It requires being able to trade with other people freely. Free trade is a key to what capitalism is, the ability to trade and therefore determine prices, and determines how resources are allocated, without a central planner.
- 6.20** But just because some of us want some stuff and others are producing it and buying and selling. Where that is introduced, wealth is created and people rise up from poverty. Where it's not, people stay poor. Where you have elements of capitalism, people rise up. When you don't, they don't. And it's a tragedy. The real tragedy is not capitalism creating poverty. The real tragedy is that we don't embrace it fully and therefore eradicate poverty completely on planet Earth. And not just extreme poverty, any poverty.
- 6.21** Take the US economy. If you could grow it at 5, 6% a year, rather than the 1, 2% a year that we're growing it right now, if wages track real economic growth, which they do, approximately, then there would be no poor people in America in a couple of decades.

Everybody would be six figures in real terms. Just do the math. What happens when you compound 5% over many periods of time? If you take in the last 100 years, and if the US economy had grown at 1% less than it did a year, just every year, subtract a percent, America would be poorer than Mexico right now. 1% makes that difference because it compounds. This is the power of compounding.

- 6.22** Because the next year, you make 1%, and then the next year, your 1% is on the principal plus the 1%, and that compounds. So 1% is the difference between the US and Mexico. Imagine if we added a percent, how much richer we would be today. And everybody richer. Because think about the poor in America and the poor in Mexico. The poor in America are much better off than the poor in Mexico. But add 1% compounded over 100 years to the poor in America, they're not poor anymore. By any standard, they are rich.
- 6.23** So the solution of poverty is more capitalism, more freedom. Solution generally, I find it interesting that people always think that solutions to problems should be embracing more restrictions, less freedom. We want to encourage people to think, to innovate, to produce, to go out there and pursue their values, to live good lives. Freedom is going to be the solution to every problem we face, certainly every economic problem we face. People raise the issue of sweatshops and child labor, usually associated like the sweatshops in all these third-world countries, and capitalism benefits from the sweatshops. And again, exploiting, creating poverty.
- 6.24** I think we talked about this in a previous class, the fact that, why do kids go to sweatshops? Why do kids work at sweatshops? Because their lives are better in a sweatshop than they are in the fields. They're making a little bit more. Parents don't send their kids to sweatshops because the parents don't like their kids. Parents send their kids to sweatshops because they have no choice. They live in a poor place. If you're in Malaysia and Indonesia, certainly 10, 20 years ago, what options did you have? If you kept the kid at home, they would die of starvation. You didn't have enough money to feed them.
- 6.25** Now, we could all pretend that everybody in the West could write a check and give them welfare or give them charity, and that would solve the problem. But that's fantasy. It's not real, and it didn't happen, and it's not going to happen, and it's not right that it would happen. They need to bootstrap themselves out of poverty. That's exactly what sweatshops do. They bring industry into their town. A kid works in this place. They learn a skill. They become more productive. They rise up from the sweatshop. Maybe one day they run a factory. Many of them do. In the meantime, they're feeding their family.
- 6.26** It turns out that, as the average income in a particular society reaches about \$12,000 a year, all the kids are gone. Because at that point, the parents are rich enough to be able to send them to school and to take them out of the sweatshop. But how do you get from the poverty where they're out in the fields barely surviving, to they go to school?

There's a transition. And that transition involves—it involved it in England, it involved it in the United States in the 19th century, it involved it in Malaysia and Indonesia and in China—it involves a phase where the kid works in a factory rather than the field and rather than dying.

- 6.27 That's not a bad thing. That's a sign of growth, a sign of development. It's a sign of getting richer. If we deny sweatshops, we deny the ability of that family to ever get rich enough to send the kids to school. Again, capitalism is the only system in human history to eradicate child labor. Because throughout human history, children have worked. So now it didn't eradicate it instantaneously. OK, but it did eradicate it.
- 6.28 Associated with this is the argument that capitalism is inherently exploitative. And this is Karl Marx's argument, that capitalism exploits the workers. This is basically the argument. All stuff is made through manual labor. This iPhone is made by the people who assemble it or the people who made the chips, the people who put labor into this phone. The people, certainly, who assemble this, I don't know how much value you think the assembly itself, of the \$1,000, they maybe got, I think it's something like \$6.
- 6.29 Maybe if you count all the assembly that went into putting the chip together and all the manual labor. It's all manual labor in Marx. It's a labor theory of values. It's muscle, it's labor. I mean, maybe there's \$30 of labor into this. Maybe, I don't know. And then maybe there's another raw materials, another \$30. But this sells for \$1,000. That's like \$940 of exploitation. We could have given those \$940 to the workers. I'm willing to pay \$1,000 for this. Why aren't the workers getting all that money? Why is Apple getting it? What did Apple do? What did Steve Jobs do? What does the current CEO, Tim Cook, do? He's just exploiting his workers.
- 6.30 He's making millions of dollars, and the workers are making a minimum wage in China, which is a lot lower than the minimum wage here. And yet the CEO does nothing, and the workers build this. Obviously, there's exploitation. Marx has this pyramid of ability. Sorry, pyramid of exploitation. It's a pyramid, right? At the bottom are the vast majority of the people, engaged in productive activity. That is the workers. They produce everything. They create everything. And then there are layers upon layers upon layers upon layers of management. It doesn't really do anything. And it makes more money. They're lying on, literally, we're lying on this foundation.
- 6.31 At the top, the very top pinnacle, is the capitalist, the financier who provided capital. He's obviously not done anything. He just wrote a check, and yet he makes the biggest profit. Certainly, as a percentage of the work he put in, physical labor, because he put in zero physical labor, any profit he makes is an infinite return on the physical labor he put in. So Marx's whole theory is based on the idea that value comes from physical labor. Value comes from muscle.
- 6.32 This is not a crazy idea. I mean, this is an idea that to some extent John Locke had. It's an idea that even Adam Smith held. It's an idea that in a society that has not

experienced capitalism and had enough time to observe it, to understand what actually is happening, you can come in. I mean, it's the guy who's hammering the thing. He's doing the work. He made the thing that is being made. I'd say most thinkers in the early part of the 19th century, certainly in the pre-18th century period, they were all labor theory of value, the idea of muscle, the idea of labor creates the value.

- 6.33** What's missing? What's missing? What is it that the capitalist, the CEO, the managers, and all these others do that is our productive value? They think. They solve problems. They figure stuff out. They invent. They innovate. They come up with the very idea of an iPhone. As we talked about originally, without the entrepreneur, there is no labor. They have nothing to do. He has to have the idea of an iPhone or an automobile or whatever it is for labor to even exist. Then they're still useless, really useless, without a manager saying, "You do this and you do that and you do this. I have to change it over time because I'm monitoring and I'm checking, and here's how we innovate. Here we become more efficient."
- 6.34** Somebody has to do that. And of course, none of them can do any of that without somebody saying, "I've evaluated your business, I've thought it through, I've modeled it out. It looks like it could make some money. Here's a check." But that requires real thinking. It requires evaluation and choice. He's not giving checks to everybody. That's the capitalist right at the top there. Maybe most important, because he makes all these entrepreneurs possible. There are no entrepreneurs without him.
- 6.35** Ayn Rand had a different vision of a pyramid. She called it the pyramid of ability. She took Marx's pyramid and she turns it upside down, where the point is at the bottom—Atlas, if you will, holding up the world. Everybody else is, in a sense, not exploiting because in a capitalist society, in a free society, there is no exploitation. Everybody, though, is benefiting from the skill and the talent of the people right at the edge there. There is no CEO, there is no entrepreneur without the capitalist. There are no managers without the CEO. There's no business vision, there is no plan, there is no product without the entrepreneur.
- 6.36** There is no labor, not labor that's productive, without the managers. The labor on top, the labor on top, is not being exploited. It is the biggest beneficiary of the idea of the entrepreneur and the capitalist. It is the one that is now dramatically increasing the quality of life, standard of living, and all they're in a sense investing is muscle—the easiest, cheapest thing that we as human beings have. The guy at the tip is going to do fine.
- 6.37** The laborer's only option is subsistence farming or some other physical activity. He can't do the thinking that the guy at the tip could do. Just because of ability, we're not the same. Some of us have the entrepreneurial ability, skill, talent, but also motivation, focus. Some people don't. Those who don't live off of those who do. Every laborer today has an iPhone. Thank you, Steve Jobs. Could they invent an iPhone? No. Could anybody who assembled the iPhone have the idea of creating an iPhone? No. Could

they figure out how to create a supply chain that brought the hundreds of components to one place to be assembled into an iPhone? How many people could do that? I can't. I don't think anybody in this room can, or anybody watching probably can't.

- 6.38** It took a particular type of genius to do that. It wasn't necessarily Steve Jobs. Steve Jobs was not a supply chain guy. It was Tim Cook. He was the guy who came up with it, how to make the supply chain work and effective. Steve Jobs hired him. Steve Jobs had the skill to know who to hire. How many people can figure out how to take the gunk that comes out of the ground that is oil and turn it into a useful product for kerosene or for something else? Very few. The fact is, Rockefeller didn't know how to do it. But Rockefeller understood that he had to hire a scientist to figure it out, and he created the business structure to make it possible to hire scientists to figure it out and then keep giving them resources to make the process more and more and more efficient and more and more and more safe.
- 6.39** Would we have known to do that? 99.999% of us would not. Does Rockefeller, therefore, deserve all the wealth that he created? Yeah, because he created it. He made it possible. Without him, it doesn't happen. Without him, you don't have the people who are out there on the rig actually drilling for oil. You need him to guide that, to make that happen, to make that possible. And as we'll talk about, he makes it cheaper and cheaper and cheaper over time so that all of us can benefit from the oil that we could have never drilled for, we could have never refined, we could have never done all of that. And in that sense, we rely on him.
- 6.40** There is no exploitation here. There is a trade that recognizes the ability of some people vis-a-vis the ability of other people. There is a trade where some people get to do the manual labor because that's what their skill set is, versus the people who have ideas or the people who have management skills or the people who have financial skills, and each one of them earns a living based on how much value they are creating. And the reality is that the people at that tip create more value than anybody else. That's why they tend to make the most money. They tend to create the most wealth.
- 6.41** I mean, there's not a lot to say about another aspect of the exploitation, which is slavery. There are people out there who claim that capitalism created slavery, which is bizarre, primarily because slavery has been the condition of man—to some extent, there's been slaves since the beginning of time, or at least since the beginning of human societies. Some people have enslaved other people. Again, it's a legitimization of force. It's a legitimization of the idea that we have no individual rights, that we don't own ourselves in a sense, that we don't own our own bodies, that somebody else can control us, somebody else can own us.
- 6.42** It's a complete rejection and negation of capitalism. And because of that, it's not an accident that slavery disappears for the most part from human life, when? In the most capitalist era in human history, the 19th century. Not an accident at all. Because that's the era in which we respect individual rights, individual liberty. It's where we learn

about individual rights, property rights, and the fact that, in a sense, you own yourself. Slavery is the huge contradiction at the founding of America. But because it's a contradiction, it has to be resolved. It's sad that it had to be resolved in a war and not by other means. But the good guys won. The right party won. The party that stood for individual rights, the party that stood for freedom, the party that stood for capitalism. The North won.

- 6.43** As we talked about, the North was significantly richer than the South, because it was capitalist, and the South was poor because it had slaves. Slaves don't create wealth. Quite the opposite. Slavery disappeared during the 19th century, basically from the entire Western world, if you will. The entire world that recognized the existence of capitalism and embraced some elements of capitalism. That world is the world that eradicated slavery.
- 6.44** There's still slavery today in places like Africa and the Middle East, exactly because those are the places that never recognized the value of capitalism, never recognized the value of the individual, never embraced the concept of individual rights. So you still have elements of slavery over there. But otherwise, it is exactly capitalism that ended slavery, which is the exact opposite of how so many think about this. And yet we let them get away with it too often, too easily.
- 6.45** OK. Capitalism doesn't create poverty, it doesn't create slavery, it doesn't involve exploitation. But obviously, capitalism has created inequality. I mean, that's obvious. And it has. Capitalism creates huge amounts of inequality. Because when we're all poor, we're all pretty equal. When countries embrace capitalism, there seems to be a separation between the poor and the wealthier. Everybody gets richer, but some people get richer much faster than other people. We see that in—you travel in any free country, in any semi-capitalist country, what you see is vast amounts of wealth for some people and a lot less, put it that way, in others. You don't get extreme poverty, but you get a lot less than the wealthy guys.
- 6.46** That is absolutely true. Why do we care? That should be the question. Why do we care about inequality? Is inequality a problem? Is the fact that Jeff Bezos is richer than me a problem? Not for me. I actually am very thankful to Jeff Bezos. I buy a lot of stuff from Amazon. I get it all the way to my doorstep. It just arrives. And I live in Puerto Rico. So we need to buy a lot of stuff from Amazon because a lot of stuff doesn't get to the island for a variety of reasons. We rely on Amazon. Certainly during COVID, all of us relied on Amazon and Netflix and a bunch of other.
- 6.47** The fact that the people who invented that, that came up with that, that put the work in, put the capital, organized it, got really, really rich? Cool. I'm thankful, and you should be thankful that they did that because you benefit from it. The reason they got rich is because you use their service. The reason they got rich is because millions of people like you, billions in some cases, like you, use what they created. Why do you use it? Because it makes you poorer? It makes you worse off? No, you use it because it

makes you better. Otherwise, you wouldn't use it. Versus the alternative, it's a thing that improves your life the most.

- 6.48** So you're gaining, they're gaining. They're gaining more than you only because they are benefiting millions and billions of people. Indeed, on any given transaction, who gains more? Amazon or you? What's Amazon's profit margin on selling you any particular good? Close to zero. It's not quite zero. They make a profit, but it's very small. Amazon makes their money on volume. What's the benefit to you? Huge. Convenience, usually cost. The value you gain, what some economists called consumer surplus, the surplus value that you gain over the price you paid is massive. Amazon makes a tiny little profit on every single product they sell to you.
- 6.49** In the equation between me and Bezos, I benefited a lot more than Bezos. Given how much I paid for stuff, how much I put into the system, versus how much he did. When I buy the iPhone for \$1,000, right? Apple maybe makes, I don't know, \$400 profit on this? The value of this to me is more than \$1,400. The value of this to me, in my life? I don't know, \$10,000, \$100,000? I don't know how to measure it. A lot. In that transaction, I benefit more than Apple. Who's exploiting whom exactly? Who cares about inequality?
- 6.50** The assumption about the poor, exploitation and inequality, all comes from the same attitude. It's an attitude that was common in society in primitive times. It made sense back then, maybe; it doesn't make any sense today. That is a perspective on the world that is zero-sum. That is, that your gain is my loss. My gain is your loss. Therefore, if Jeff Bezos is a billionaire many times over, somebody must have gotten poor, because zero-sum has to add up to zero. If you think about when you observe somebody making a trade, you see Apple giving me the iPhone, I give them \$1,000. It seems like that's zero-sum. I gave up \$1,000. Nothing was added here.
- 6.51** But if you think a little bit, it doesn't take that much, but if you think a little bit, a lot was added here. I got an iPhone that didn't exist before. My quality of life increased substantially. Apple made a profit. Every transaction like that, both parties gain. This is how wealth is created. This is the meaning of wealth creation. Both parties gain. Now, multiply that by the gazillion transactions that we do every day. Every one of them increases our well-being in some way. Otherwise, we wouldn't do it. Again, we wouldn't do the transaction. It's not a zero-sum.
- 6.52** People talk about a pie that gets distributed. How come he got a big piece and I got a small piece? Wait a minute. There's only one pie. If you got a big piece, I'm going to get smaller. But the pie is ever-growing. So, the fact that a piece was a particular size doesn't dictate how big the piece will be next time. But even more than that, there is no pie. Pie is very static, and it's collective. We didn't create a pie. You created a pie, I created a pie, you guys created each a pie. Economists, in order to measure things, we want GDP and we want total income. We mush all the pies together and we can say, "Oh, here's a social pie." But there is no social pie. There's my pie, your pie.

- 6.53** How do we get our pies? By baking them. We use our mind, use our muscle and effort, and bake pies. Pie equals wealth. We make the wealth, and the wealth is ours, private property. Then the way we increase our individual pies is by trading. There are no losers here; there is only winners. Indeed, a capitalist economy is a win-win-win-win-win-win-win—ad infinitum. Because every trade is win-win. Think about the millions of trades you do in a lifetime. Multiply that by 8 billion people around the planet who I wish were free. And then you could do the multiplication. Unfortunately, many of them are not. So they don't engage in win-win transactions.
- 6.54** Now, you can imagine, in a feudal society, everything was win-lose. The way aristocrats became rich was not by producing. How did aristocrats become rich? How did aristocrats become aristocrats? By stealing, by exploiting, by enslaving. All the things we accuse capitalism of, they did that. But then they went away. They went away because of the introduction of capitalism. And the only way to become rich under capitalism is not by stealing. Indeed, stealing gets you in jail; stealing gets you to poverty. The way to become rich in capitalism is by producing, by creating, by trading, by win-win, engaging in win-win transactions. Transactions that benefit everybody.
- 6.55** So the real attitude towards inequality is not to argue about it, not to argue about whether it exists or whether it doesn't. Obviously, there's inequality. The real argument about inequality is, OK, who cares? I don't care. I think it's cool. I'd hate to live in a place where there was no inequality. What would that indicate if there was no inequality? If somebody was forcing us all to be the same? Because the only way to make us the same is by use of force. There's no way to make us the same other than by use of force. This is what communism tries to do. It tries to make us the same by using force against us in this suppressing our minds, suppressing our actions.
- 6.56** All right, a few more criticisms of capitalism. Capitalism produces monopolies, we are told. What are monopolies? Now, historically, monopolies have been businesses that are shielded from competition, and therefore control the entire market, because they're shielded from competition. Now, how do you shield yourself from competition? Well, traditionally, historically, government gave you a monopoly. Governments granted monopolies. In other words, government said, "You get to do all the trade between England and India. Nobody else can compete. If they do, we put them in jail." That was a monopoly.
- 6.57** Today, we've expanded the concept to companies that do really, really well, gain large market share, and where there is no observable competitors to them because they've got such a—their competitors are so small, they don't count for much because this company has such large market share. But is that company shielded from competition? The fact that there's no large competitor at any given point in time, does that mean there won't be? Maybe there's no competitor right now because this company is doing such a good job that nobody can compete with them. Is that a bad thing? How is that a bad thing?

- 6.58** People use a few examples as the standard examples of monopolies. The most classic one is Standard Oil in the 19th century. Standard Oil, Rockefeller. Basically, in the 1870s, I think Rockefeller controlled 93% of all the refining capacity in the United States. 93%. 1870-something. That's a lot. That sounds like a monopoly. He didn't have any government protection. He didn't have any restrictions on competition. He was just really good at what he did. He consolidated the industry, had economies of scale, hired a bunch of scientists and engineers to figure out how to make the process better all the time.
- 6.59** Now, one of the things we taught in Econ 101, is that what monopolies do when they have this, where they're shielded for competition, they raise prices and they lower quality because they don't care. Nobody can compete with them. So why not raise prices, profit, make a lot of money, and who cares about quality? There's no competition. Fascinating is that, and check this in the records, Rockefeller reduced prices every single year. Prices kept going down fast, not even slow. And quality and safety all went up. They improved. Why?
- 6.60** He was a monopolist. He could have gotten away with raising prices and low quality. Except that Rockefeller knew he couldn't. There are a number of reasons why. One is he couldn't get away with it. Why couldn't he get away with it? Because there were always going to be competitors that would have taken advantage if he'd raised prices and lowered quality. Somebody would have come into the market. Somebody would have bought up either refining capacity or started to build refining capacity and competed with him if prices were too high. Rockefeller always knew the competition was just around the corner if he didn't keep up quality and price.
- 6.61** But I think there's a second factor that we often ignore. Let's call that factor pride. I mean, Rockefeller doesn't go into business in order to, I don't know, suck consumers from everything that they've got, to hell with the quality of the product he's making. He loved what he did. Most entrepreneurs do. Most entrepreneurs want to make a good product. They want to create real value. They want to really test their skill and their merit in the marketplace out there. They're not looking for protection. They're looking to do something great.
- 6.62** Rockefeller wouldn't allow the price to go up because he knew he could lower the price by becoming more efficient. So he did. And he felt good about himself because he knew he was doing his utmost to create value in the world. And he did it out of a sense of his own pride. So Rockefeller turns out, during this period, lowers prices all the time, quality goes up. In spite of that, antitrust laws are passed. First antitrust laws in America are passed in 1890, in order to a large extent to break up Standard Oil, which they succeed in doing about 20 years, in the early part of the 20th century.
- 6.63** By the time they break up Standard Oil, Rockefeller only has 20-something percent of the refining capacity in the US. He's got plenty of competitors, not because of government, but because there's competition, because other people started refining

businesses. Because it was such a huge marketplace. Rockefeller created that, that other people got into it. Why was it such a huge marketplace? Well, one reason is that because Rockefeller kept lowering the price of oil refining, lower and lower and lower, more and more uses were discovered for the oil.

- 6.64** Initially, what did they use oil for? One basic use, lighting. And Rockefeller made lighting so cheap that he actually saved the whales. You know this, but before Rockefeller, people used whale oil to use as light. It was expensive, so only the rich could afford it. But the whaling industry, killing whales, was basically funded by selling whale oil. As soon as Rockefeller made kerosene cheaper than whale oil, the whale industry went out of existence and a lot fewer whales were killed. And of course, as he made kerosene cheaper, more and more people could afford it. And suddenly, you had light in poor people's homes.
- 6.65** But as it got cheaper, it also became obvious that we could maybe use this stuff for other stuff. When the internal combustion engine comes around and people are considering what fuel to use, well, oil is really cheap. And it becomes the fuel for the automobile. And ultimately, it becomes what we use for plastics, which are pretty much in every product in this room. Plastics dominate in spite of the fact that they're being demonized right now. Plastics are this amazing miracle product created from oil, all because oil refining was so cheap. And the industry just exploded.
- 6.66** Interestingly, though, by the time Standard Oil is broken up, almost none of that oil is going for kerosene. Who competed Rockefeller out of the business of lighting? Thomas Edison and Nikola Tesla. Right? Electricity. Now, which bureaucrat, which regulator would have seen that coming? If you're sitting in 1870s and you're looking at Rockefeller, he has 93% of the entire lighting market, within a few years, he'll have zero. But can you see it coming? Can anybody see the fact that IBM, which was sued for antitrust, which had 100% or close to 100% of the mainframe market, within a few years would have a very low percentage of the computing market?
- 6.67** The whole issue of antitrust and monopoly is an issue partially of how you define a market. If you define a market as computing, IBM doesn't dominate. If you find it's mainframes, OK, but who cares? Monopolies don't exist under capitalism. There's no such thing because people are free to compete. If they don't compete, it's a sign that monopoly, so-called monopoly, is doing a good job. It doesn't need competition. As soon as they stop doing a good job, competition will arise. That's the beauty of the price mechanism. It's the beauty of the profit motive. It's the beauty of people pursuing self-interest in business, looking for opportunities.
- 6.68** Entrepreneur sees, "Oh, that company, keeping prices up. Quality is down. I'll compete. I can do better." As long as there are no barriers to doing that, legal barriers to doing that, you can raise money if you've got a good opportunity to make money off of somebody else's mistakes. So there's no such thing as monopolies in a truly capitalist economy. So yes, the companies achieve large size, sure. Can companies dominate a

market for a while? For a short while, not for very long, typically. Sure. Size actually becomes a barrier for most companies to innovate. It just becomes more difficult to manage, to organize, to let their creative juices flow.

6.69 Companies reach a certain size. They typically, afterwards, shrink. It's just part of the evolution of management. It's very hard to manage a big company. But you don't need regulations, laws, antitrust. You don't need all this stuff because monopolies, they don't exhibit the bad behavior that we attribute to monopolies. They never have. Standard Oil lowered prices, raised quality. Alcoa, which dominated the aluminum business for a long time, was sued under antitrust. Lowered prices, increased quality pretty much every year. Didn't matter, still sued. And that's true of IBM, they were sued by antitrust. It's true right now of Apple and Google and Facebook, and who else is being sued? All of those companies being sued for antitrust.

6.70 What monopoly does Apple have? You just choose to buy a Samsung. Oh, I know their monopoly. This is what they're being accused of, right? That they get to decide which apps sit in their app store. I mean, how horrible is that? They start an app store and they get to decide which apps can be in the app store. That's monopolistic power. I want them to choose. I want them to choose apps that are going to work smoothly with the phone and are not going to inhibit it. I benefit from it. But even if I didn't, it's none of my business, none of their business. It's their property right. They created the store, they get to decide how to use it. They screw it up, they'll screw it up. And a competitor will come up, take their market share away from them, whether it's Samsung, Android, or whoever.

6.71 Monopoly. Big business exists. Monopolies don't, not in capitalism. They do in a mixed economy, like the post office. What happens if you compete with the post office on first-class mail? Go to jail. People have tried. They go to jail. Fedex and UPS had to get special licenses to do what they do, which is not first-class mail. It's packages and other types of mail. They call it something else. But they had to get special permission to do that because they were competing with the post office, which is not legit. Can't do that. Some of the utilities you talked about are monopolies because, legally, I can't put in a second waterline, even if I wanted to. The locality, the government will not allow it. There are plenty of monopolies, but the monopolies are all state-created. They're all created by the government, the product of a mixed economy.

6.72 All right, let's see. One of the accusations about capitalism is that it's an unstable system, booms and busts. There's some truth to that. There might be some real excitement about railroads or real excitement about tech and everybody pours capital into it. And at some point you realize, yeah, there's a lot of garbage here. There's some real gems here, a lot of garbage here. And then there's a cleansing out, there's a decline, a process of filtering through and figuring out who are the winners and who are the losers that the market goes through. And a sector might go up and down as a consequence.

- 6.73** But the phenomena of economy-wide busts and booms is mostly a phenomena of central planning, of things that affect the entire economy. Like a central bank and its behavior, interest rates affect the entire economy. Like, I don't know, taxes and regulations that affect everybody at the same time. The Great Depression, in spite of what people argue, was not caused by capitalism, was caused by statism. The financial crisis, not caused by capitalism, caused by statism. And you can find over and over again, much of the modern business cycle, the ups and downs of the business cycle, is driven by monetary policy, fiscal policy, government policy at the end of the day.
- 6.74** It's not a phenomenon of markets. Now, again, the bust in dotcom stocks might be a phenomenon of markets. There was a bust in real-world stocks. There was a bust in other types of industries. But those are cyclical things that happen within industries and among industries. It might slow the economy in an aggregate sense for a while, but they don't generate the widespread, what the government likes to call systemic problems, systemic risk. Well, who's systemic? Government is systemic. Everything the government does affects everybody, the entire economy.
- 6.75** Even if it's true that capitalism created booms and busts, OK, but if the overall picture is we're much better off at the end of this process of cycles, isn't that better than stability but flat? Stability but poverty? Are the central planners so good that they can eliminate the booms and busts at no cost? I don't think even they think that. They pretend they do, but do they? People have looked at booms and busts before the Federal Reserve and after the Federal Reserve, much worse after the Federal Reserve, particularly the Great Recession. You make one big mistake, everybody suffers in a way that didn't exist before.
- 6.76** Before was just the early birth of capitalism. There was still a lot that had to be developed and improved and institutions created to smooth things out within the market system. That was never allowed to happen. We immediately got central planners trying to dictate everything, and as a consequence, created busts that are a lot larger than any market could ever create. No, capitalism is probably more stable than the mixed economy.
- 6.77** We talked about this one last class, but cronyism is one that's always, capitalists are always accused of. Capitalism creates cronyism. But if capitalism, as I mentioned last class, is really the separation of state from economics, if capitalism really involves not giving politicians any power over the economy, you can't have cronyism because there's nothing to lobby about. They have no power. What am I asking for? Indeed, the smaller the government is, the more limited the government is in terms of its activity, the less cronyism there is. There's a lot more cronyism today than there was in the 19th century. A lot more.
- 6.78** Everybody lobbies today. Everybody. Consumer groups, labor unions, all kinds of businesses. Indeed, what we have today in our mixed economy is gang war, pressure group, constant pulling and pushing. We want tariffs. No, don't have tariffs. That'll hurt

us. So we'll give you some extra bonuses. So when Trump put tariffs on steel on China, not just China, actually, most of the world, but he put extra tariffs on a bunch of things for China. So China retaliated by saying tariffs on soy beans and agricultural products in the US. So the US government started giving bigger subsidies and bigger bailout money to the farmers in order to compensate for the tariffs that the Chinese put on because of the tariffs America put on initially, and there's no end to it.

- 6.79** Everybody's lobbying, everybody's trying to take a piece of the so-called pie. And now it's not about how much you produce. It's not about how much value you create or how much value you offer your customers. Now it's about how much of the pie you can grab because the politicians have the power to hand it over to you. Instead of you having to earn it by offering a product at a good price, now you get to grab it from somebody else through your agents, the politicians. Now, yeah, most laws that relate to economics are about pressure groups fighting over the crumbs.
- 6.80** It's about cronyism. It's about business and consumer groups and labor unions trying to manipulate the system in their favor in the short run, at the expense of the long run, and really at the expense of all of us. But that's a feature of the mixed economy. It's not a feature of capitalism. It doesn't exist under capitalism or is minimized dramatically under capitalism. But it's a feature, not a bug. It's not a bug of the mixed economy. It's a feature of the mixed economy.
- 6.81** All right, one final point I want to make about capitalism, which I think is, again, underappreciated, a lot of people accuse capitalism of war. We go to war in order to, I don't know, take over the oil fields in Iraq because that's good for capitalism because we'll give it to our oil companies and make a lot of money. Again, complete misunderstanding about what capitalism really is to even think in that terms. It's really interesting, too, that we went to war with Iraq to give oil to oil companies, and yet none of them have any of that oil. That oil is Iraqi, and the Iraqis get the benefit from it. And indeed, we didn't achieve any of the stuff that—if that was the criteria, then we didn't do very well in terms of achieving it.
- 6.82** But if you think about when we were more capitalist and then when we are less capitalist, when we engage more in trade, when we engage more in globalization, we engage more in ideas of freedom, what's interesting is, we have less wars. I'm thinking of two particular periods. I have two particular periods in mind. 19th century, from the Napoleonic Wars, 1810s, right? Until 1914. I mean, there was basically peace. There were still wars going on, but they were small-scale. There were no big wars. None like the Napoleonic Wars or the 30-Year War, the 100-Year war. I mean, these were nutty wars, crazy wars. Huge numbers of people died.
- 6.83** There was, for 100 years, about 100 years, during the peak of capitalism, it was among the most peaceful periods in human history. Then if you fast forward to post-World War II, which is a period of relatively, on a global scale, relatively free markets, you had the communist bloc, but everybody else was adopting more and more ideas of free

markets. And a period of global trade. Again, you had a long period, 1950 until just a few years ago, are basically peace. Europe, no war in Europe. In spite of the Cold War, no real war in Europe. That's a huge achievement given Europe's history as killing each other on a regular basis.

- 6.84** And that's trade. That's freedom. Free people don't want war. See, the assumption that capitalism creates war is an assumption that says, it goes back to the labor theory of value, it's an assumption that muscle creates value. That the way to get rich is to steal stuff from other people. That's not true. The way to get rich is to trade with other people. The way to get rich is to offer values, to offer stuff that other people want. It's a trade with them. China got rich because it offered goods to the rest of the world. It sold us stuff. That's how it came out of poverty in the 21st century. It wasn't by stealing, it wasn't by going to war, it wasn't by occupying.
- 6.85** Imperialism in the 19th century, 18th century, were mostly net economically negative. Having troops all over the world in the British Empire and fighting wars and local wars and managing all these countries cost more than the economic benefit that it provided, which is not surprising. Much better to have left India and traded with it than to have imposed your will on India, as the British did.
- 6.86** Capitalism is a system based on individualism. It's a system based on individual rights. Individuals have nothing to gain by initiating force, by initiating war. I mean, fighting wars is fine and the right thing to do and the moral thing to do when you're defending yourself from aggressors. But initiating it? It's no accident that World War I was initiated by empires trying to grab more, not by free people. It wasn't the free world that initiated World War I. It was indeed a reactionary force that's anti-capitalist. Indeed, I think they were rebelling against the growth and the influence of capitalism. They were nationalists. They were empire-builders. They wanted the old ways.
- 6.87** World War II was initiated by a collectivistic fascist ideology, not by capitalism. The Cold War is really a consequence of communism, of, again, a collectivistic, and I'd say, ultimately reactionary ideology that was fighting against the rise of capitalism, standing up against it. It didn't want the individualism. America engaged in several stupid wars over the years, none of them because of capitalist interests. Almost all of them because of politicians wanting more power, politicians overreaching.
- 6.88** War and capitalism clash. They're against one another. War is destructive. Capitalism is win-win, win-win, win-win, win-win. War is lose-lose, lose-lose, lose. All you do is blow stuff up, kill people, and destroy property. Exact opposite of what you want to do in capitalism, which is build. Build, build, build. Create, create, create. Capitalism is destroy—I'm sorry, war is destroy, destroy, destroy. Exact opposite. War and capitalism clash. They don't work together, they're the opposite. So capitalism does not cause war. Capitalism is the antidote to war.

- 6.89 We want a peaceful world. What we want is individuals to be free. If individuals are free, they don't want to give up that freedom, and they don't want to sacrifice their life. For what? To take over somebody else's land, to take over somebody else's territory? No value in that. I'd rather leave them free and trade with them. Self-defense is a different issue. Sometimes you have to go to war, but note that it's almost always the free countries that are acting in self-defense against the countries that are not free who are the aggressors. Germans wanted more land because they couldn't produce enough, because they believed in some mystical destiny. It had nothing to do, it was the exact opposite of capitalism, nothing to do with capitalism.
- 6.90 All right. We've gone through some of the practical objections to capitalism. I happen to think that there's nothing there. There are no real good objections. They don't pan out. Most, I think, honest economists look at this stuff and say, capitalism works. If you consider all the economic benefits, if you consider all the social benefits, capitalism by far is better. And yet, we're moving away from it. So something else is going on, something other than economics, something other than these objections. They're more fundamental, more basic objections to capitalism.
- 6.91 And they are philosophical objections. They're moral objections. They're objections about the way we view the world and the way we view individuals and collectives and groups. Those are the things that actually drive the anti-capitalist perspective. We'll talk about what those are next class.

Lecture 7: The Moral Conflict

At a glance — The moral conflict at the heart of debates over capitalism.

- 7.1** We've talked about what capitalism is. We've talked about its history and how well it's actually done, how it's bettered human life in dramatic ways across 250 years, unprecedented in human history in terms of the quality of life, standard of living, extent of life, life expectancy. We've talked about how it works and some of the objections to it. We're left with a bit of a mystery. If capitalism has done as good of a job as I claim it has, if it actually, the arguments against it don't actually stand up to reality, then why oh why are we so opposed to it?
- 7.2** Because we are opposed to it. For over 100 years now, we've been moving away from capitalism, more and more controls, more and more regulations, more and more of a mixed economy. It's still true in our world out there that people feel like socialism is a nice thing, and they feel cold towards capitalism. We talked about the example in Latin America, where in spite of the complete and utter failure of Venezuela under a socialist regime, and the amazing success of Chile under a relatively capitalist regime, everybody wants to be Venezuela. They keep voting in people who are socialist and they avoid people who are capitalist or claim to be pro-free markets.
- 7.3** Here in this country, in the United States, we have nobody today, really, in politics who is an advocate of markets, who is an advocate of free markets, of any semblance of capitalism, of moving us towards capitalism. We have a bunch of mixed economists talking about, at the margin, how we can change things and and so on. And this is global. China, while it benefited enormously from the liberalization of markets that they did in the '80s and '90s and 2000s, is now moving away from that. It seems like it's a universal theme. We don't like capitalism. We reject it, we resent it. And the question is, why? Why?
- 7.4** Because I think the answer, hopefully after our six classes so far, the answer is not in the history. And the answer is not in the economics. So where is the answer? Why is this resentment, this suspicion of capitalism, so prevalent in our culture? And it is, I mean, we can find quotes from politicians, from popes, from philosophers, from thinkers, all skeptical and questioning of the validity, the value of capitalism, all over the place. So what's going on?
- 7.5** Well, let's take a step back for a second and ask the question, which I think we're now equipped to answer. What is capitalism about? What does capitalism facilitate? What is actually going on under capitalism? Why do people enter markets and transact, which is, in a sense, capitalism leaves people free to produce and to consume, to trade. But why do people trade? What is the primary motivation of people to produce? What is the primary motivation of people to trade, to consume? What's going on here?

- 7.6 Why, for example, does Steve Jobs make this? Why did he do it? Why does every producer produce? One answer, I often ask audiences, why does Steve Jobs make this? After a while, people hem and haw, and it takes them a long time. They say, "To make money." But it's almost like an embarrassed statement, like, "We don't want to admit it. But yeah, he wanted to make money." Because there's a real resentment in our culture towards making money. Who was he making money for? Himself. He was trying to make money. I mean, every producer, every one of us, when we go to work, we're trying to make money, we're trying to make a living.
- 7.7 A businessman is trying to make money. We talked about the profit motive before in the previous class, and we talked about the huge benefits of the profit motive. It's what motivates people to a large extent to produce, to produce the things that they produce, and in the way that they produce it. The profit motive is a major engine of capitalism. Steve Jobs makes this so he can make a profit for himself, for his company, for his shareholders. But it's very much about Steve Jobs. Money is one reason. Producers produce.
- 7.8 What else? Because it's not just money. We don't actually go to work just for money. There are other reasons why we might go to work, why we might want to build something like this. Certainly, Steve Jobs, a man of real vision, was not just about the money. And I'm not saying just in a sense that somehow money is beneath, but just there were more reasons for him to produce this. And I've got a great quote from Steve himself telling us partially why he did this. And this refers not to the iPhone, but this refers to iPod, if you remember the first music player, the first digital music player that Apple produced.
- 7.9 This is what Steve Jobs said. He says, about winning the competition for music players. He says, "We won because we personally love music. We made the iPod for ourselves. When you're doing something for yourself or your best friend or family, you're not going to cheese out. If you don't love something, you're not going to go the extra mile, work the extra weekend, challenge the status quo as much." If I ask you why did Steve Jobs make the iPhone, he made it to make a profit, to make money, and because he loved it. He loved it. He enjoyed it. He had fun doing it. It added to his life.
- 7.10 In other words, who was Steve Jobs making the iPod for? He says it right there. For himself, for the people he loves. It turns out everybody benefited from it, and that's how he made so much money, but he made it for himself. The profit he made was for himself. What motivates Steve Jobs? Self-interest. His own self-interest. Producers produce because they want to make their lives better, because it's a challenge, because it's exciting, because it's fun, because they want to be able to use the product that they're going to make. They want to benefit their family, their family. They want to make money, which is a benefit to themselves.
- 7.11 So production is, given the work people do, given the effort they put into it, it's self-interested. People do it because they love it, because they want to do it, because it's in

their self-interest, because it makes them better off in a variety of different ways. Both spiritually, they love it, they enjoy it, it's challenging for them, and materially, they make money.

- 7.12** What about the consumer? I remember when I first went to buy an iPhone, 2008, financial crisis was just starting. The US economy was going to a recession. I thought, I need to do my part to help the economy. I'm going to go buy an iPhone because consumption, we're told by economists all over the place, is what drives the economy. I'll go buy an iPhone. That'll create jobs, that'll fulfill people, that'll make the world a better place. That's why you guys go shopping? Is because you want to make sure people have jobs in the stores and you want to make sure there's economic activity going on? I mean, no, nobody does that. Sometimes when I ask, one person will raise their hand, poor bastard.
- 7.13** But nobody goes shopping for the sake of humanity. Nobody goes shopping for the sake of his fellow man. They go shopping for themselves, even if they're buying gifts. They're buying gifts for people that they care about. It's a self-interested action. Consumers are going into the marketplace because it's in their self-interest to do so, because they're trying to make their life better, because they're trying to improve their life, their world. That's why we participate in the marketplace. We participate in the marketplace because it serves our self-interest, because we're pursuing our life.
- 7.14** And throughout the six classes we've done so far, self-interest keeps coming up when you talk about capitalism. Constantly, producers produce. They're motivated by the profit motive. They're motivated by their love of production. Consumers consume because they're trying to make their life better, so they buy stuff for themselves, to make their lives better. Self-interest permeates everything about capitalism. Capitalism is, and everybody knows it, the system of self-interest. It's a political economic system in which individuals are pursuing their happiness.
- 7.15** We might disagree with how they pursue their happiness, but that's what they're doing, or they're trying to do, or they think they're doing. We might think what they're doing is flawed or wrong, but their motivation is their own betterment for the most part. Everybody knows this. Everybody knows this. And particularly when it comes to businessmen, everybody knows they're trying to make money, they're trying to be profitable. This is a problem because what do our moral teachers, what do our parents, our preachers, our philosophy professors, what do they tell us? What do they teach us about self-interest?
- 7.16** Did your mother say, "Yeah, go out there, be self-interested. This is how you should live your life"? No. No, it's not in any of our moral guides. Nobody teaches us or tells us or encourages us to pursue our self-interest. I mean, my mother taught me, "Think of yourself last. Think of other people first." Ideally, your moral ideal is to be selfless. To God, other people is more important than yourself. Now, no mother believes that. No mother actually wants you to be selfless. They want you to succeed. To succeed, you

have to think of yourself. You have to do things that make yourself better so that you can be successful.

- 7.17** But our morality, our moral code, our ethics, what we're taught is be selfless. That's what goodness means. Even if you don't believe it, you have to say it because that's what consciously you hold as your moral ideal. Our moral ideal is selflessness. The opposite of that is being selfish. And what do we think of selfish? Selfish means what? Nasty, horrible, backstabbing, murderous, cheat. That's what we think of selfish people. If you call a kid in the corner that he's selfish, you mean he's a backstabbing SOB. That's what we think self-interest is. It's what our culture has absorbed, as that's what it means.
- 7.18** Morality in our culture means selflessness. Capitalism is the system of self-interest. God, there's a clash there. You got a massive clash between your moral code and the economic system that seems to work. And that clash cannot be resolved. Cannot be resolved. And what gives, almost always, in a struggle between morality and between economics, even politics, is at the end, morality is going to win out. We all want to be good. That's what morality means. It teaches us what is good and what is bad. We want to be good. We want to avoid evil. When we're taught that good means avoiding self-interest, means being selfless, means self-sacrifice, then that's what we want, at least in theory.
- 7.19** We might not act that way because it's hard and because it's not in our self-interest, and we're motivated around self-interest. But when a political system comes along and says, "No, our political system is all about self-interest," we go, "Not that. Keep me away from that." The fundamental ethical system that really has existed in the West for the last 2,000 years is a system of altruism. It's the belief that others are more important than you, that your purpose, moral purpose in life, is to serve others. It's the idea of self-sacrifice. It's called altruism, or at least that was a term coined by Augustine Comte, a French philosopher in the 19th century, to describe this idea of living for others, of sacrificing for others, that others are your moral focus.
- 7.20** It rejects completely, both in its secular form and in its religious form, it rejects completely the idea of living for yourself, of self-interest and selfishness. Therefore, I'd argue it rejects completely the idea of capitalism. It has to. Let's see this a little bit in practice. See how this plays out. We've talked about how capitalism has improved people's lives. Let's take a businessman and let's take Bill Gates for this example. Bill Gates, before he became the target of every conspiracy theory in the world. Let's take Bill Gates in the days of Microsoft when people had a more benevolent view of him, relatively speaking.
- 7.21** Bill Gates, the businessman, practiced business, and built Microsoft into the biggest company in the world. How do you do that? What, in terms of impact on the world, do you have to have to become a billionaire? Here's a good question. How do you become a billionaire in a free market? Well, we've talked about trade. We've talked about win-

win relationships. We've talked about the fact that, as a businessman, you're creating a value. You're creating a value because you love it, because it's going to make you rich, but it's only going to make you rich if that value is perceived how, by other people? It's only going to make you rich if they value it as well. It's only going to make you rich if they are willing to pay you more for this product than what it costs you to produce, profit.

7.22 Now, to be a billionaire, how many of these values do you have to create in order to accumulate a billion dollars? A lot. In other words, a lot of people have to buy your product for a price that is higher than what it costs you to produce. They have to keep doing it over and over again. If you can get hundreds of millions of people or billions of people to do so, you will become a billionaire. That's the secret of being a billionaire. Produce something that everybody wants so much that they're willing to pay you more than it costs you to produce. If you can do that over and over again, you will become a billionaire. Easy, right? It turns out, not so much, but that's what billionaires do.

7.23 But what is happening on the other side of that transaction? What impact have you had on the world by becoming a billionaire in a market economy? All those billions of people who bought your product, are they better off or worse off? They're all better off. We talked about trade, right? I buy the iPhone because to me it's worth more than \$1,000. I'm better off from buying the iPhone than I would have been if I hadn't bought it. The \$1,000 are less valuable to me than the iPhone. So all those people who bought Microsoft products over and over and over again, every time they bought it, they were slightly better off.

7.24 So you could think of it as, as a billionaire, the way to become a billionaire is to make the world a better place by trading, by providing value that other people are willing to pay for, or willing to pay for enough so you have a profit. You're literally changing billions of people's lives. I mean, you could think of Bill Gates as one of the greatest benefactors of mankind in all of human history. He changed the lives of billions of people for the better. We know it's for the better because they kept coming back and buying more. They kept engaging because every time they bought another Microsoft product, their life just got a little bit better. They were willing to give up the money to get the Microsoft product.

7.25 He literally made the world a better place, and you could argue this of every single businessman, particularly ones who make a profit. If you're not making a profit, it means you're not adding value. People are not willing to pay you more than what it costs you to produce. But if you're making a profit, you're making other people's lives better by definition. How much moral credit did Bill Gates get for making the world a better place, for improving the lives of billions of people? Zero? That would be good. He actually gets negative moral credit. Bill Gates was a bad guy. He made a lot of money.

7.26 Our view of billionaires is they're bad guys, not good guys, or not neutral. We're not neutral about them. We actually view them negatively. Here's a man who's, according

to this ethic that we're taught, helping other people. We're told that's the virtue, right? Altruism. Altru means other. Other-ism. According to this ethic, you'd think, "Wow, I just helped all these people. I must be a good guy." No. Why not? Because you made yourself better in the process. Only way you could have, you could have created all these values, you could have engaged in all this trade, is if you pursued your own self-interest. And if even though you had a positive impact on everybody else, doesn't count morally, we're told, because you benefited in the process.

- 7.27** So who, for example, are the good guys? Who are our moral heroes? Who would come to mind if I said moral hero to a general audience? Who would come to mind? Well, somebody like Mother Teresa. Mother Teresa helped hundreds, thousands, maybe, of people, to avoid death, mostly. She didn't have any problem with poverty, so she had no problem keeping them in poverty. As long as they didn't die, suffering was good. So if they could suffer a little bit, that was actually more virtuous. She had, at the end of the day, big picture, very little impact on the world in terms of the lives of people, in terms of benefiting them.
- 7.28** Nowhere near Bill Gates. Bill Gates changed the lives of billions of people. Mother Teresa, I mean, saved the lives of maybe a few thousand. But not even close in terms of who had the biggest impact, positive impact on the world out there. What makes Mother Teresa a saint and Bill Gates a villain? I mean, in our culture, we know this. Mother Teresa appears to have gotten nothing out of it. Mother Teresa indeed suffered in the process of helping others. Her life got, in some sense, worse in the sense of suffering. Bill Gates' life only got better.
- 7.29** What I think this example brings out is that it's not altruism, the morality that we all live with, the morality of our culture, is not about deep down helping other people. The morality really is about, and this is the whole idea of selflessness, it's really about sacrificing yourself. It's really about self-sacrifice. It's really about not benefiting. It's really about not being self-interested in any way. So the morality that we have in our culture is attuned to Mother Teresa. Nobody wants to be Mother Teresa. Nobody actually wants to live like Mother Teresa. But we hold her as an ideal that we cannot live up to. We just live our lives.
- 7.30** And by the way, what is the emotion that results when you have an ideal and you live a different life, but you still hold it as an ideal? Guilt. We hold the guilt because we're not living up to the ideal. But OK, we still don't want to be Mother Teresa, too hard of a life, too difficult. We'll live our lives anyway. But the essence of the moral code with which we live is self-sacrifice. And sacrifice here does not mean that I'm giving something up and I'll get a higher return one day. What do we call that, by the way? I put something in and I get a higher return one day. I get something more valuable, but not today. I'll get it in the future. What do you call that?
- 7.31** Investment. It's what we do with investment. That's what we do in finance. Put 100 bucks in, get interest, and get our money back with extra in the end. Or buy a stock, we

hope at least, we're putting the money into the stock with the hope that one day we'll get even more than \$100 back. That's called an investment. It's not a sacrifice, not a self-sacrifice. What is self-sacrifice? It means giving up something today for what in return? Nothing or something less valuable. The whole point of self-sacrifice is that you're worse off. You're worse off maybe for a higher cause, maybe a cause that affects you after you're dead, but it's right now, and in the foreseeable future, you are worse off. That's the whole point of a sacrifice, to make you worse off.

- 7.32** If it's better, it's not a sacrifice. It's a trade. It's an investment. Mother Teresa is sacrificing. She is worse off. If you read her diaries and everything else, pretty miserable. She's not happy. She is giving up something more valuable and getting nothing in return, giving up her life, giving up her time, giving up her effort, and getting very little in return. That's the essence of who she was. That's what makes her a saint. If you go to museums, you check out paintings of saints. You won't see very many paintings of saints that are having a good time. They're not, yeah, life's good. Cool. They've usually got arrows sticking in them, and they're in the process of dying.
- 7.33** They're in the process of sacrificing themselves, of giving something, giving their life, giving something really, really important up. Not for something in return, but just up because that's what they're expected to do. That is their duty. That is what makes them good, the giving up. The essence of the moral system that we live under is not at the end of the day helping others. It's sacrificing yourself. That is an ethical system that is so the opposite of capitalism. Capitalism demands that we live for ourselves. Seek the profit motive. Seek something that interests us. Seek engagements and investments and thinking long-term about ourselves, our company, our family, the people we care about. The things that are important to us.
- 7.34** A businessman is not going to be good if he produces a product he doesn't love or doesn't care about or has no interest in, or that somebody else cares about. He has to care about it himself. It's too big of an investment of time, of effort, of energy, and of thinking. A businessman has to rely on his own effort and his own thought in order to produce. In spite of the fact, again, that they changed the world to make the world a better place, they get no moral credit.
- 7.35** I remember when Steve Jobs died, I can't remember when that was now. It's been quite a while now, when Steve Jobs passed away. One of the first articles that came out was, yes, Steve Jobs was an amazing businessman, but you know what? You know what? If you look at the books, no charity, zero charity, not personally. And Apple, in those days, had a zero charity policy. They said, "We'll make money for shareholders. If shareholders want to give money away, they can give money away. We, as Apple, don't do charity." That was Steve Jobs.
- 7.36** And immediately, I mean, within days of his dying, he was already being condemned by people in the press for not being charitable. This guy changed the world. He changed my life. I know he changed lots of lives. He even changed the life of the guy who only

uses Android because there would be no Android today, if not for the iPhone. The iPhone is what made Android possible because Android, at the end of the day, is just copying Apple, whether we like it or not. Just like Windows was copying the Mac operating system.

- 7.37** They are the ones who innovated. They're the ones who pushed the frontier forward. They changed the world. They changed the world in dramatic ways. How much moral credit did they get for it? Nada, zero, nothing. Not from our elites, not from our cultural elites that take morality more seriously. There are lots of examples of this. Profit motive is always suspicious. Charity, nonprofits, Mother Teresa, we like that.
- 7.38** A good example of this is microloans. Microloans are this way, primarily in India, but in other poor countries as well. These are small loans that are given to individuals or very small family businesses. They provide an opportunity for people to buy maybe a sewing machine or buy a new plow or buy a tractor or buy something that will increase their productivity. And then they return the loans. This is an idea. And the idea is banks don't do this because the loans are too small and maybe the risks are high and maybe you have to be within the community and really know who to trust and what their plans are to be able to make these loans. Banks, traditionally, at least in these third-world countries, have not done these loans.
- 7.39** So what you got is a guy named Muhammad Yunus, who ultimately, I think he won a Nobel Prize for peace for this. He actually created a nonprofit, and the nonprofit went out and it would give these small loans out to individuals. It was, for the most part, very, very successful. It gave people that first step up, and they returned the money, most of them, not all of them. He did it as a nonprofit, and then a bunch of nonprofits were created to do the same thing. But then something interesting happened. People started creating for-profits to do the same thing. It turned out, the for-profits were better at it.
- 7.40** They had the right motivations, the right incentives. They went out there and they did the same loans, but now they were making a profit. But they were growing this market. It was huge. They grew it and they had a huge impact on the lives of these people. They were giving these microloans, had a huge impact on this. And yet people didn't like it. Even though they were helping more people and they were helping them more than the non-for-profit, there was something now shady about it because it was for profit. Muhammad Yunus, the father of microlending, he says about this, "Microcredit should not be presented as a money-making opportunity. It's an opportunity to make an impact on poor people's lives. An IPO gives a wrong message," IPO being a for-profit.
- 7.41** But what's the wrong message? I mean, as we've seen in this course, it is capitalism that's brought people out of poverty, not charity. In the 19th century, America didn't become the richest, most economically powerful country in the world because of charity. There was charity, and there's nothing wrong with charity. But charity doesn't drive the world. Charity is not how poor people rise up from poverty. What allows poor

people to rise up from poverty is jobs. It's work, it's production. Those jobs, work, and production are made possible through entrepreneurship, investment, business. Capitalism. The self-interested motivation of all the players within capitalism.

7.42 And yet they get, as we said, no credit for it. On the contrary, they're condemned for it. We want nonprofit. Charity would be better. I mean, if somebody produced an iPhone and it was a charity, maybe we would even prefer it to the Android or iPhone. Because we love the idea of non-for-profit. But profit is what drives all the innovation and success and improvement in human life that we have seen. What happens to the businessmen who do pursue profit and yet live in this world where it's looked down upon and where, in their own minds, at least to some extent, they think it's bad? They hold Mother Teresa as some moral ideal. What happens to them? How do they feel?

7.43 Well, part of this you can see even in Bill Gates himself. Bill Gates has left Microsoft. And what is he doing now? What did he do years ago when he left Microsoft? He started a foundation, and he started giving his money away. And immediately when he did that, what did public opinion about him, what happened to public opinion? It bumped up. He became a better guy. Much better. People had a much more positive view of Bill Gates as a philanthropist than they did as a businessman, even though, as a philanthropist, he's giving away all the money he made as a businessman. There's no philanthropy without business. There's no wealth without business. But they still prefer the philanthropy.

7.44 Why? Where is he going to make more impact on the world? Philanthropy or business? By far, business. Why do they prefer the philanthropy? Not benefiting. He's not getting anything out of it. He's not being self-interested, or at least not seemingly. They still don't love him. We still don't love Bill Gates. Why do we still not love Bill Gates? He seems to have a good time. He's still rich, super rich. He's still one of the richest people in the world. I mean, for Bill Gates to become a saint, what would he have to do? I mean, he'd have to give up all his money, maybe move into a tent, maybe bleed a little bit for us. Then maybe we'd grant him some sainthood. I haven't talked to the Pope, so I don't know, but maybe.

7.45 None of us would want to do that. None of us would want to be that. But we'd say, "Oh, wow, what an amazing guy." We'd build statues, maybe, maybe even name a few roads for him. Because how many streets out there do we have named after businessmen who've changed the world, who've made the world a better place for all of us? Almost zero. I mean, a few here and there because they gave money for it. We have Carnegie libraries. Why? Because Carnegie gave money for libraries. But we don't have public monuments. We don't have street names after them. We don't admire them. We don't hold them up as heroes. We don't because, again, they represent. They represent something that we view as negative.

7.46 Bill Gates becomes a philanthropist. And a lot of that, you get a sense when you hear Bill Gates speak, a lot of that is out of a sense of guilt, this feeling that you have. I've got

this ideal; I'm not living up to it. I've been self-interested all my life. I've made a lot of money. Now I need to give back. Even just in the giving back, there's a false assumption. It assumes you've what? Taken something. But indeed, capitalists, businessmen, do they take something? No, they're actually producing. They're producing new stuff. They're not taking. There's nothing for them to give back. They produced the wealth. It's new. It didn't exist before.

- 7.47** The beneficiaries are millions of people, millions and millions of people. But you get a sense they feel guilty. Bill Gates feels guilty. Now, I don't know if he feels guilty. I mean, this is a good question, but it's more of a psychological question, so I won't answer. I don't know if he actually feels guilty or if he knows that he should feel guilty. That consciously, he knows he should feel guilty, so he's acting as if he feels guilty, in order to relieve the guilt that he might feel or might not feel. It's hard to tell. My guess is he doesn't. My guess is, Bill Gates is enjoying what he's doing. But that intellectually, he thinks, "I should feel guilty. Why am I not feeling guilty? Something's wrong with me. I should act as if I'm feeling guilty."
- 7.48** I once attended an awards dinner, a lifetime achievement awards for businessmen. This was in Charleston, South Carolina. So not a particularly leftist place, anti-business place. And all these people, about five of them receiving lifetime achievement awards. They'd run small businesses that had grown pretty big and they'd done very well and they'd changed lives and so on. They get up to introduce these businessmen. The introduction is a long introduction because it's an event celebrating them. They spent about a minute in the introduction on their business achievement and about nine minutes on their philanthropy and community service.
- 7.49** They had me as the speaker right after that. It was a big mistake. I said, "This is ridiculous. You guys should be ashamed of yourself, these introductions. Where did you contribute the most to your life, to your family, and even if you want, to the community? As a businessman or as a philanthropist?" The answer is obvious. Everybody knows it. "Oh, of course, as a businessman." Created jobs, created products, created wealth, and made your life better, made your family's life better. That's what makes everything else possible.
- 7.50** And yet, they're so embarrassed by their own self-interest, by the fact that it's a self-interested act that they engaged in. It's not involved sacrificing. It didn't involve giving up stuff. I mean, it did in the sense that it involved trade-offs. We should differentiate between sacrifice and trade-offs. They worked very hard. They could have partied at the beach, but they worked very hard because they knew the reward that comes from working very hard. When we stay home with our kids instead of going to the movie or a restaurant because they're not feeling well, that's not a sacrifice. That's because our kids are more important than a movie. And we care more about our kids than a movie. So we're pursuing our higher value. We're not giving up something of importance. Going to the movie is not that important compared to my kids.

- 7.51 And the same with these businessmen. Yes, they worked hard. They, in our conventional terminology, "sacrificed." But they didn't really sacrifice. They pursued their values. They pursued their life. They made their life and the people they love, their lives, better. But that is negated by the fact that it was all motivated by their self-interest. They themselves felt guilty so that when they wrote their bios, they emphasized their charity and the philanthropy. Again, nothing against charity and philanthropy, but it's not what changes the world. It's not what makes you a good or bad person. It's a sideshow. It's a sideshow in reality and it's a sideshow psychologically. Unless you make it your profession, which a few people have, and that's fine. Nothing wrong with that.
- 7.52 Now, this, of course, has profound political economic implications. If we are conditioned to think that our moral responsibility is in a non-business, non-self-interested way to help the poor, whoever they may be, and the reality is, in a free market, there is some philanthropy, but the philanthropy is probably conditional on—if we look back at the 19th century, there was philanthropy. A lot of the philanthropy to help the poor was conditioned on the poor getting a job or the poor making an effort or was conditioned on something.
- 7.53 Well, the altruists, the people who are advocating for this kind of self-sacrificial morality, come to you and say, "Look, guys, you're not helping enough. Look, there's still poor people out there," it's your moral responsibility to help them. You're too busy running your businesses. You're too busy living your lives. You're too busy being self-interested. I'm going to appeal to your guilt. They don't say this, of course, but they are appealing to the guilt. What I want you to do is, I want you to, in a sense, empower me to help the poor in your name. We'll call it the welfare state, and we'll call your contributions to this effort, taxes. And please support these taxes because it's a way for you to relieve some of the guilt that you must feel because you're so self-interested and so rich and so successful, and there are poor people in the world.
- 7.54 And that's how the welfare state gets started and how it's perpetuated. Wealthy people always vote for raising their own taxes because wealthy people feel guilty about the fact that they are poor, and politicians use that very effectively. I remember in California, they wanted to raise the taxes to the top marginal rate for the state tax to 13.3%, in California. And what did they tell people? They said, "If we don't raise this, we're going to have to close a bunch of schools, low-income schools. They have crowded classrooms. Kids are going to suffer. Poor people are going to suffer. It's your responsibility. You have to pay a higher tax in order to prevent this from happening. But we're not telling you what to do. You vote on it." If you look at the counties, all the rich counties voted for it.
- 7.55 Guilt, powerful, very powerful emotion. And politicians know how to use it very, very effectively in order to get you to do that. And the welfare state is built on that assumption. So we take capital away from productive endeavors. We take capital away

from actually creating the jobs. We take capital away from being invested into the future, and we distribute it. Instead of giving people jobs through the market process, we hand them a check and prevent them, in a sense, psychologically, from getting a job because now they're dependent. Now it's easier for them to get a check, to get handouts, than it is to get a job. You see, whole communities where generation after generation is living on welfare and never advances, never gets better, because they never go and get a job.

- 7.56** Indeed, if you think about how taxes work, the marginal tax rate for getting off of welfare and actually joining the workforce is massive. It's something like 80%. Of the additional money you're making beyond welfare, you're paying almost all of it in taxes. So you might as well stay on welfare. That's the reality in America today. But welfare, nobody questions welfare. Nobody even challenges welfare because welfare is obvious. We must help the poor because it's our moral commitment, moral duty, to help the poor. I mean, somebody might ask why it's your moral duty. We'll get to that in the next class. There's usually no real good answer. But it is your moral duty. We all know that. It's written in somewhere.
- 7.57** So the welfare state is a product of this ethic. The mixed economy is a product of this ethic. Pure capitalism is driven by self-interest. We don't trust self-interest. We need to start limiting it. Welfare is one. Redistribution is one. It's one of the hallmarks of the New Deal, certainly of the great society. What else do we know about business? How does business regulation and business control come in here? Well, what do we know, what have we been taught about self-interest? It leads to lying, cheating, stealing. Self-interest is lying, stealing, cheating, backstabbing, all these horrible things.
- 7.58** What are businessmen? They're self-interested. We know this. They're profit-seeking, profit motive. What is a profit motive then, a motive to do? Lie, steal, cheat. Because that's what self-interest means. So all businessmen are basically lying, cheating SOB's waiting to be uncovered. To a large extent, our culture believes this. I remember, once in a while, you do get a lying, cheating, stealing businessman, like Enron or WorldCom or one of these things. Usually, it's not quite as clear-cut as that.
- 7.59** But I remember being on Bill O'Reilly's show. Remember Bill O'Reilly on Fox News a long, long time ago? Bill O'Reilly wanted to fire every CEO in America. He basically said, "They're all crooks. We just happened to catch these guys. But every CEO is a crook because every CEO is motivated by self-interest, and self-interest leads to lying, cheating, and stealing, and therefore we should fire them all." I don't know who he wanted to replace them with, and I was on the show to try to say, "Wait a minute. You can't just— some of them are crooks. Very few, it turns out. Most of them are phenomenal. They change the world. You have a job," I said to him on the show, "because of a CEO, because somebody's running this business." He got very angry. He didn't like that.

- 7.60 Every time there is somebody who commits fraud, a Bernie Madoff or somebody like that, we immediately say, "See, that's capitalism. That's the essence of it because that's self-interest. That's what self-interest leads to." So what we need to do is protect all of us from those evil capitalists. And how do we do that? Well, this is how you build a regulatory state. We create regulatory agencies that protect us from those food manufacturers who would poison us if they had the opportunity. From the businessmen who are going to steal from us, who are going to manipulate us, who are going to take our stuff if they have the opportunity.
- 7.61 The laws against fraud and against cheating and stealing, they're not good enough. We need to literally put a regulator on the shoulder of every CEO and make sure that his numbers are right and make sure that he's not lying, cheating, stealing. Because we know that that's what he's incentivized to do, because that's what self-interest incentivizes people to do. So we need to regulate them. We need to control them. We need to make sure they behave themselves. Every regulation, every single regulation, is a consequence of this in one way or the other. Somebody out there is irrational or irresponsible because they're being self-interested and we need to control it. We need to rein it in. That's the mixed economy. The mixed economy is all about reining self-interest in.
- 7.62 Putting it under the control of whom? Who are you going to put it under the control of? People are not self-interested. Like, bureaucrats who don't have a profit motive. We love bureaucrats. One of the examples I use is, we have a Federal Reserve. We have a central bank. Before we had a central bank, we had a bunch of bankers, private bankers, people like J.P. Morgan, who made decisions about loans, and interest rates were determined in the marketplace, supply and demand for loanable funds, determined interest rates. There was no central bank. Money was gold and banks issued currency based on the amount of gold there was.
- 7.63 When there was a financial crisis, for example, there was in 1907, J.P. Morgan got a bunch of bankers into a room, he locked the door and he said, "We're not leaving until we fix this." They sat there and they figured out, and they shut down certain companies and they took over other companies, and they fixed it and the economy recovered. We didn't like that. J.P. Morgan had all this power. He was, for his own self-interested reasons, saving the economy. He literally saved the US economy at least twice. Instead, we're going to create this massive bank. Call it the Federal Reserve. It's going to have 10 times more power than J.P. Morgan ever had. Maybe not 10 times, maybe 100 times more power than J.P. Morgan had.
- 7.64 But we're going to trust it. Why do we trust it? Why do we trust Jeremy Powell or Ben Bernanke or Alan Greenspan or any of these guys? What is it about them that we trust them so much? We didn't trust J.P. Morgan because J.P. Morgan was in it for himself. These guys, what about them? They're not in it for themselves. They're public servants. They're doing it for the common good, for the public interest. They have no stake in the

game, no skin in the game. Does Jeremy Powell get a bonus if the Federal Reserve makes more money? No. No bonus. He gets a salary. He's a public servant. That we trust. Feel good. We got Jeremy Powell taking care of all of our money, interest rates, the whole thing, because he's not self-interested and makes us feel good.

7.65 Every time there's a crisis, every time there's fraud, every time there's a problem, every time something happens that we don't like, we don't just blame the person who did the bad thing. We blame the system because the system is inherently bad, because the system is inherently immoral, because the system is inherently self-interested, and we reject it as a consequence. This, in my view, is the fundamental reason why we hate capitalism, why capitalism is hated out there, why we don't have capitalism, not because it doesn't work, not because we don't understand the mechanisms by which it works, but because it is not attuned to altruistic, self-sacrificial, anti-self-interest moral code. It is misaligned.

7.66 And again, in a struggle between economics, politics, economic systems, and morality, morality is always going to win out. Morality is more important, more fundamental. So we blame every problem, every crisis. And what do we do? More regulations. And then when those regulations create another crisis, which always happens, we have more regulations and more regulations. And we load up this regulation and distort the market and make it far from anything similar to a free market. And as a consequence, there are massive distortions and perversions in it. And as a consequence, there's a lot of problems which lead to crises.

7.67 But we never blame the regulations for the crisis. No, because those were all done by public servants, by politicians, by people who care about the masses, not by these self-interested businessmen. We always blame the businessmen. We always blame the markets. We always blame capitalism. So I think the deepest reason why we despise capitalism is moral. It's anti-morality.

7.68 There's one other philosophical reason here that I think is really, really important. Remember in the first class, we talked about the Enlightenment. One of the achievements of the Enlightenment is the recognition that reason is the way in which we know the world, and that reason is something that every one of us has the capacity for. We can all use our senses to observe the world, integrate the information that comes in from our senses, come up with new knowledge. Each one of us can understand and discover truth. Indeed, there is no truth outside of that. Truth is what you discover.

7.69 It all boils down to, at the end, your ability to observe reality as it is, your senses. That's really the foundation of the Enlightenment and the post-Enlightenment world, and ultimately the foundation of the whole idea that each one of us can take care of ourselves. We can take care of ourselves. We can live our lives in a way that is helpful to ourselves. We're not dependent on others. We're independent. We have a mind. But that has not been the dominant view of how we know truth in human history. It's one

view, call it an Aristotelian view, because named after , who I think very much held this view. We have reason; we can discover truth through reason.

7.70 But had a competitor, philosophically, and that was Plato. And Plato believed that we, most of us, 99% of us, don't actually observe truth. We have no connection to the real reality. Real reality is in a different dimension. It's somewhere else. We, indeed—he has this allegory of a cave, right? We're in a cave. And what we see are shadows on the wall. We don't see the real reality which is outside the cave, where the sun is shining. What we see is what the sun is reflecting and creating shadows on the wall. And all we can see are the shadows on the wall. So we have no connection to the truth. We have a vague view of what reality really is.

7.71 To really understand reality, to really know reality, is to step out of the cave. But only a few can ever step out of the cave. The philosophers, the well-trained philosophers, who can actually get up, walk out, see the light, see reality, and then we in the cave are now dependent on them to tell us what the truth is. Only they know the truth, and they must tell us what the truth actually is. And in the real world, not in the cave, he argues the same exact thing. 99.9% of us don't have access to truth, don't have access to what's right and what's wrong, to morality, to any knowledge. We are completely dependent on the few, on the experts, on the few who can somehow commune with this other dimension. Calls it the world of forms, where truth lies. Truth is out there somewhere, not available to our senses, not available directly through our senses to our reason.

7.72 But we must somehow, in some way, mystical process, we must be able to commune with the world of forms, and only the philosophers can do this. Only a very select few. And therefore, the philosophers must be our guides in the world. That's why in the Republic, in Plato's Republic, he talks about philosopher-kings. The philosophers must guide us. We can't make decisions for ourselves. Who to marry? Well, you don't know because you don't know what true love is. That's in the world of forms, or what's the ideal man for you? The philosopher-king will choose your spouse. What career you should have? How do you know what career you should have? You don't have access to that. The philosopher-king will tell you what's good for society and therefore what you should do.

7.73 And think about this in every aspect of human knowledge. And this idea is very much consistent with the idea that religion holds. You don't have access to God's plan. You're dependent on somebody who communes with God, who has knowledge. Truth is revealed to the select few. It's revealed, it's not discovered. You don't use your senses to discover truth, to discover the world out there. It's somehow revealed in a mechanism that we don't really completely understand, but it is revealed. Then they then have to tell us what is true, what is not, what is right, what is wrong, what is good, what is evil. What you should do with your life, what you shouldn't do with your life. In that sense, you are not an independent agent.

- 7.74 This is an epistemological objection to capitalism, because what is it saying? It's saying that most people don't know what to do. Most people are incapable of living their lives. Most people are incapable of taking care of themselves. We need a state, or we need experts, or we need philosophers, or we need somebody to take care of people, to guide them, to help them, to make sure they're OK. That's why, when we think about the poor, they can't help themselves. They are what they are, and therefore we must help them because they can't rise up. They don't have the capacity to do so. The fact that so many do, we'll ignore.
- 7.75 The reality is that we have to depend on these experts, central planners. The market is messy. All these people are doing all this stuff. Where's the plan? Where's the truth revealed that will dictate what is really good for everybody in terms of how to structure the world? Capitalism does not provide that. It lets people make decisions for themselves. Is that good? If people cannot discover truth, is that good? If only a few know what the truth is, well, the few might be Marx, they might be any dictator, or they might be the bureaucrats right now setting government policy about what industry should succeed and which industry should not? How much people should get welfare, in what format, in what way?
- 7.76 They are the central planners. They know more than all of us. They have the revealed truth available to them. We don't know what's good for us. And if we can't know what's good for us, we can't be trusted to participate in the marketplace. We are malevolent with regard to individuals and individuals' capacity to live their lives, take care of themselves, that is inherent in our culture that requires state intervention to protect us. Again, if not for the FDA, McDonalds would be poisoning us; you'd all be dying from food poisoning. Could we imagine a way where that doesn't happen? No. Because there's this clear malevolence about human beings and about their behavior and about how they relate to one another.
- 7.77 The arguments against capitalism at the end of the day are going to be philosophical arguments. They're not economic, they're not practical, although they're often couched as economic, practical, historical. But at the end of the day, they're almost always philosophical. A rejection of the idea of the individual as capable of understanding the world around him and taking care of himself in spite of all the evidence to the contrary and how able we are. And an argument about morality, an argument about, yeah, maybe you can take care of yourself, but should you? Shouldn't you be taking care of your neighbor? Shouldn't you be taking care of other people? And by the way, if you are taking care of yourself, we don't trust you. We're suspicious and we should control you.
- 7.78 And that's how you get a mixed economy. And that's how the mixed economy becomes more and more and more interventionist. Because every time there's a problem, every time something bad happens, capitalism and the motivation behind capitalism gets blamed for it. What ideas do we need in order to philosophically underpin capitalism?

Are there philosophical ideas that can justify what happens in a capitalist market? Are there moral ideas that can justify this? And are those good? Because not just for capitalism, but in terms of good versus not good. That's what we're going to be talking about in the next class. Thank you.

Lecture 8: The Freedom to Prosper

At a glance — The freedom to prosper — capitalism and morality.

- 8.1** As we discussed last class, capitalism is incompatible with the morality that basically everybody in the world believes in. It's incompatible with the morality of self-sacrifice, of other-ism. It's incompatible with the idea of selflessness. Capitalism is a system, whether people like it or not, of people pursuing their own self-interest. This is what causes people to resist capitalism. Irving Kristol, a very well-known neoconservative thinker, writer, in the '70s and '80s. He's passed away now. You might be familiar with his son, Bill Kristol. But he wrote a book called Two Cheers for Capitalism. Two, not three. Three, usually, right? Three is good. Two. Why two?
- 8.2** He said, "Look, there's no question that it produces the goods. There's no question it has this amazing history. It's no question it works. It deserves two cheers for that. But it's just not moral. It's just not ethical. Can't give it a third cheer." A good friend of his, in a famous speech in Asia, once said, "My good friend, Irving Kristol, gave capitalism two cheers for capitalism. He exaggerated a little bit, only deserves one." Now, these are conservatives. These are people on the perceived right.
- 8.3** He also said Kristol, and I'm quoting here, "The culture is not, as it sometimes pretends, offended by some bad things that some businessman do. It is offended by what businessmen are or seem to be, exemplars of naked profit motive." That's what offends people, the fact that businessmen are exemplars of self-interest, exemplars of pursuing their own judgment, their own mind, their own thought, in pursuit of their own values. That's what offends people about capitalism. That's what they don't like. As we've said, capitalism is obviously that. It's the system of self-interest.
- 8.4** As we said last time, self-interest is associated very much with lying, cheating, stealing. When Bernie Madoff does what he does—you all remember Bernie Madoff? Pyramid scheme, largest maybe fraud in American history. Just before the financial crisis, if I remember right, and he basically defrauded people of something like \$50 billion. People said, self-interest. Bernie Madoff was self-interested. He was so focused on his own wants, own desires, that he just took, stole, \$53 billion from, as it turned out, his best friends, people associated with him, foundations, all kinds of people, almost all of them within his own community. He's self-interested. That fit very neatly in that concept, in that folder we have in our minds, of what self-interest means. It means Bernie Madoff.
- 8.5** But in that same folder, in that same concept, we also know that the Steve Jobses of the world are self-interested. So Steve Jobs' example says, similar quote to last time, but "I'm convinced that the only thing that kept me going was that I loved what I did. You've got to find what you love, and that is as true of your work as it of your lovers. Your work is going to fill a large part of your life, and the only way to be truly satisfied is

to do what you believe is great work. The only way to do great work is to love what you do. If you haven't found it yet, keep looking. Don't settle." So, be self-interested. Find the things that you love.

- 8.6** Bernie Madoff is self-interested. Steve Jobs is self-interested. And yet, we all have a real sense that there's some real difference between a Bernie Madoff and a Steve Jobs. They're not the same thing. And yet, that's the culture's category for both. That's what the people who hold morality to be other-ism, altruism, morality of self-sacrifice, that's what they've taught us self-interest means. In a sense, what they've said is, you really have two options in life. You can be good, which means selfless, or you can be rotten, which means selfish, which means lying, stealing, cheating.
- 8.7** Yes, Steve Jobs ultimately belongs there, at least an aspect of their lives. But we need him. We need to tolerate it because that's how we get stuff done. That's how we get production happening. That's how we get wealth. We don't like capitalism, but we need to tolerate it because otherwise, we'd be poor. They get that. That's why we give it two cheers or maybe one cheer. We give it some cheers, just not three, because it's not moral, but we need it. Practically, it's the only way we can produce any kind of wealth.
- 8.8** But what if you took the Bernie Madoff and the Steve Jobs and you separated them out? What if you said Bernie Madoff is bad? Maybe if you really examine Bernie Madoff, so let's really think about Bernie Madoff. Is Bernie Madoff selfish or self-interested? Let's think about what self-interest might mean. Here, the thinker who really challenges us around this, the thinker who really pushes us on this issue, and I think gives us the answers, is Ayn Rand. Just what does self-interest mean? It means being interested in self. What does that mean? It means pursuing values that will lead to a better life. It means pursuing happiness over the long run, over the course of your life.
- 8.9** Not instantaneous, not just pleasure for the sake of pleasure, but over the long run, self-interest. I have interest in myself, in me, in my life, in my happiness, in my success at living. If that's the case, is acting like Bernie Madoff, is that consistent with that? With living a good life, with being happy, with being successful in any way? I mean, Bernie Madoff does get arrested. He spends, he died, I think a couple of years ago in jail. That's not good. That's not the pursuit of happiness. That's not something good.
- 8.10** And by the way, anybody with a mind, anybody who would have given a little bit of thought to what Bernie Madoff did—let's say Bernie Madoff had given a little bit of thought to what Bernie Madoff did—would have realized he would have got caught. Every pyramid scheme has to end in disaster. This is not an unlikely scenario that he would go to jail. It was very likely. If he had given a thought as to whether this was truly in his self-interest, he would have never done it because it's not in his self-interest. But not only going to jail. Think about Bernie Madoff before he went to jail, lying to his

friends and family. His two sons worked in the business with him, but they couldn't know what he was doing. Lying to them constantly, every single day.

- 8.11** What do you think that does to the soul of a human being when he's negating reality, avoiding reality? That's the opposite of reason, the opposite of rationality, the opposite of accepting facts. He's negating them. He's ignoring them. He's pretending they don't exist. Can't look at anybody in the eye because they might discover that he's lying, might discover that he's deceiving, not being able to sleep at night because knowing that he might get caught, knowing that he's completely abandoning his family, that he's destroying them while he's doing this, knowing. And every crook knows.
- 8.12** Bernie Madoff in jail said he was happier in jail than he was before he was caught. And he was. In jail, at least, he had a certain level of tranquility. He at least was honest with himself and the people around him. Dishonesty is unbelievably self-destructive. Who discovered Bernie Madoff's pyramid scheme? Not the government, not the SEC, in spite of the fact, by the way, that the SEC was warned by other financiers that something was very fishy about Bernie Madoff, they somehow couldn't figure it out. No, he was discovered by his son, who let the police know that his father was a crook, a son that, I think a year later, committed suicide. Bernie Madoff destroyed his life, destroyed his family.
- 8.13** Again, all of it was predictable when he did it, if he just done the one thing he didn't do. Think. Is Bernie Madoff self-interested? Was Bernie Madoff pursuing happiness in any kind of reasonable way? No. You could say Bernie Madoff was self-destructive. Bernie Madoff was following his emotions. Bernie Madoff was doing what he felt like doing. But is that in your self-interest? And that, of course, brings us to, I think, the key question. What is self-interest, ultimately? And what does it require? And in what way is it moral?
- 8.14** Because if we're going to argue that morality, that, sorry, capitalism is moral, then self-interest must be moral because capitalism is self-interest. Capitalism is the system of self-interest. This is Ayn Rand's great contribution, I think, to humanity, if you will, but certainly to the study of capitalism and morality and philosophy. Is that she asks the key questions and gives the answers around this issue of, should we be self-interested? What is self-interest? If we are self-interested, what does that actually mean? What does that entail? What actions does that require?
- 8.15** She starts by asking a simple question. She asks, "We're expected to sacrifice for others. We're expected to live for other people. We're expected to not think of ourselves. And the real question there is, why?" Why is somebody else's happiness more important than mine? If they're happy, isn't that them being self-interested? Shouldn't they be sacrificing for the next guy? If that's the case, then isn't that guy sacrificing the next guy? How does this all work? Who is the ultimate beneficiary of all these sacrifices? Why is that just? Why is that right? Isn't your life the starting point, the essential thing?

- 8.16** Given that life is not automatic, given that life is not obvious, given that life requires action to sustain it, given that life requires choices, given that life is very vulnerable to nature, to our environment, to not existing, shouldn't our focus be on preserving our lives and achieving something and flourishing? I mean, ultimately, all human beings, all living beings, face this alternative existence and nonexistence. Isn't what we should be doing is existing? Isn't that what gives context to everything else? And existing as the human being, as the animal, who we human beings are. And what kind of animal are we? We're a rational animal.
- 8.17** We know this. We talked about this, right? We're weak, we're slow. We can't survive out there in nature. Nature is trying to kill us constantly. Environmentalists are delusional in thinking that nature is designed in order to keep us safe and free and happy and disease-free and whatever. Quite the contrary. Nature is constantly trying, not that it has an incentive, not that it has a motive, just is, trying to kill us. And we must constantly stay ahead. And we constantly stay ahead by doing what? We don't have any instinct. We're a different type of animal than all the other animals we actually have. We don't have the instincts.
- 8.18** And in place of those instincts, we have free will and we have reason. We have the capacity to think. We have the capacity to solve problems. We have the capacity to reshape our environment, reshape the world to fit what we need. If you want to survive, and as a rational animal, if we want to thrive, flourish, to succeed and ultimately be happy, then we should follow our nature. Our nature is to think. Our nature is to be rational. For Ayn Rand, in her philosophy, to be self-interested is to be rational. To be self-interested is to think, is to use your mind to solve problems, to solve fundamentally the problem of human existence, but to solve the problems at every level of your own survival and your own ability to flourish and your own ability to succeed and your own ability to live the best life that you can live.
- 8.19** And for that, we need knowledge, we need to understand the world out there. We need to be able to integrate the knowledge that our senses provide us and discover new things. We need to be able to judge what's good and bad, what's right and wrong, and what's the standard of right or wrong? Or fundamentally, is it good for my life or is it bad for my life? Is it good for my life or is it bad for my life? Is acting like Bernie Madoff good for my life or bad for my life? Well, if we just look at Bernie, follow his life, follow what happened, look at how happy or unhappy he actually was, you have to come to the conclusion that doing a Bernie, not good for my life.
- 8.20** Maybe I can generalize. Being dishonest, not good for my life. And why, if we're a rational animal, would dishonesty not be good for our lives? Because our life depends on reason. Our life depends on rationality, which means our life depends on facts, evidence, reality, truth. If we feed ourselves lies, if we feed ourselves deceptions, if we feed ourselves untruths, we will self-destruct. Bad stuff will happen. There's a term in

computer science that's called garbage in, garbage out. Putting garbage into your mind, you're going to get garbage out. Not good.

8.21 We need knowledge. We need to be able to judge. We need to be able to evaluate. Is this particular, I don't know, food, is it nutritious? Is it good for me? Is this particular food poison? I should avoid the poison, go with the good food. But that's true of every aspect of my life. Is this activity going to nourish me, going to make me better, going to help me live a better life? Or is this activity maybe giving me pleasure in the moment, but ultimately be destructive to my life? Avoid the destructive, embrace that which you can project into the future, is good for you.

8.22 That's what a rationally driven life would entail. It's about long-range planning. It's about thinking about your life into the future, not just the moment, because we don't just live in the moment. Even in the moment, we are somewhat of an accumulation of what we project into the future. And what we've created from the past. We create, in many respects, we create ourselves. We create our souls. We create our character. We create who we are. We can project, knowing who we are, the effect of things over the long run.

8.23 It involves understanding cause and effect. You do a pyramid scheme, you're going to get arrested. But also in the positive, right? You build an iPhone because it's a beautiful thing, and because you understand all the benefits that it has, good things are going to happen. You're going to make a lot of money. A lot of people's lives are going to be changed. A lot of people are going to respect this, admire this, embrace this, and that will make it possible for you to do even bigger things. Think about knowledge, judgment, thinking long-term, grasping cause and effect. Isn't this what businessmen do all the time?

8.24 This is exactly the kind of process that businessmen engage in, that business engages in constantly. Accumulating knowledge. Today, we think in terms of a knowledge economy. The internet is the knowledge economy. But wasn't the Industrial Revolution a knowledge economy? They needed the knowledge of how to—they discovered knowledge of how to build a steam engine and turn a steam engine into a locomotive and then a locomotive into a machine that drives looms and everything else. So all of that knowledge. There is no free economy that's not based on knowledge.

8.25 And judgment, this is good. This will progress. This is bad. This will retard our profits, all driven by self-interest in profits, in making money, which is, again, providing values. So, business does this constantly, thinking long-range. When you build a railroad into the wilderness like J.J. Hill did in the north, and you're going through the Dakotas. Have you ever been to the Dakotas? There's nothing there, even today. And yet he could project the towns that ultimately would be built. He could project the agricultural product that he could ship. He could project into the long run, making it all the way to Seattle and being able to take that agricultural product, put it on ships that sail to Asia. Wow. That's

vision. That's exactly what capitalism encourages people to have, that long-term thinking.

- 8.26** Rationality, thinking, requires a constant effort. It requires constant focus. It requires constant engagement with reality. It's the kind of work that Steve Jobs talks about. It's the work that he loved so much. It's the work that I think all successful businessmen love. Engaging with reality, engaging with a product, solving a scientific engineering problem, building something new, using marketing to convince people that it is something new that is valuable, not obvious. That whatever it is that you're doing new is actually valuable.
- 8.27** And notice, this relates to the marketing. Notice that most of the time, we don't appreciate the product until we actually have it. A lot of times people say, businessmen fulfill demand. People have a demand for stuff. They want stuff, and business will fulfill that demand. There's a sense in which that's true, particularly when something already exists and then people want more of it, so business will fulfill that demand in that sense. There's a sense in which it's the opposite. That it's the businessman projecting long-term, seeing the potential of a product, creates that product, and then convinces all of us to demand it.
- 8.28** I didn't know I wanted an iPhone until I saw it. I had no concept of an iPhone until Steve Jobs created it, showed it to me, and then I said, "Oh, I want that." That's demand being created. When cell phones first came out, I mean, in the old days, they were these big bricks, but then small cell phones, and they were pretty cheap and relatively easy to use. I was like, I don't need a cell phone. This is the dumbest thing ever. I've got a phone at home. I've got a phone at work. Why do I need a phone for the in-between? It takes me 20 minutes, half an hour, to drive from one place to the other. I don't need a phone. Resisted cell phones.
- 8.29** Then my wife was doing this long commute to San Francisco and back. We were living in the Bay Area, and it was a long commute. She was coming back sometimes late at night. We said, "You know what? Just for safety reasons, we'll get one." One cell phone, and she'll use it. As soon as she got the one cell phone, we were all in. "We need to get more cell phones." I got a cell phone, she had a cell phone. And soon enough, how could you live without a cell phone? It's impossible. I mean, today I look, and you see old movies where people can't communicate with one another at every given point in time, any random place. You go, "How did they ever live? How did we ever live without these things?" It's impossible.
- 8.30** A business creates a demand. They're constantly thinking long-term, constantly working to make things better, constantly figuring out how to make it more usable for all of us so that we can benefit from the products that they're making. But they're not doing it for us. They're doing it for themselves. They're doing it because it's a challenge, because it's fun, because they're going to make a lot of money doing this.

- 8.31** Capitalism is the embodiment of rationality. Capitalism is a system that rewards long-term thinking. It rewards rationality. It rewards figuring out what works and what doesn't, what's going to add to human life, what's going to make human life better, because that's what you can sell, and that's how you make money. That's how you pursue profit. If reason is the way in which we as human beings survive, capitalism is recognition that reason is that. And reason, in order to thrive, in order for us to be able to thrive using our minds, the one thing we need to eradicate from human life is— we talked about this in a previous class—it's force, it's coercion, it's authority that limits the scope of our thinking.
- 8.32** You can do iPhone, you can do life extension drugs, you can do whatever—the government, somebody decides. That's the opposite of what reason demands. Reason demands the freedom to think widely about all possibilities. And what is capitalism? The system that eradicates force from human interaction. It's a system that leaves us free to make discoveries, to build stuff, to go out there and use our minds in any way we see fit. So, capitalism is a system of reason. It's a system of individuals using their mind to think long-term, to produce and to consume, to trade. Primarily to produce, because you have to produce in order to consume. You have to work in order to spend money. But it's all about trading, voluntary trading. It's all about the negation of force.
- 8.33** So one of the primary values or principles, if you will, principles of being self-interested, is to think. It's how, whatever good we find in the world, we get that good. Emotions are great, but emotions are automatic. They might be wrong in the sense that they're based on wrong evaluations, based on wrong values, and they very frequently can get us into trouble if they're not well-reasoned. Our guide to living a good life, our guide to being successful at living, is rational thought, long-term planning, all the things we've talked about. That's what being self-interested means.
- 8.34** But it's not just about thinking. It's not just about thinking. If thinking, being rational, is one principle, then the second is acting. The fundamental action that we need to engage in, in order to be self-interested, in order to live a good life, in order to live the best life that we can be, is we have to produce. We have to create the things necessary for our own survival, for our own life. We need to use our mind to create wealth. Wealth means the material things out there in the world that are required for human survival. It doesn't come automatically. Manna does not drop from heaven. Manna needs to be grown.
- 8.35** Food needs to be whatever it is. I once asked a classroom in a school, "Where does food come from?" And they gave a true answer. "The supermarket." Because to them, that's exactly the way food comes from, right? Supermarket. And it does, for them. But how does it get to the supermarket? That's the whole supply chain. It's the whole everything we talked about when we talked about how capitalism works, the whole chain, the whole knowledge chain that brings the food, exactly the right amount of food, and doesn't rot. They don't throw out a lot of food at supermarkets and you don't

have empty shelves. Just the right amount, just when you walk in and you want, desire the bread, there it is, right there for you.

- 8.36** That is wealth creation. So producing, being productive, is self-interested. It's what keeps us alive. But it more than keeps us alive, it's what allows us to thrive. We make money, we can buy things that help us. We can invest in our spiritual well-being, we can read great books, we can listen to fantastic music. I mean, one of the things that wealth does is it buys us time. When you're very poor, you don't have time to read, go to concerts. You're working constantly, all day long. But when you have some wealth, you can take a vacation, you can take time off.
- 8.37** By the way, vacation is a concept that capitalism created. There's no vacation in the 15th century unless you're an aristocrat or something. There are no hotels. There are inns on the way somewhere for travelers. But there's no such thing as, "We'll go to the beach." I mean, people would look at you, like, weird. What the hell is that? You have to work. You have to survive. You don't have time to go to the beach, take two weeks off, or in some places, four weeks off and go and have a vacation. That requires wealth.
- 8.38** Restaurants? There are no restaurants in a pre-capitalist world. First restaurant, a real restaurant where people came just to eat, not again, not an inn on the way somewhere, was in Paris in the 18th century. Before the French Revolution. Because before then, who has time to go to the restaurant? Who has money to go to the restaurant? Pay somebody else to cook you food? That's what you do for yourself. That's how you survive. So wealth makes all that possible. It makes the ability not to do things we don't like—let's say you don't like cooking, you don't have to do cooking. Let somebody else cook for you. Cool.
- 8.39** Cool vacations, listen to music. I mean, it's interesting that the first musician to benefit from capitalism was Beethoven. Before Beethoven, if you wanted to be successful in music, you basically had to—technically, I think the term is suck up—to aristocrats or the Church or somebody who had resources, and then they put little concerts on for you, or salons, or you would play for them, and you had to be very nice to them, which drove Mozart crazy. But you were completely dependent on the aristocracy for your survival. Beethoven, who comes along in the beginning of the 19th century, i.e., the beginning of capitalism, suddenly now, there's the beginnings of a middle class. There are people out there who can actually afford to buy a ticket to come and listen to you play music. Didn't exist before.
- 8.40** Beethoven puts on concerts where he is literally selling people tickets to come and listen to him. Never happened before. He makes a living off of these concerts, and now he can actually have his music published. People buy it and buy pianos in their homes and start playing. They buy the music and he gets a royalty every time somebody buys one of his pieces of music. So suddenly a whole industry comes around of music, which today gives us the music we have today, which is ubiquitous. We don't even think about it. It's all driven by profit motive. It's driven by, again, satisfying an audience.

Primarily, though, satisfying yourself, writing good musicians, at least, writing what you believe in, writing what you love.

- 8.41** Capitalism creates all that. It creates the spiritual values, not just the material values. As we mentioned today on your iPhone, you can get every piece of music has ever written, movies, books you can read. It's a material facilitator of pretty much the entire spectrum of spiritual values that exists out there. You can now experience. That made possible by capitalism, by the fact that some self-interested people took their productivity, their productiveness, seriously. So productive individuals improve all of our lives. And capitalism is composed of these productive individuals, and they're not doing it for us. They're doing it for themselves. This is self-interest.
- 8.42** And this entails creative work and every type of productive activity. The wealth that they accumulate is a sign of how much wealth, how much value they've created out there in the world. It is a measure of that, but it's also a huge benefit to their own life, as we talked about vacations and so on, but think about even a Jeff Bezos or an Elon Musk. They make a lot of money. What does that allow them to do? Why do they want more? Partially, they want more because it's a measure of how successful they still are. But partially, they want more because of what? Because they want to go to Mars. Really, they want to go to Mars. Jeff Bezos and Elon Musk in particular want to go to Mars.
- 8.43** Going to Mars is going to cost billions and billions of dollars. It's going to cost a massive investment. Who's going to make that investment? Most people don't want to go to Mars or are not willing to risk a lot of money going to Mars. It's too speculative, too difficult, too risky. So who invests it? The people who want to go. Elon Musk, Jeff Bezos, start Mars companies. Most of the money in those companies is their own money. They prove the concept, other capital flows in, they go to Mars. And that's how they move civilization forward. They move all of mankind forward because they, self-interestedly, want to go to Mars. And they have the wealth because they, self-interestedly, created businesses that created the wealth to make it possible for them to go to Mars, through their production, through their productiveness.
- 8.44** The biggest beneficiary of their productiveness, I mean, the main beneficiary is themselves, although we all benefit disproportionately, given how much little effort we put into it. One day, humanity will be able to go to Mars because of Elon Musk and people like that, and we'll just take it for granted that we get in a rocket and fly to Mars, and it's just obvious. But it took vision. It took somebody thinking about this. It took somebody projecting long-term. People say, "Businessmen only care about next quarter." Really? Biotech companies don't care about next quarter. Space companies don't care about next quarter. Very few businessmen actually care about next quarter. Most real businessmen, particularly under real capitalism, not the regulated system we have today, are thinking very long-term.

- 8.45** That's true of Rockefeller, Carnegie, and all the great businessmen of the past. They think long-term. They're real rational, productive people. We got two principles for self-interest, and they're completely compatible with capitalism, which is pretty cool. Not an accident, I think. Rationality, productiveness. The third, I would say, is trade. The idea that the way we relate to other people is through mutual beneficial trade. Trade, where I provide a value and you provide a value. Where nobody is leaching off the other, nobody is taking advantage of the other. In a sense, it is an expression of justice. What does justice mean? Justice means treating people the way they deserve.
- 8.46** If somebody is super productive, they deserve more than somebody who's not so productive. Maybe they're lazy, or maybe they just don't have the ability to be as productive as this guy has. We trade. My most productive employees get a higher wage than my less productive employees. I sell my goods in the marketplace. I don't expect anybody to pay more than what that good is worth to them. Now, hopefully, that is more than what it cost me to produce. I can make a profit. But I benefit, they benefit. It's a just transaction. No exploitation, all voluntary, no force, no coercion, no authority, no me telling them they have to have this. Give them information, let them make choices about their own lives, about their own self-interest, their own long-term self-interest, what's good for them.
- 8.47** Trade is this expression of respect for somebody else's mind. They know what's good for them. They can judge it. I'm not going to tell them. They'll judge it. They'll figure out. Maybe they'll walk away because this particular good, at this particular price, it's not good for them. Maybe somebody else, it is good for them. It shows an appreciation, a respect. Generally, voluntary exchange is a recognition of the value of all human beings as capable of taking care of themselves. It's the exact opposite of the epistemological point we made last class, about people needing an authority to tell them what's true.
- 8.48** In capitalism, we're assuming that everybody can take care of themselves. Everybody can be self-interested. Everybody can make the judgment of what is good for them and what is not, and therefore can engage in a trade relationship. Ideally, all human relationships are, in a sense, a form of a trade. They're win-win. Win-win relationships where both parties are better off, whether it's spiritually or materially, better off. That's what you want to achieve in life. That's a good life. That's a self-interested life. That's a flourishing life, is when you engage with people in win-win transactions.
- 8.49** Because win-lose transactions are not sustainable. Ask Bernie Madoff or ask anybody who's engaged in win-lose. The people who lose tend to resent you and maybe not want to have, engage in transactions with you anymore. Think about friendship. If you have a relationship with a friend and you're losing constantly, they're winning somehow constantly in this spiritual, emotional, whatever kind of trade that is going on, you're not going to stay friends with them. It's not worth it. You have to get something out of it. It has to be win-win. Otherwise, it's not doable.

- 8.50** The same is true in business. If I underpay an employee, if the employee can get, given his productivity, can get more somewhere else, he's not going to stay with me. He's probably going to go somewhere else. It was a win-lose for a while, and then it becomes a lose-lose. Much better to pay somebody what they're worth and keep them over the long run than lose them like that because you mistreated them, if they're worth it. Trade appeals to the best of us. It's an appeal to the best of the other party. Again, it's respecting that they have their own mind.
- 8.51** What Ayn Rand is suggesting here is that there isn't this alternative of be altruistic, i.e., good, and be self-interested—Bernie Madoff, Steve Jobs, all these guys—and i.e., bad. But maybe there are three options. There's altruism, live for other people, not good. There's Bernie Madoff. Lie, cheat, steal. Call it self-destructiveness, not good. Then there's live for yourself, be self-interested, long-run. Be productive, be rational, and be on the premise of a trader. Deal with other people as a trader. Again, not trade just in a sense of material, but trade in a sense of win-win, of being better off because of this relationship.
- 8.52** If you think about, I mean, Ayn Rand uses this great example with marriage. She says love is the most selfish of all emotions. It's the most self-interested of all emotions. Imagine the night before the wedding, you go to your to-be spouse and you tell them, "I'm not doing this wedding thing for me. I'm doing it for you. I get nothing out of it. No self-interest in this at all." They'd slap you. They'd slap you. What you should be telling them is, "You make me feel great about me. You make my life so much better. You complete my life. You make it, make me much happier than I would otherwise be." That's a great love. That's a great relationship. That's why you should marry somebody, because they make your life better.
- 8.53** But that's self-interested. It's exactly what self-interest is and what it should be. So Rand's suggesting, scrap that self-sacrifice, scrap that altruism. It's not good. Living for other people, why? Live for yourself, but don't live for yourself as an animal. Don't live for yourself as a whim-worshipping animal. Live for yourself as a rational animal. Live for yourself by having fidelity to reason, to rationality, to productiveness, to the trader principle, to the idea of trading. That's a new morality. That's a revolution in morality. It's a revolution in ethics.
- 8.54** It harkens back to a Greek attitude towards morality, an Aristotelian attitude towards morality. Aristotle taught us that the purpose of morality is to guide us towards flourishing, "eudaimonia", happiness, success at living. What we needed to do was observe in reality what led human beings to success, and we should emulate that. We should do the things that will lead us towards success and happiness and flourishing. Aristotelian ethics is a self-interested ethics. It's an ethics about oneself. Now, we can disagree about what the particular virtues and what the particular values are, but the goal needs to be one's own flourishing.

- 8.55** So Rand, in that sense, is building on the Greek attitude towards ethics, the Aristotelian attitude towards ethics, and rejecting the post-Greek, the religious and the philosophical traditions of ethics being about self-sacrifice, ethics being about self-negation, ethics about living for others. That she negates. And indeed, in the Enlightenment, these are the kind of ideas that are starting to bubble to the surface. They don't quite have it right. They don't quite understand what reason really is. They certainly don't have an understanding of an ethic of egoism, although they're flirting with it, an ethic of self-interest. They're flirting with it, but they don't have it yet.
- 8.56** But they have enough of it that they're dabbling in the ideas of reason and individualism and political freedom which individualism necessitates, and the idea of individuals being able to reason for themselves, and the ideas of the pursuit of happiness. Remember the pursuit of happiness? You have an inalienable right— life, liberty, and the pursuit of happiness. Pretty selfish, pretty self-interested statement. Your life, your liberty, your happiness. It's that. There's the foundation of capitalism. It's that that makes capitalism possible. It's that, as incomplete as it is, as a philosophy, in my view, is enough to get us going.
- 8.57** But to sustain it against the attack of reactionary forces that want us to go backwards to a morality that negates self, not enough. For that, you need Rand. For that, you need a new philosophy. For that, you need a much deeper understanding of what self-interest is and why it is moral. So capitalism is a system that makes it possible for us to pursue our happiness. It's a system that makes it possible for us to pursue our lives, to pursue our values. It's a system in which we treat each other as traders, and that is a just system. I'm going to read you a quote from Rand.
- 8.58** "Capitalism demands the best of every man—his rationality— and rewards him accordingly. It leaves every man free to choose the work he likes, to specialize in it, to trade his product for the products of others, and to go as far on the road of achievement as his ability and ambition will carry him. His success depends on the objective value of his work and on the rationality of those who recognize that value. When men are free to trade with reason and reality as their only arbiter, when no man may use physical force to extort the consent of another, it is the best product and the best judgment that win in every field of human endeavor and raise the standard of living and of thought even higher for all those who take part in mankind's productive activity."
- 8.59** Or she continues, "The economic value of a man's work," this is in a different part of the essay, "the economic value of a man's work is determined, on a free market, by a single principle, by the voluntary consent of those who are willing to trade with them their work or product in return. This is the moral meaning of the law of supply and demand." We take our economic concept, the law of supply and demand. We link it to morality through this idea of other people, you supplying other people, demanding

voluntarily, using their minds in pursuit of their own well-being to trade. That is a moral concept, a moral ideal.

8.60 So from the perspective of rational long-term self-interest, capitalism is a moral system. I mean, profits are noble. Discovering how to make something more efficient at a lower cost or better quality, that is, the use of the mind in order to produce something is beautiful. It's amazing. The fact that you're rewarded through profit is just a recognition of how important what you've just done is and how valuable what you've just done is. Profit's a recognition of your virtue, the realization in material form of successful thinking.

8.61 So if you think about all the aspects of capitalism, again, they are completely aligned with the ideas of a rationally self-interested morality. In that sense, in the end, Rand concludes, and hopefully you can conclude, that capitalism is a moral system. It's probably the only moral system. And it's a moral system because it leaves individuals free to pursue their values, their own chosen values. It leaves them free to pursue their own self-interest. It leaves the individual free to do so by using his own mind. We know that the mind requires freedom in order to function well, in order to not have constraints placed on it, in order to be able to come up with radical new revolutionary ideas, which is what happens in capitalism all the time.

8.62 It is a system of justice. It rewards virtue and penalizes vice. It rewards the thinker. It rewards the producer. It rewards the trader. It rewards win-win. You make what you earn. Nobody owes you anything, but you don't owe others anything, other than what you agree to in the marketplace. It's a system for the best within us. Politically, what that requires is a system of individual rights, a politics of individual rights, of limited government, the government that leaves us free, that protects us from force, but other than that, leaves us to engage with one another and pursue our own happiness. It requires a system of government that separates economics from politics. In other words, separates economics, our economic lives, from force, from coercion.

8.63 And that is capitalism, the only system consistent with human nature. And if we take what we talked about a few classes ago, the standard for evaluating a system is, does it lead to human flourishing? Well, capitalism leads to human flourishing. It leads to human flourishing, again, for all the reasons we've already specified, because it leaves us free to pursue our own happiness based on our own values, based on our own judgment, based on our own minds. And it rewards us accordingly, penalizes accordingly, but accordingly, our failures, our penalties, are opportunities for us to learn what works and what doesn't.

8.64 Failure is not a disaster, usually. Failure is an opportunity to learn. Failure is an opportunity to grow. Failure is an opportunity to better understand the world around us. If we care about capitalism or if we care about our own lives, we don't just need an economic understanding of capitalism, a historical understanding of capitalism, which is what we've talked about in this course. But we also need an understanding and a

proper defense and a proper underpinning of a morality and a philosophy that underpin what capitalism is all about. And that's what, hopefully, we covered today.

- 8.65** To summarize the course, if you will, capitalism is this amazing system of freedom. It is an amazing system that extracts force from human life, leaves us free to pursue our own self-interest. That self-interest is what morality is about, doing it right. Pursuing self-interest in the right way is what is good, what is noble, what is just. If we could just recognize that, recognize the nobility of self-interest, and as a consequence, the nobility of profit, as a consequence, and nobility of production, then I think we would realize the nobility, the beauty, and the morality of capitalism.
- 8.66** So the economies are directed by politicians, right? Can meaningful change, economic change towards capitalism ever come from politicians? I think about Thatcher and Reagan, maybe now Milei, and they have a positive impact or influence for a short time. But how do we move towards capitalism in a more meaningful way than somebody like Thatcher could take us?
- 8.67** I mean, that's part of the point of what I was trying to say today, is that the only way we're going to move in a meaningful way towards capitalism is if we change the philosophy and the culture. If the culture demands it. Politicians do what the culture demands. Politics is downstream from culture. Culture is downstream from ideas, from philosophy. You start with philosophy, and you get a culture based on the philosophy that the intellectuals are teaching, that the philosophers, but primarily the intellectuals are spreading in the culture. You get that culture. And politicians look at the culture, or the culture lets the politicians to reflect back to the culture what they want.
- 8.68** We got Thatcher and Reagan partially because in the UK and the US, the economy was doing terribly. People were fed up with what was happening in the past, just like in Argentina with Milei. But also to a large extent because there was a whole group of intellectuals, Milton Friedman, Friedrich Hayek, Mises, and Ayn Rand, all alive, talking about capitalism and the benefits of capitalism, and to Rand's case, the morality of capitalism, and all talking about this and influencing the culture. Not enough, but at least enough to get you a Thatcher and Reagan.
- 8.69** And by the way, the changes in the US economy in particular happened before Reagan. They happened under, I mean, this is one of the untold stories out there, but Jimmy Carter should get a lot of credit because a lot of the deregulation happened under Jimmy Carter, not under Reagan. Reagan got the credit for a lot of things Carter, of all people, did. But that was because the culture was demanding it at that point. Jimmy Carter was not exactly a free-market guy. But the culture was now, the idea that capitalism is a good thing was permeating in the culture, and he gave the culture, in a sense, what they want.
- 8.70** Today, we have a culture that's very anti-capitalist. We want to protect jobs, no matter what, stop trade, stop mergers and acquisitions. We hate the rich. We don't want big

companies. So we're getting exactly what we want. We got lots of antitrust lawsuits. We're getting tariffs. We got restrictions on trade, which is exactly what the culture has decided they want. In a sense, when Trump or when Biden stand up there and talk, they're just reflecting back to the audience what the audience already believes. "It's all the fault of those Chinese people. It's all the fault of those Mexican immigrants. It's all the fault of somebody. Not you, you're cool. I'll protect you from all those people who are trying to destroy you."

- 8.71** That attitude is a cultural attitude that is just reflected back by our politicians. So what do we do to sustain long-term change that is pro-markets, pro-capitalism? You have to change the ideas in the culture. You have to teach people the value of capitalism. And to do that, I think ultimately, you have to teach people the value of their own life and the value of a morality that is oriented and centered around their own life. Again, the value of their rationality, the value of their productiveness, the value of taking their life seriously and wanting to live the best life that they can live.
- 8.72** Look, if you want to live the best life that you can live as an individual, you don't want mother government telling you what you can and cannot do, what size drink you should buy or not. It's only people who want to be told what to do and how to live would tolerate a government that tells them at every corner what they can and cannot do, what they can and cannot eat, what they can and cannot drink, what profession they can and cannot go into. The more, in a sense, pathetic we become, the more dependent we become, the less independent thinkers we are, the more we'll have statism, the more we'll have a government dictating to us how to live and what to do.
- 8.73** So you want to have capitalism? You start with, we want to have individuals confident enough to live by their own minds, to live for themselves, confident enough in their own judgment to be able to decide what to eat, what to drink, who to love, what profession to go into. This goes back to that idea of the Enlightenment, of individual liberty, individual freedom. But people don't want to be. As long as people don't want to be free, you're not going to get freedom. You have to convince people that they should want to be free. For that, you need to change their attitude towards morality. That's hard. It's easy to change people's attitude towards economics. Hard to change people's attitude towards morality. Very hard.
- 8.74** When I look around this room and in my place of work as an engineer, I see that most people are living under self-interest, rational self-interest. But when I go outside my engineering office and I go outside circles such as this, where people here are looking for maybe a truth or a better way to live, just to learn more about life, yes, this is the people that are, I agree with you. We could live in a rational self-interest society. But beyond that, when I go outside those circles, I see most people living like whim-worshipping animals. And that's just the reality I see.
- 8.75** And if their decisions only affected them and theirs, I'll have no issue. Live and let live. But their decisions affect me and affect mine. Right now, the only defense that people

such as us have against these irrational people is government. Is there an alternative? Can, eventually, someone has to be a mediator between differences of opinion, difference of interest. Is there an alternative to government?

- 8.76** Yeah, freedom. So, under freedom, you don't want to deal with somebody, walk away. That's the principle. The principle is they can't use force on you. They can't force you to interact with them. They can't force you to trade with them. You don't want to trade with somebody, you don't want to hire them, for whatever reason you have, don't hire them. You don't want to buy somebody's product, don't buy it. You don't want to go to their neighborhood, don't go to their neighborhood.
- 8.77** I think you have an overly malevolent view of people. I think also you have an overly benevolent view of the people you consider to be rational because I don't think they are generally rational. I think what we see in the world in which we live is that people are compartmentalized, people are split. Usually in their work environment, they're fairly rational. They know what they're doing. They bring their rationality to work. And that's it. Not at home, not in their politics, not in a lot of the rest of their world do they actually bring that same focus and intention as they do to their work, which is sad.
- 8.78** You see this. They get lazy when it comes to everything else except work. Work is important to them. Give them that. That's a virtue. But they don't take that same intensity of rationality, productiveness, trade, to every aspect of their life. I think that everybody is capable of being good in that sense, of rising up. But first, you have to expect it from people, and they have to expect it from themselves.
- 8.79** But if they're taught, particularly, let's say, they're not that smart or they don't have that much knowledge— if they're taught from when they're very young, "Think of others first, be selfless, don't be self-interested, don't pursue your own values, don't do this, don't do that. The government is there to take care of you, and they'll write you a check if you fail, and will bail you out, and don't worry, somehow be happy with all of that," then, yeah, you're going to get a lot of mindless fools because that's what they've been taught, that they're incompetent and unable.
- 8.80** But if you create a society, which I think, take the 19th century. 19th century America saw the dregs of Europe come to America. What does it say on the Statute of Liberty? "Bring me your huddled masses." They didn't ask for the super successful, intelligent; they stayed in Europe. Why would they leave? The people who came to America were the worst. But they came to America because they wanted to achieve something. They came to America because they wanted to live a good life. They came to America without expecting handouts, and they elevated themselves. They lived up to their potential. They worked hard, they created, they built. That's what built this country. There's great entrepreneurs, but a lot of those great entrepreneurs were poor kids who came on the boats.

- 8.81** But just think of the people there. They got on wagons and they traveled into the wilderness in the middle of nowhere. I don't know, Nebraska, Kansas, the Dakotas, the deserts, and they built. They created. Those are the same people you now, in a different context, "Yeah, they're not capable of doing anything." Yeah, they are. Give them the right ideas. Give the right expectations. Stop treating them like children. Stop treating them like incompetent fools. And don't educate them to expect handouts. And don't educate them that somebody else will do the thinking for them. They, too, will rise up.
- 8.82** I mean, think of the risk of getting on a boat in the 19th century and traveling across the Atlantic Ocean, knowing you'll never see your family again, 99%, knowing you have no idea what's going on. Right now, when I go to, I don't know, some crazy, weird place like China, I can check YouTube videos before I go and see what it's like. It's not like a mystery. It's not like a complete unknown. These people got on boats, they had no clue. They heard stories about pavements paved with gold or something.
- 8.83** People are capable of amazing things when they are free and when the government doesn't treat them and when society doesn't treat them and the culture doesn't treat them and the intellectuals don't treat them as children, as ignorant, as stupid, as incompetent. They rise up to that and they're capable of taking risks and they're capable of doing amazing things. It's sad that they're not, but that is on the culture. It goes back to the ideas. It goes back to the philosophy.
- 8.84** Imagine if we raised kids and told them, "Your life is your responsibility." In the deepest sense, your life is your responsibility. You actually get to create your own soul. Who you are, your character, is not determined by genes. Your character is not determined by other people. It's not determined by the culture. Your character is determined by the choices you make. Make good choices. Here's some tools. You think people would be different? Yeah.
- 8.85** I mean, today we sit them around the corner and say, "What do you feel like? What do you think?" Most 9, 10-year-olds don't think, period. Instead, we're not giving them the tools to be able to think. We're not giving them knowledge to be able to—we have a corrupt educational system. You get corrupt adults. You have low expectations, you get low outcomes. That's the way it is. Thank you.